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EDITORIAL

2026 HAS EXPOSED NEW RISKS FOR THE EUROPEAN GAS MARKET

Europe's vulnerability to the gas market has changed in recent years. Whilst its reliance on imports has remained stable, its gas supply has been more vulnerable to global market conditions since 2022, due to a shift in the composition of its imports. Furthermore, in 2026, the combination of high geopolitical risk in one of the main production regions and the pressure of climate change on European consumers has created an unprecedented situation, leading to price pressures and significant uncertainty regarding the short-term outlook. Even if they ease, tensions in the European gas market could persist beyond the winter, largely due to the need to refill inventories.

Whilst Europe is not heavily reliant on gas imports from the Middle East, it has had to contend with a fresh surge in prices since the outbreak of war in Iran last February, a rise that has, in part, been passed on to electricity prices this summer. Furthermore, new sources of vulnerability, particularly those linked to climate change, are at play. These call for caution regarding the short-term outlook for the European gas market.

EUROPE'S GROWING EXPOSURE TO MARKET VOLATILITY

Unlike the 2022 energy crisis, which hit Europe directly, the war in Iran is indirectly affecting the European gas market. 80% of gas exports from the Middle East are destined for Asia. However, the growing interconnection between the two main gas-importing regions — Asia and Europe — has resulted in the crisis spreading to Europe. Since 2022, the transmission of shocks to liquefied natural gas (LNG) benchmark prices on the European and Asian markets (TTF and JKM) has increased significantly, in both directions[1].

Despite a fall of around 20% in European gas consumption since 2022, the replacement of around 60% of Russian pipeline imports with purchases of liquefied natural gas (see *Chart 1*) has kept Europe's vulnerability at a high level. Given developments in the LNG market — growing interconnection between European and Asian markets and the importance of spot contracts (around one-third of European supply contracts[2]) — Europe finds itself, through no fault of its own, increasingly exposed to gas price volatility.

Furthermore, the increasing autonomy and flexibility of the global LNG market may exacerbate this volatility. The higher proportion of LNG sales contracts with flexible destinations[3] (rising from 29% to 51% of the total between 2016 and 2025), linked to the massive influx of US LNG onto the market, together with the reduction in the share of contracts indexed to oil prices (from 70% to 55% over the same period), have made price formation on the LNG market more autonomous, thereby increasing the opportunities for arbitrage and the flexibility of this market.

MAJOR DISRUPTIONS IN THE LNG MARKET HAVE CONSTRAINED THE REFILLING OF EUROPEAN INVENTORIES

The 85% reduction in LNG exports from Qatar and the UAE in Q2 and Q3 2026 was offset by two-thirds through, on the one hand, an increase in exports from other producing countries (primarily the United States) and, on the other hand, a fall in demand in Asia and Europe (which is forecast to reach, respectively, 1.5% and 3% year-on-year in 2026, according to IEA forecasts[4]). Owing to the damage caused by the war to infrastructure (17% of Qatar's production capacity is out of service) and logistical constraints specific to the LNG market (unavailability of LNG carriers), the LNG market has benefited only marginally from the resumption of flows through the Strait of Hormuz since July. Against this backdrop of tensions in the gas market, high prices in Europe (up by around 174% since the outbreak of the conflict) have significantly slowed the refilling of European stocks. They stood at 75% of full capacity at the end of October, whilst the official target is 80% (see *Chart 2*).

Rising European exposure to LNG market

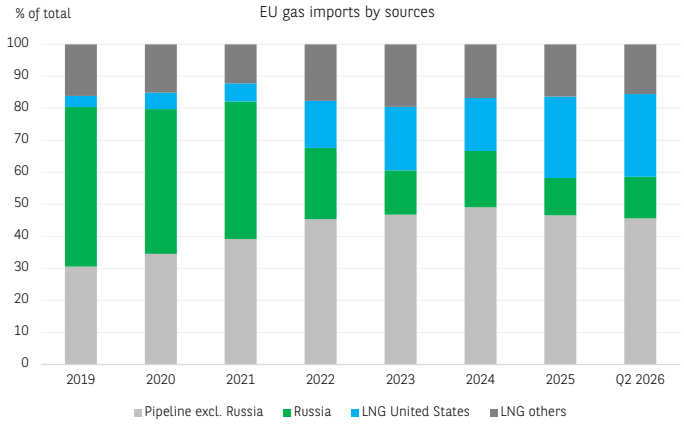

CHART 1 SOURCE: BRUEGEL, BNP PARIBAS

OVER THE WINTER, DIVERGENT FACTORS COULD STABILISE PRICES AT A HIGH LEVEL

Gas stock levels that are below the target set by the European Commission do not increase the risk of a shortage on the European continent. Nevertheless, Europe's vulnerability towards the end of winter, in the event of a cold snap, would force it to buy on the market at high prices.

1 C. Grekou, V. Mignon, L. Ragot, 2026, 'From Russian gas to the global LNG market: The European Union's new vulnerability', CEPII, Policy Brief.
2 ACER, 2026, 'Analysis of the European LNG market development. Monitoring report'.
3 These contracts allow the buyer to choose, or change, the delivery point for the shipment. Recent US contracts (Free On Board and flexible destination) generally feature these characteristics.
4 IEA, 2026, 'Global Gas Security Review & Gas Market Report Q4-2026'.

Europe begins winter with historically low gas stocks

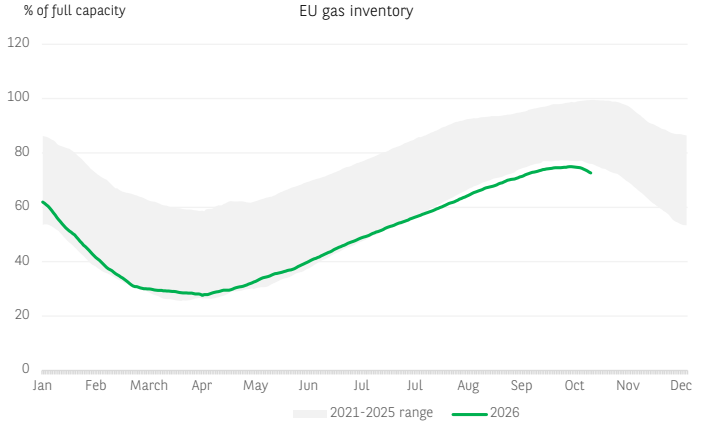

CHART 2

SOURCE: AGSI, BNP PARIBAS

Markets expect prices to return to pre-crisis level starting from 2028

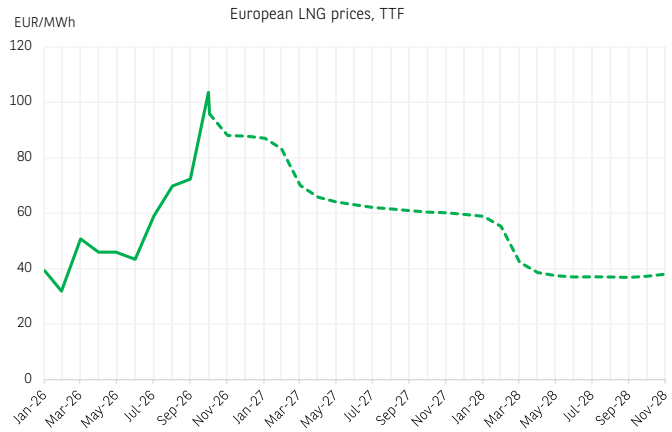

CHART 3

SOURCE: BLOOMBERG, BNP PARIBAS

Furthermore, from a technical perspective, exposure to the consequences of a cold snap at the end of winter is all the more pronounced as the rate at which gas can be withdrawn from storage (the ease with which a country can access its supplies) decreases (due to lower stock levels in storage facilities).

Apart from stock levels at the start of winter, three factors will determine the situation at the end of the season, a key period of vulnerability:

1/ the resumption of exports from the Gulf, a region that is essential for restoring market balance in the short term;

2/ weather conditions during the winter;

3/ renewable energy production.

According to the IEA, in the worst-case scenario (with exports from the Middle East only resuming from the end of the first quarter of 2027, a cold winter and low renewable energy production), stocks would stand at 7% of total capacity by the end of winter, compared with 33% in the best-case scenario. Such levels remain significantly below the average for the last five years at this time of year: 80% in the worst-case scenario and 18% in the best-case scenario. This would underpin restocking demand over the next two quarters, and therefore keep prices at a fairly high level. For the time being, a significant recovery in LNG exports from the Gulf remains highly uncertain, even though indirect talks between the warring parties have resumed. On a more positive note, the current development of a very powerful El Niño event should, in principle, be associated with relatively mild temperatures during the winter in western Europe. According to the futures markets, European gas prices are not expected to return to their pre-crisis levels until 2028 (see *Chart 3*).

ARE WE HEADING FOR A SUMMER PEAK IN GAS DEMAND?

In addition to these factors, which are likely to prolong market tensions during the first half of 2027, the summer period could also be characterised by increased demand for gas. During the summer of 2026, weather conditions hampered the generation of certain forms of renewable energy (heatwaves and droughts restricting electricity generation from hydroelectric[5] and wind power sources). They also disrupted nuclear power generation (in France, nuclear electricity generation fell by around 10% year-on-year between August and October[6]). Alongside these constraints on carbon-free electricity generation, heatwaves are driving up demand for electricity, particularly for air conditioning. Against this backdrop, as a source of flexibility within the electricity mix, gas remains a key determinant of electricity prices in Europe[7]. In Q3 2026, whilst the decline in European gas consumption mainly affected industry, the residential sector and the commercial sector[8], consumption by gas-fired power stations was 9% higher than in 2025.

STRENGTHENING EUROPEAN PROGRAMMES

In this context, and despite the progress made in decarbonising the European electricity mix, high gas prices have led to a rise in wholesale electricity prices in most European countries. Between July and September 2026, these prices were on average 54% higher than in the same period a year earlier.

Against this backdrop of widespread rises in energy prices, European governments have primarily introduced measures to support households' purchasing power when buying fuel. Measures relating to gas supply remain fairly limited. The European Commission has extended the target for refilling European stocks to 80% (instead of 90%) for 2026. It has also urged Member States to extend the stock-refill season in order to smooth out purchase prices. Furthermore, the measures taken in 2022 under the RePower EU programme have been maintained: reducing dependence on Russian gas with the aim of a complete phase-out (pipeline and LNG) by the end of 2027; and pooling gas purchases at European level. The 'decarbonisation and electrification' component of this programme was strengthened in April 2026 by the Accelerate EU programme, notably through measures to accelerate the electrification of demand and the development of electricity grid infrastructure at European level.

5 In early October 2026, the water levels in French reservoirs reached a ten-year low, standing at 23% below seasonal averages.
6 RTE data.
7 M. Mueller, P. Devaux, October 2026, 'What lessons can we learn to keep European industry competitive from the measures taken by Germany, as the cost of electricity continues to turn the screw?', EcoInsight.
8 Oxford Institute for Energy Studies, October 2026, Quarterly Gas Market Review.

At national level, it is worth highlighting the price cap mechanism for gas purchased by power stations, which the Italian government is set to introduce. In 2025, gas set the price of electricity in Italy in 73% of cases (compared with an average of 40% across Europe). This price cap mechanism, similar to that introduced in Spain in 2022, is, in principle, only sustainable in the short term. Indeed, its cost is likely to be significant given the Italian electricity mix's high dependence on gas.

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Increased market dependence and the consequences of rising climate risk for European electricity generation are altering the vulnerabilities associated with the continent's gas market. The sources of risk are increasing in number and becoming harder to manage. This calls for the continuation and strengthening of decarbonisation efforts in the European policies launched in 2022.

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Find out more in our scenario and forecasts

ADVANCED ECONOMIES

In brief. The week was dominated by large market swings triggered by the US midterms results. In the end, energy prices end the week much lower, bond yields somewhat lower and stock prices down in tech-heavy markets and slightly up elsewhere, notably in Europe. Incoming data confirmed a picture of resilient growth overall. The Bank of England hiked its policy rate by 25 bps and signaled it could do more. Market pressure on France eased somewhat.

EUROZONE

Energy pushes inflation up, but underlying pressures remain relatively contained. Headline inflation rose to 4.0% y/y in October, its highest in three years, strengthening the case for another ECB rate increase in December. Energy remained the main driver, while core inflation rose by 2.6%. The ECB wage tracker points to negotiated wage growth slowing to 2.3% by September 2027. Meanwhile, retail sales fell 0.7% m/m in September and the average interest rate on new business loans increased 13bp to 3.90%.

To watch next week: September trade balance, Q3 GDP second estimate and employment (Friday).

France

EVs boost activity, market pressure eases somewhat. After already bolstering household consumption in Q3, new car registrations rose 7% y/y in October (+4% y/y YTD), driven by another surge in electric car sales (+81% y/y in October; +78% y/y YTD). In parallel, manufacturing output rebounded by 0.5% m/m in September, supported by the automotive sector (+7.5% m/m but -5.5% y/y) and capital goods (+2.6% m/m and +4.8% y/y). However, industrial production fell by 0.5% m/m (and 1.3% y/y), as a result of a decline in electricity production (-4.2% m/m). The composite October PMI was revised down by 1.8 points from the flash estimate to 46.6 (-4.5 m/m), dragged down by services. This sharp downgrade likely reflects the hit to sentiment from the October 17 riots; however, precedents suggest activity itself should not be visibly impacted. Appropriately indifferent to the meandering journey of the draft budget through Parliament, the OAT-bund spread narrowed to 155 bps (-10 bps in one week) amid a broad-based decline in government bond yields across advanced economies; Thursday's long-term debt auction, the last of the year, was well-subscribed. Striving to meet its deficit target of 5.4% of GDP in 2026, the government announced EUR3.8bn of spending cuts to offset EUR3.7bn in additional expenditure. The High Council for Public Finance nevertheless sees the deficit reaching 5.5%. The 2027 budget will start being discussed by the Senate from next week, in its original version, after the national Assembly unanimously rejected its amended version that would have led to a 5.9% deficit.

To watch next week: Q3 unemployment rate and the Banque de France monthly business survey (Tuesday).

Germany

Industrial activity picks up. New orders rebounded 4.4% m/m in September and industrial production increased 0.7%, with the auto sector delivering particularly striking gains of 10.5% in orders and 17.1% in production. Mechanical-engineering orders also recovered (+8.3%), while pharmaceutical production increased by 8.0%. By contrast, large orders in aerospace, shipbuilding, rail and defence fell by 10.4%, while machinery and equipment production declined by 6.5%. October's composite PMI was revised up to 53.4, signaling continued strong expansion.

Italy

Services keep the economy above water as manufacturing slips back. The composite PMI eased to 50.8 in October, its lowest since May. Manufacturing returned to contraction at 49.4, its weakest reading since January, while services strengthened to 52.0 and recorded a fifth consecutive month of growth. Both sectors reported increasing input-cost and output-price inflation.

UNITED KINGDOM

The BoE hikes and leaves the door open to more. The Bank of England raised Bank Rate by 25bp to 4%, its first increase since August 2023, in a more hawkish than expected 8-1 vote, with Catherine Mann favouring a 50bp hike. The November Monetary Policy Report sees CPI inflation peaking around 5% y/y by mid-2027 and upgraded Q4 2026 growth to 2.2%, while cutting the 2027 and 2028 growth projections. The composite PMI meanwhile improved to 52.9, its highest since February, with new business growing at its strongest pace in nine months and private-sector employment increasing for the first time in 25 months.

To watch next week: Q3 GDP, business investment, industrial production (Thursday).

UNITED STATES

Post election market jitters and a hot jobs report. The Democrats' unexpectedly sweeping victory in the midterms (the largest wave since 1974) initially led markets to rally on (i) relief that the President recognised the results, and (ii) hopes of a swift end to the Iran war (oil prices and bond yields down, stock prices up). But this was soon followed by a sharp equity sell-off on 5 November, with the S&P 500 down 4.4% and the Nasdaq down 5.0%, erasing USD2.7 Trillion of market capitalization in one day. Why? Because of the realization that voters strongly supported AI-restrictive measures on the ballot (46 out of 47) and candidates — for Congress and Governor seats — in favour of curtailing data centers buildout. By the week-end, however, sentiment had turned around again, helped in part by a much stronger than expected jobs report: payrolls increased by 165,000 in October against a 70,000 consensus, while the previous two months were revised higher and unemployment edged down to 4.1%. Average hourly earnings rose 0.4% m/m, their strongest monthly pace since November 2025. Manufacturing activity also strengthened, with the ISM rising to 55.5, and the non-manufacturing index easing to a still buoyant 54.5.

To watch next week: October CPI (Tuesday); October PPI (Friday).

JAPAN

Wage growth accelerates. Scheduled contractual earnings increased 3.7% y/y in September and total wage growth accelerated to 4.6%, helped by strong bonus payments. Real wage growth remained positive at 2.2% y/y.

EMERGING ECONOMIES

Portfolio outflows. According to IIF data, non-resident portfolio investment flows recorded USD33.8bn of outflows in October, the largest monthly outflow since March and up from USD19.3bn in September. Equities accounted for USD31.7bn, led by USD28.3bn from emerging Asia, as doubts over AI-investment returns and profit-taking hit North Asian markets particularly hard. Taiwan and South Korea suffered a further sharp market correction in the first week of November.

Find out more in our scenario and forecasts

ASIA

PMI: expanding except for the Philippines. The ASEAN PMI rose to 53.1 in October from 52.1, pointing to faster expansion. India remained robust despite a slight decline (54.7). In Taiwan and South Korea, the manufacturing PMIs declined but remained expansionary, at 54.9 and 51.3, respectively. Indonesia's real GDP growth accelerated to 5.5% y/y in Q3 2026 from 5.3% in Q2 marking its fastest pace since 2013.

China

The PBOC steps in as equity correction deepens. The central bank increased its use of liquidity tools designed to support equity purchases, including the special relending facility for share buybacks and stake increases and a third round of the Securities, Funds and Insurance Companies Swap Facility, for which 31 institutions applied for more than RMB100bn. The measures follow heavy stock-market losses between June and October. The PBOC also raised the reserve-requirement ratio on foreign-currency deposits to 6% from 4%, effective 15 November, in an effort to slow the renminbi's appreciation.

Weak domestic inflation pressure: In October, CPI inflation slowed to 0.7% y/y from 0.9% in September. Fuel prices increased by 20.2% y/y, food prices fell -2.9% and core inflation slowed to 0.8% y/y from 1.0%. Producer price inflation continued to rise (reaching 5.7% *vs.* 5.0% in September), principally driven by higher energy and electronics prices.

To watch next week: External-trade data (Tuesday).

EMEA

Central Europe

PMIs expansionary except in Romania. Poland's PMI hit the 50-mark for the first time since April 2025 thanks to export orders. PMI was also higher in Czech Rep. (55), supported by new orders, output and employment. Hungary's PMI fell marginally to 53.1.

Poland and Czech Republic central banks hold and hike respectively, as expected.

Gulf

PMIs resilient except Qatar (deteriorating further to 46.3).

Saudi Arabia: Massive budget deficit in sight. Saudi Arabia recorded a budget deficit of USD22.5bn in Q3, narrowing by 5% y/y. But over the first nine months of 2026, budget deficit reached USD65.1bn, up from USD48bn in 2025, despite a rather good revenue performance (+2.8% total; +7.8% for non-oil revenues; -1.3% for oil revenues). The 8% rise in spending in Q1-Q3 partly due to the war will make it difficult to meet the 2026 revised target (deficit of 4.9% of GDP).

LATIN AMERICA

PMIs remain weak across the region, with only Colombia in expansion.

Brazil's central bank pauses rate cuts, whereas Mexico's central bank cuts rates whilst signalling an upcoming pause. On 4 November, Brazil's central bank held its Selic rate at 13.75%, interrupting a series of five consecutive cuts, amid rising inflation (4.6% y/y in September, up from 4.2%), a sharp post-election real depreciation on fiscal concerns, and higher energy prices. The central bank also revised up its 2027 inflation forecast to 4.7% (from 3.9%) and removed forward guidance hinting at further cuts. Mexico's central bank unexpectedly cut its policy rate by 25bp to 6.25% on 5 November. This decision came despite above-target inflation (3.5% against a 3% target), a peso depreciation of more than 9% against USD since September, and relatively strong Q3 GDP growth (3.2% y/y). The central bank signaled that rates would now remain on hold for an extended period.

COMMODITIES

Geopolitical relief delivers a dramatic energy-price reversal. Markets have priced in the reduced risk of short-term conflict escalation through a sharp decline in prices. Beyond this, however, they lack direction, wavering between positive signals (the resumption of indirect negotiations between the belligerents) and less favorable ones (increased vessel damage in the strait). Brent dropped 7.6% over the week to USD96.8/bbl as markets priced a reduced risk of near-term conflict escalation. European gas prices fell almost in lockstep, declining 7.7% to EUR87.6/MWh. US commercial crude inventories continued to decline, although more modestly than over the preceding four weeks. Diesel crack spread's reaction to US elections has been much more limited than for crude. EU gas storage ended the refilling season at 75% of capacity (*vs.* 80% goal).

y/y = year-on-year
m/m = month-on-month
bp = basis point
pp = percentage point
mb = million barrels
MBtu = Million British Thermal Units

MARKETS OVERVIEW

Bond Markets

	In %	In bps			
	06/11/2026	1-Week	1-Month	Year to date	1-Year
Bund 2Y	2.98	-10.4	-10.6	+88.8	+102.4
Bund 5Y	3.06	-12.1	-17.2	+59.2	+84.4
Bund 10Y	3.23	-10.6	-22.6	+36.9	+61.1
OAT 10Y	4.67	-14.5	+1.4	+117.6	+129.0
BTP 10Y	4.31	-18.8	-22.5	+81.5	+90.5
BONO 10Y	3.79	-16.7	-23.8	+54.4	+67.5
Treasuries 2Y	4.53	-19.1	-27.5	+105.0	+94.5
Treasuries 5Y	4.65	-17.0	-38.8	+92.9	+96.9
Treasuries 10Y	4.86	-1.2	-41.6	+69.5	+3.2
Gilt 2Y	4.60	-20.1	-9.2	+84.4	+81.4
Treasuries 5Y	4.81	-20.8	-14.3	+96.5	+102.2
Gilt 10Y	5.16	-3.9	-22.2	+47.6	+17.2

Currencies & Commodities

	Level	Change, %			
	06/11/2026	1-Week	1-Month	Year to date	1-Year
EUR/USD	1.11	-0.3	-1.0	-5.1	-3.4
GBP/USD	1.34	+0.1	+0.6	-0.7	+2.0
USD/JPY	158.25	+0.4	+0.1	+1.0	+3.4
DXY	102.30	+0.3	+0.5	+4.0	+2.0
EUR/GBP	0.83	-0.4	-1.6	-4.5	-5.3
EUR/CHF	0.91	-1.2	-2.3	-1.7	-1.8
EUR/JPY	176.39	+0.1	-0.9	-4.2	-0.2
Oil, Brent ($/bbl)	98.43	-15.5	-2.3	+61.8	+55.2
Gold ($/ounce)	4064	+1.1	-2.4	-6.0	+2.0

Equity Indices

	Level	Change, %			
	06/11/2026	1-Week	1-Month	Year to date	1-Year
World					
MSCI World ($)	4740	-3.3	-4.9	+7.0	+9.6
North America					
S&P500	7377	-3.9	-5.7	+7.8	+9.8
Dow Jones	51286	-2.1	-0.5	+6.7	+9.3
Nasdaq composite	24579	-6.1	-10.9	+5.8	+6.6
Europe					
CAC 40	8139	+3.7	+3.5	-0.1	+2.2
DAX 30	25820	+1.6	+1.5	+5.4	+8.8
EuroStoxx50	6170	+0.9	-1.6	+6.5	+10.0
FTSE100	10674	-0.9	+1.3	+7.5	+9.6
Asia					
MSCI, loc.	1817	-4.4	-8.6	+7.5	+8.6
Nikkei 225	57435	-7.6	-18.7	+14.1	+12.9
Emerging					
MSCI Emerging ($)	1502	-3.9	-13.8	+6.9	+7.8
China	70	+4.7	-1.8	-15.4	-19.9
India	979	+10.6	+10.0	-7.5	-6.4
Brazil	1647	-6.1	-25.2	+0.0	+1.0

Performance by sector

Eurostoxx600

Year 2026 to 6-11, €

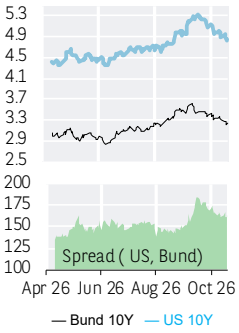
+35.7%	Oil & Gas
+25.5%	Chemical
+16.9%	Technology
+16.6%	Utilities
+12.9%	Food industry
+12.0%	Commodities
+11.3%	Insurance
+10.7%	Health
+10.1%	Banks
+9.5%	**Eurostoxx600**
+8.3%	Financial services
+7.0%	Telecoms
+6.9%	Travel & leisure
+6.1%	Retail
+4.1%	Industry
+1.8%	Media
-1.6%	Real Estate
-2.4%	Construction
-10.0%	Consumption Goods

S&P500

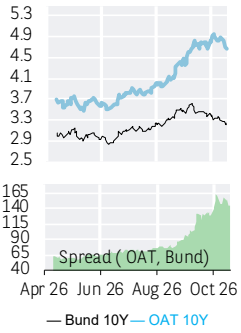
Year 2026 to 6-11, $

+37.9%	Energy
+28.6%	Pharmaceuticals
+26.4%	Tech. Hardware & Equip.
+18.1%	Food, Beverage & Tobacco
+17.1%	Retail
+14.0%	Materials
+10.6%	Semiconductors
+9.6%	Insurance
+8.4%	Consumer Discretionary
+7.8%	**S&P500**
+4.1%	Commercial & Pro. Services
+4.1%	Healthcare
+4.0%	Capital Goods
+1.0%	Utilities
+0.6%	Consumer Services
-0.2%	Bank
-6.5%	Telecoms
-10.2%	Media
-18.6%	Automobiles
-30.4%	Real Estate

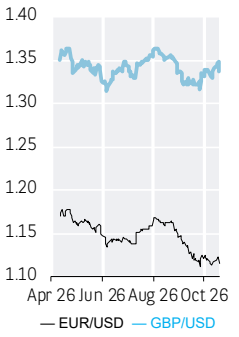
Bund 10Y & US Treas. 10Y



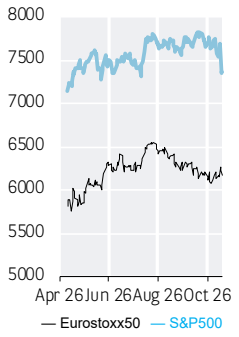
Bund 10Y & OAT 10Y



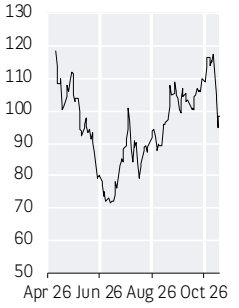
EUR/USD & GBP/USD



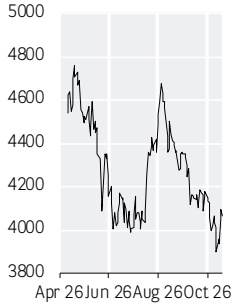
EUROSTOXX 50 & S&P500



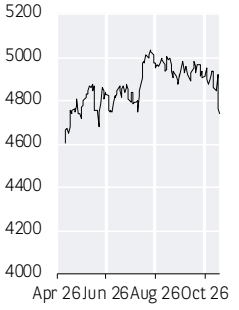
Oil, Brent ($/bbl)



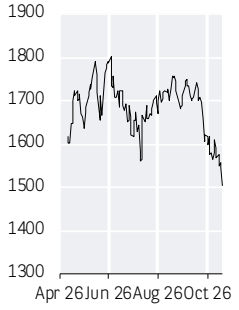
Gold ($/ounce)



MSCI World ($)



MSCI Emerging ($)

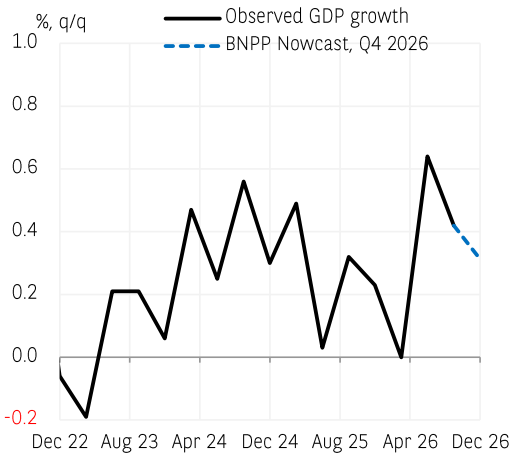


SOURCE: LSEG, BLOOMBERG, BNP PARIBAS
DATA VISUALISATION AND CARTOGRAPHY: TARIK RHARRAB

The scenario, forecasts and nowcasts of the Economic Research - 9 November 2026

NOWCASTS OF THE ECONOMIC RESEARCH

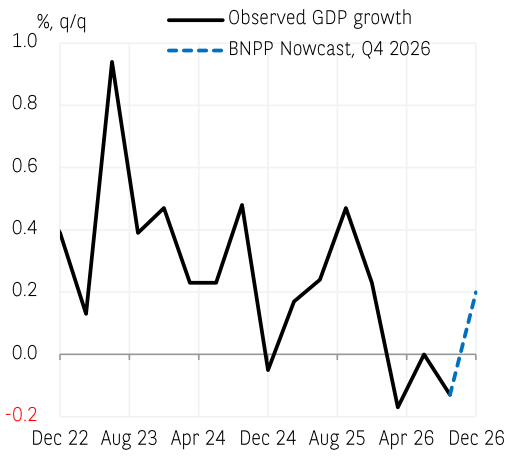
Eurozone



Source: Refinitiv, BNP Paribas

Our nowcast for Eurozone growth points to a moderate slowdown in Q4, albeit still robust, at 0.3% q/q (following 0.4% q/q in Q3), underpinned by positive survey data and an expected pickup in industrial production.

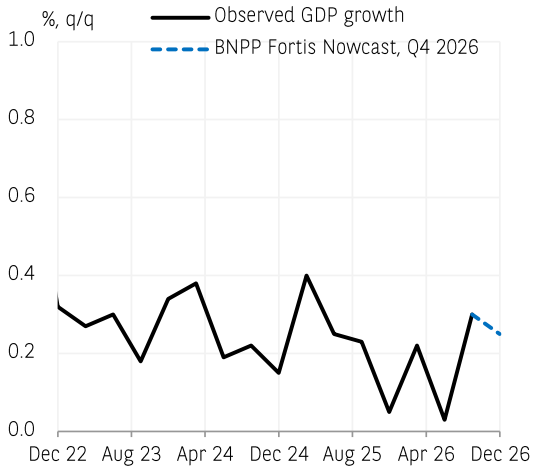
France



Source: Refinitiv, BNP Paribas

According to our nowcast, France GDP growth is expected to recover to 0.2% q/q in the 4th quarter. This growth is expected to be driven by a rebound in industrial production (particularly in the aeronautics sector) and continued favorable momentum in services.

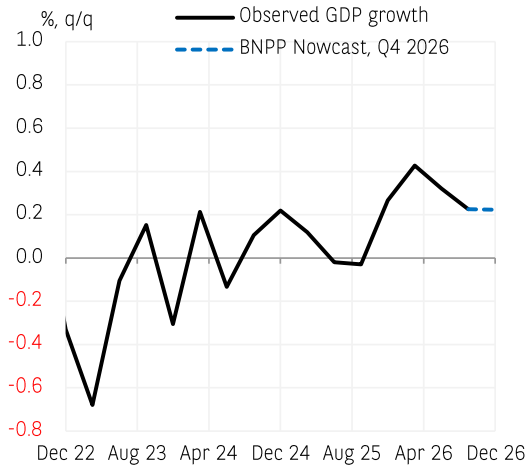
Belgium



Source: Refinitiv, BNP Paribas Fortis

Our nowcast for Belgium GDP growth suggests another positive growth performance in Q4 (0.25% q/q). The range of estimates has improved as (slow) growth solidifies, with none of the models pointing to negative growth now. Despite consumer sentiment going down, manufacturing and construction post more positive sentiment and an increase in activity levels, as measured by transaction data.

Germany



Source: Refinitiv, BNP Paribas

German growth is expected to remain stable in Q4 according to our nowcast, at +0.2% (following +0.3% in Q2 and +0.2% in Q3).

Read the Nowcast methodology

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ECONOMIC SCENARIO AND FORECASTS

GDP growth and inflation

	GDP Growth				Inflation			
%	2024	2025	2026 e	2027 e	2024	2025	2026 e	2027 e
United States	2.8	2.3	2.2	2.3	2.9	2.7	3.5	2.6
Japan	-0.2	1.2	1.0	1.2	2.7	3.2	1.9	2.6
United Kingdom	1.0	1.2	1.3	1.3	2.5	3.4	3.2	3.5
Euro Area	0.9	1.3	1.1	1.6	2.4	2.1	3.1	3.2
Germany	-0.5	0.3	1.0	1.3	2.5	2.3	2.7	2.8
France	1.1	0.9	0.3	0.8	2.3	0.9	2.5	2.4
Italy	0.6	0.7	0.8	0.8	1.1	1.6	3.4	3.1
Spain	3.5	2.6	2.6	2.3	2.8	2.7	4.0	4.0
China	5.0	5.0	4.6	4.5	0.2	0.0	1.0	1.2
India*	7.2	7.8	7.1	6.9	4.6	2.1	5.1	4.9
Brazil	3.4	2.3	1.9	1.3	4.4	5.0	4.5	4.6

Source : BNP Paribas (e: Estimates & forecasts)
* Fiscal year from April 1 of year N to March 31 of year N+1

Interest and exchange rates

Interest rates, %		2026	2027			
End of period		Q4	Q1	Q2	Q3	Q4
US	Fed Funds (upper limit)	4.25	4.50	4.50	4.50	4.50
	T-Note 10y	4.95	4.95	4.90	4.85	4.80
Eurozone	deposit rate	2.75	2.75	2.75	2.75	2.75
	Bund 10y	3.50	3.40	3.30	3.25	3.20
	OAT 10y	4.43	4.40	4.25	4.18	4.10
	BTP 10y	4.38	4.33	4.18	4.08	3.98
	BONO 10y	3.98	3.90	3.74	3.65	3.55
UK	Base rate	4.00	4.00	4.00	3.75	3.50
	Gilts 10y	4.90	4.80	4.70	4.65	4.50
Japan	BoJ Rate	1.50	1.75	1.75	1.75	2.00
	JGB 10y	2.90	2.95	2.95	3.15	3.25

Exchange Rates		2026	2027			
End of period		Q4	Q1	Q2	Q3	Q4
USD	EUR / USD	1.14	1.14	1.16	1.18	1.20
	USD / JPY	163	163	163	163	163
	GBP / USD	1.34	1.36	1.38	1.40	1.43
EUR	EUR / GBP	0.85	0.84	0.84	0.84	0.84
	EUR / JPY	186	186	189	192	196

Brent		2026	2027			
Quarter Average		Q4	Q1	Q2	Q3	Q4
Brent	USD/bbl	81	78	79	81	80

Source: BNP Paribas (Market Economics, Interest Rate Strategy, FX Strategy, Commodities Desk Strategy)

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UNITED STATES

The US economy is expected to grow above its potential in 2026, with an average annual growth rate of 2.2%, close to the 2025 rate (2.1%). This apparent resilience to the uncertainty, tariff and energy shocks, together with above-trend productivity growth, masks K-shaped growth, driven by investment linked to AI-optimism and consumption by the wealthiest amid a wealth effect (historically high stock market valuations). Inflation overshooting is set to continue (3.5% in 2026) at least through 2028, largely because of the rise in oil prices and tariffs – although the impact of these latter appears to be less significant than expected. The labour market is showing clear signs of improvement that should bring the unemployment rate down toward 4.0%. Given this shift in price and employment risks amid dynamic growth, the FOMC proceeded with a first rate hike at September's meeting and we expect two further 25bp increases in December 2026 and January 2027, bringing the Fed Funds target range at 4.25% - 4.50%.

CHINA

Economic growth rebounded to 4.5% y/y in Q3 2026 (1.2% q/q) after 4.3% y/y in Q2 and 5.0% in Q1. It is projected to reach 4.6% in 2026 as a whole, down from 5% in 2025. Growth remains characterised by a K-shaped trajectory, and the gap between the strong performance of exports and the fragility of sectors that rely on domestic demand has widened this year. Retail sales barely increased in the first nine months of 2026, the crisis in the property sector has continued and household confidence remains low. Fiscal policy measures aimed at supporting investment and private consumption will increase over the last months of the year. CPI inflation has rebounded slightly since last March, mostly due to the rise in global energy prices, as well as due to the increase in electronic good prices and anti-involution measures implemented by the authorities. Deflationary pressures persist, however, given weakness in domestic demand.

EUROZONE

The economy has shown resilience in the face of the energy shock: GDP grew by 0.4% q/q in Q3, and the 1.0% growth carry-over for 2026 supports our forecast of 1.1% for the year as a whole (compared to 1.3% in 2025) with the risk tilted to the upside. Growth is expected to strengthen to 1.6% in 2027, bolstered by increased spending on defence and infrastructure, as well as the global investment cycle in AI. Annual average inflation is thus expected to reach 3.1% in 2026 (from 2.1% in 2025), and 3.2% in 2027. Given persistent inflation and resilient growth, we anticipate another 25bp hike from the ECB in December 2026, bringing the deposit rate to 2.75%, followed by an extended pause. That said, stronger than expected second-round effects could lead to more tightening than our current baseline.

FRANCE

GDP contracted by 0.1% q/q in Q3 2026 (following stagnation in Q2), weighed down by a decline in aeronautics production (delay in the delivery of inputs) but supported by service sector output and purchases of electric vehicles. Overall, growth is expected to slow to 0.3% in 2026 (after 0.9% in 2025) before rebounding to 0.8% in 2027. In parallel, inflation should reach 2.5% in 2026 (compared with 0.9% in 2025), before edging down slightly in 2027 (2.4%).

UNITED KINGDOM

UK GDP growth would improve slightly to 1.3% in 2026 and remain at this level in 2027 (1.2% in 2025). The economy has so far weathered both the energy price shock and domestic political volatility. That said, growth is expected to decelerate in the second half of the year, while inflation is set to remain stubbornly above target (averaging 3.2% in 2026 and 3.5% in 2027), driven by higher energy prices and mounting second-round effects. In response, the BoE has finally raised its Bank Rate to 4.00%; If a second-rate hike looks likely for February, our baseline scenario projects that easing will resume in the second half of 2027, with two cuts taking the Bank Rate down to 3.50% by year-end.

JAPAN

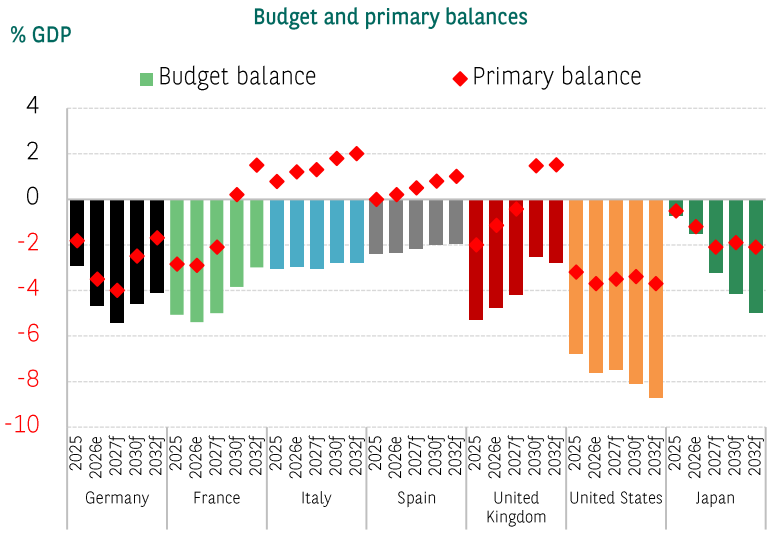
Following 1.2% in 2025, Japan's GDP growth is expected to decelerate to 1.0% in 2026, before rebounding to 1.2% in 2027. Higher inflation and production costs associated with the energy shock are expected to weigh on the economy's overall performance. On the other hand, the latter is supported by fiscal policy and AI-related investment. Inflation has generally overshot the 2% y/y target since 2022. Accordingly, the Bank of Japan initiated a cautious process of "adjustment in the degree of monetary accommodation" in 2024, lifting the policy rate to 1.25% so far (previously negative) – the highest since 1995. We expect two more hikes by the end of Q1 2027, followed by a return to a more cautious pace until the terminal rate of +2.5% is reached in H2 2028. Japan is facing long-term rates pressure, illustrated by historically high 10- and 30-year yields, probably fueled by the level of public debt and the pace of monetary adjustment.

EXCHANGE RATES

We expect Fed hikes to temporarily offset structural headwinds and support the dollar. EUR/USD would target 1.14 by end-2026, before the dollar's structural downtrend resumes toward 1.20 by end-2027, although political and fiscal risk may weigh on the euro next year. The USD/JPY appreciation would continue but at a more moderate pace, with the BoJ still behind the curve despite its hikes. By contrast, GBP/USD would see relative support underpinned by a modest fiscal risk premium under the new Labour government, and resilient growth.

Summary: Rising interest rate pressure does not prevent several countries from reducing their debt

Consolidation in Europe but not in Japan or the United States

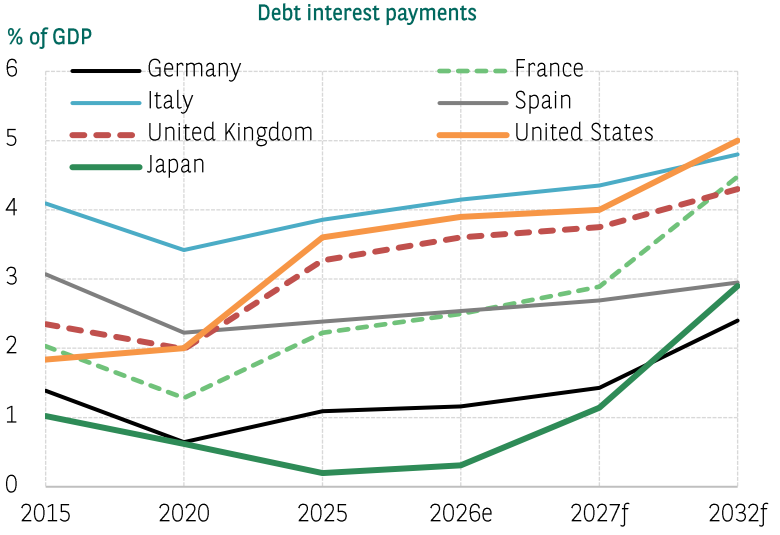


Source: IMF, BNP Paribas

Fiscal policies are heading in opposite directions. In the United States, the public deficit is set to continue widening, reaching nearly 9% of GDP by 2032 (including a federal deficit of 7.2%), due to a lack of effort to improve the primary balance.

The public deficit is also set to rise in Germany (investment plans) and Japan (pro-growth policies). Conversely, the United Kingdom and France (with a greater risk of deviation from the central scenario in France) are expected to continue their fiscal consolidation and return to a primary surplus before 2030. The budget deficit in Italy and Spain is expected to remain below 3% of GDP. In Italy, the primary surplus is expected to be largely absorbed by interest payments.

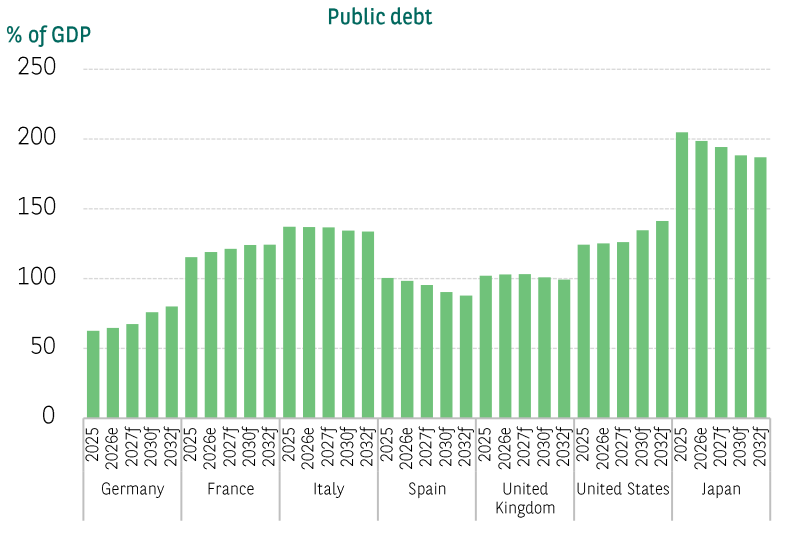
A generalised rise in interest payments by 2032



Source: IMF, BNP Paribas

Interest payments are set to rise in all countries, as debt issued at low rates gradually matures and must be refinanced on current terms. France would experience the sharpest rise: its interest payments would double by 2032 and approach the Italian level. Germany and Japan would also see their interest payments more than double from low levels. The United States would reach the highest level in the sample (5% of GDP). Signalling a shift in the economic regime, the gap between the apparent interest rate and nominal growth would become unfavourable in most European countries. As growth alone cannot, under these conditions, guarantee a reduction in debt ratios, primary surpluses will be necessary.

Rising debt ratios in the United States, Germany and France, but a decline elsewhere

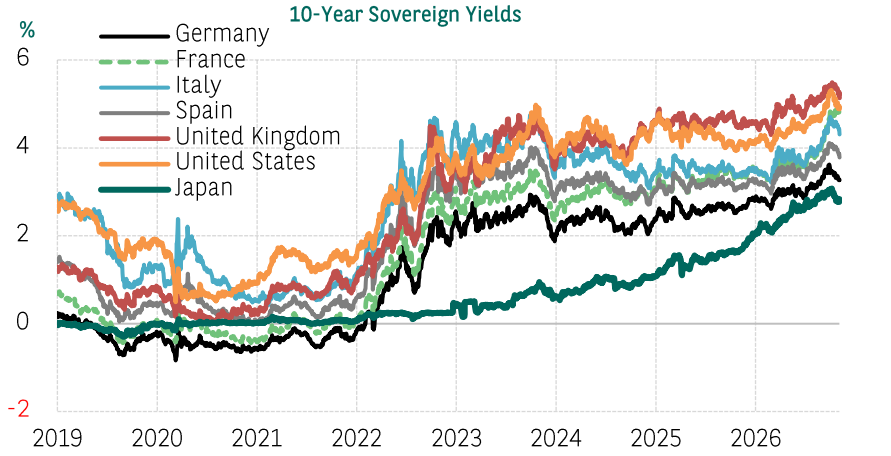


Source: IMF, BNP Paribas

By 2032, debt trends will remain mixed. Debt is set to rise sharply in Germany and the United States, where it would exceed Italy's level as early as 2030. In France, it is expected to rise further before stabilising in 2032 at around 124.5% of GDP. Conversely, Spain and Japan are projected to reduce their debt levels significantly, thanks to sustained nominal growth and a more moderate rise in their interest burden. Italy and the United Kingdom would see a slight decline in their debt levels. Risks remain skewed to the upside: a combined shock to interest rates and growth would weigh heavily, particularly on countries with the highest financing needs, starting with the United States and Japan.

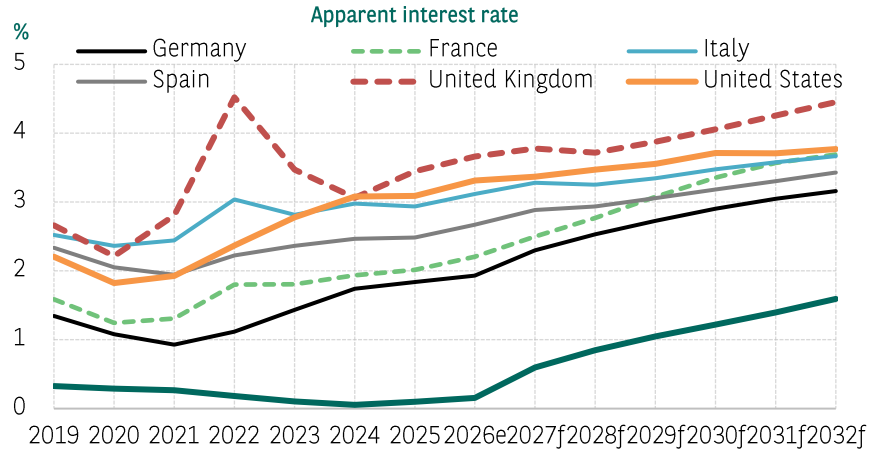
The cost of debt will continue to rise

A return to market rates not seen for 25 years



Source: IMF, European Commission, BNP Paribas

The rise in market rates is feeding through to nominal rates



Source: IMF, European Commission, BNP Paribas

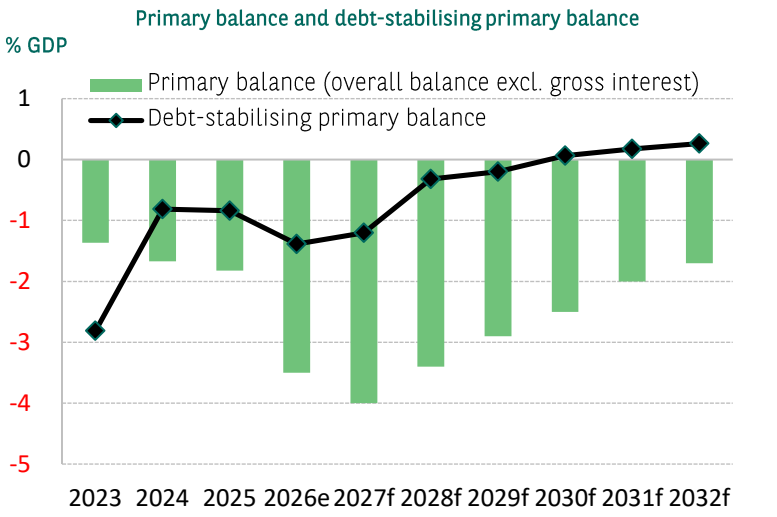
	Date	Germany	France	Italy	Spain	UK	US	Japan
Average residual maturity (years)	Sept. 2026	8.3	8.1	7.0	7.6	13.1	5.8	8.6
	Dec. 2019	8.0	7.8	6.9	7.6	15.7	5.7	8.0
Net debt[1] (% of GDP)	2025	47.1	108.4	127.7	86.0	93.6	96.7	132.4
% short-term debt (< 1 year)	2025	3.4	5.7	4.3	4.7	2.9	17.1	12.2
% held by non-residents	-	51.3	59.7	34.3	48.9	33.6	31.9	13.1
% inflation-indexed	2025	2.1	8.9	8.8	5.4	22.3	5.6	0.0
% debt held by the Central Bank	Sept. 2026	28.1	18.5	18.2	23.9	23.3	23.8	41.2
	Dec. 2019	33.3	21.4	18.1	24.9	23.0	15.0	43.7
Primary expenditures (% of GDP)	2025	49.0	55.0	47.3	42.9	40.2	34.0	36.8
Revenues (% of GDP)	2025	47.2	52.2	48.1	42.9	38.2	30.5	36.3

[1] *Net debt: the sum of all liabilities minus financial assets that are debt instruments (IMF)*

Source: IMF, European Commission, national Source

Germany: The fiscal shift is fuelling rising debt (1/2)

A primary deficit exceeding the debt-stabilising level

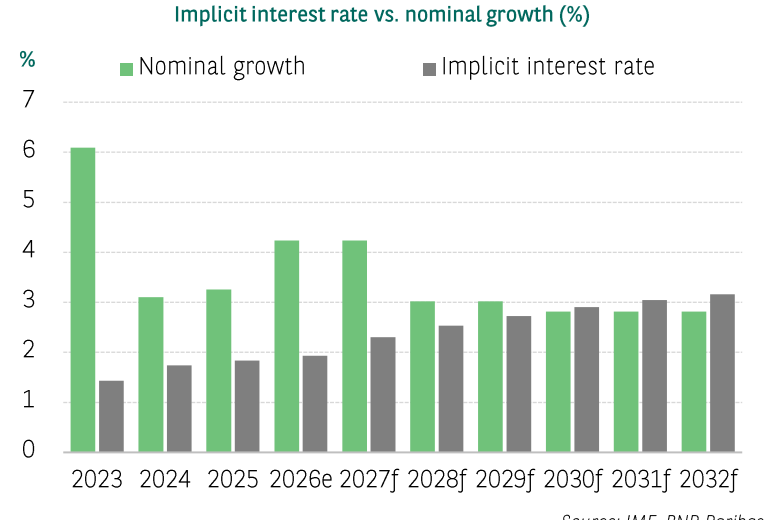


Source: IMF, BNP Paribas

Germany's primary deficit is expected to widen significantly in 2026 and 2027, driven by rising infrastructure and defence spending, made possible by the relaxation of fiscal rules. The primary balance will continue to exceed the debt-stabilising level in the coming years, despite a gradual reduction in the deficit from 2028 onwards.

Given the gradual rise in the implicit interest rate on debt over the forecast horizon, the improvement in the primary balance will need to accelerate to allow debt to stabilise.

An unfavourable interest rate-growth differential from 2030 onwards

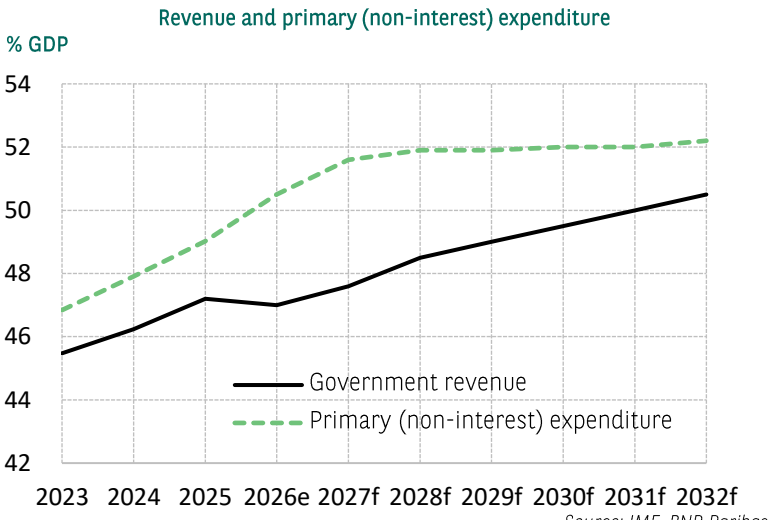


Source: IMF, BNP Paribas

Having benefited from nominal growth that was significantly higher than the implicit interest rate on its debt, Germany is expected to see this situation reverse from 2030 onwards.

The implicit interest rate is projected to rise from 1.93% in 2026 to 3.16% in 2032, driven by the gradual refinancing of debt on less favourable terms. At the same time, nominal growth is expected to slow, falling from 4.2% in 2026 to 2.8% in 2032 due to a slowdown in real growth (from 1.3% in 2026 to 0.7% in 2032). Consequently, the interest-growth differential would gradually become unfavourable, contributing to a sharper rise in the public debt ratio towards the end of the period.

In the short term, a sharp rise in primary expenditure



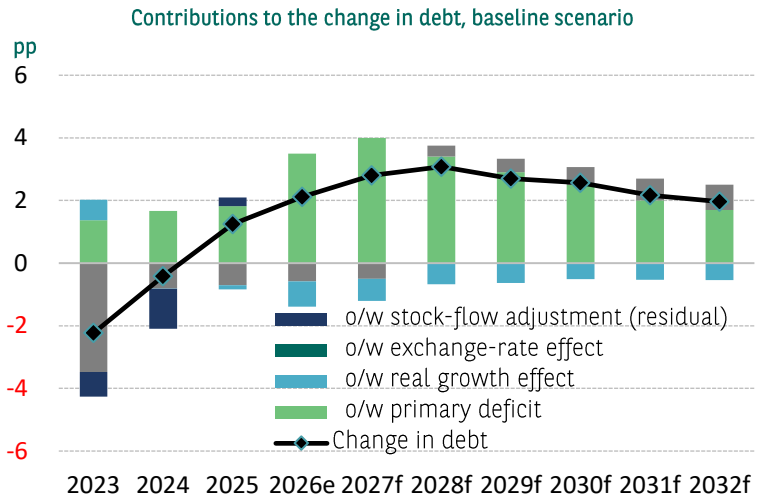
Source: IMF, BNP Paribas

Driven by infrastructure investment and increased defence spending, primary public expenditure (excluding interest) is expected to rise sharply from 2026 onwards.

Whilst public revenue is also expected to rise, particularly due to the acceleration in GDP growth, this increase would remain insufficient to offset the rise in expenditure, leading to a widening of the primary deficit.

Germany: The fiscal shift is fuelling the rise in debt (2/2)

The primary deficit: the main driver of rising public debt

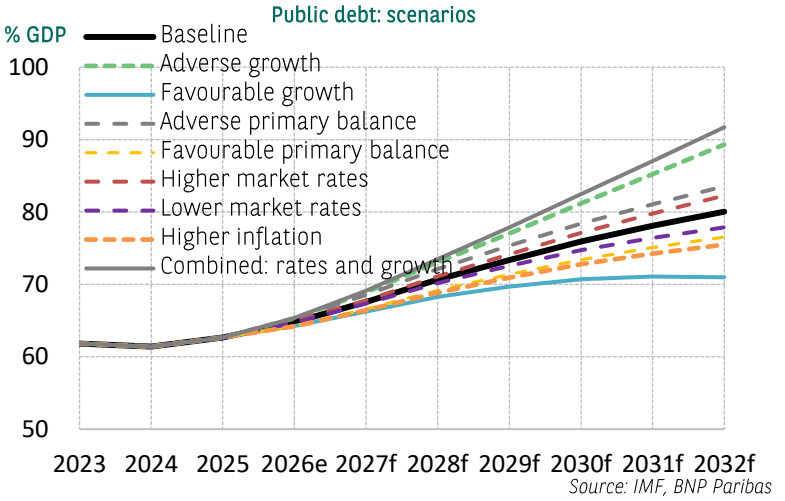


Source: IMF, BNP Paribas

The rise in public debt is expected to remain moderate. The increase in the public debt ratio is likely to be driven mainly by the primary deficits resulting from the new fiscal stance. The favourable effect of GDP growth would help to partially mitigate this impact, though without fully offsetting the positive contribution from the deficits and the interest burden.

German public debt is expected to reach 80% by the end of the forecast period (2032), compared with 62.7% in 2025.

Debt will rise even under a favourable scenario



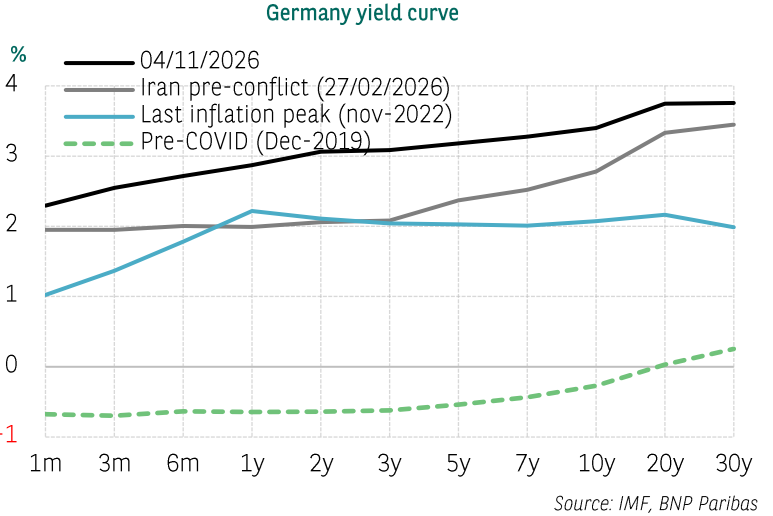
Source: IMF, BNP Paribas

Note: the 'growth' and 'primary balance' scenarios incorporate, respectively, a negative shock to growth and to the deficit of 0.5 percentage points of GDP per year compared with the baseline scenario; the 'interest rate' scenario incorporates a 1 percentage point rise in the implicit interest rate.

The debt trajectory is sensitive to macroeconomic and financial assumptions. In our alternative adverse scenarios, it is the combination of lower growth and a rise in market interest rates that would have the most adverse impact. This scenario remains unlikely, as we consider German growth to be robust.

Conversely, more favourable assumptions regarding growth, the primary balance and rates would limit the rise in debt, but would not stabilise the debt-to-GDP ratio.

A significant tightening of financing conditions



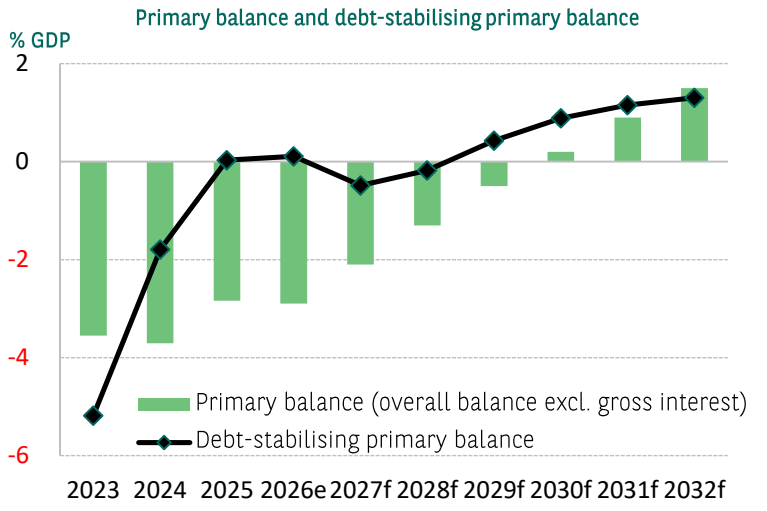
Source: IMF, BNP Paribas

The yield curve has shifted significantly upwards from its previous levels, particularly for long-term maturities.

This development, combined with rising public borrowing requirements, is likely to contribute to a gradual increase in the interest burden as existing debt matures and is refinanced at higher rates.

France: Public finances hampered by weak growth (1/2)

A primary deficit too high to stabilise the debt

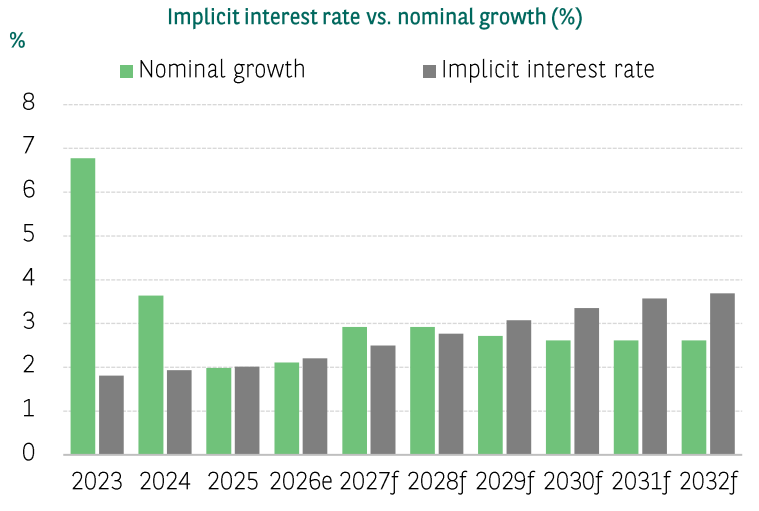


Source: IMF, BNP Paribas

The reduction in the primary budget deficit remains very limited compared with the level observed in 2024. It came to a halt in 2026, and the gap between the actual balance and the balance required to stabilise the debt has even widened.

In the coming years, the primary balance is expected to remain worse than the debt-stabilising balance. The public debt ratio is therefore likely to continue rising. By 2032, the effort required to stabilise the debt ratio is expected to reach nearly 4 percentage points of GDP (*i.e.* EUR 140 billion). To achieve this, France will need to generate a primary surplus.

The effective interest rate will exceed growth from 2028 onwards

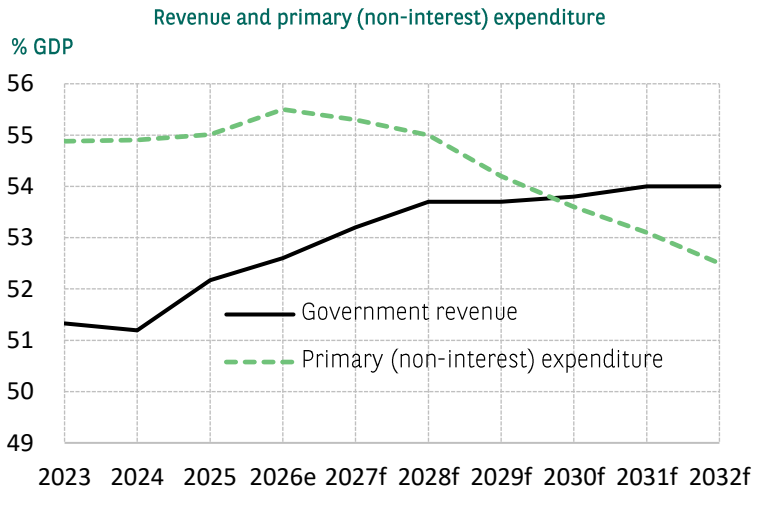


Source: IMF, BNP Paribas

The low level of real GDP growth in 2026 (0.3%) does not prevent nominal growth from remaining above the effective interest rate (due to inflation). Furthermore, the rise in the effective interest rate is very gradual (reaching 2.2% in 2026) because part of the debt was issued at very low interest rates.

The rise in the effective interest rate is set to accelerate. Debt currently being issued carries a rate of close to 5%, whilst maturing debt carries a rate of less than 1%. Consequently, the effective interest rate will continue to rise and exceed nominal GDP growth from 2028 onwards.

Fiscal consolidation is relying in increased revenues



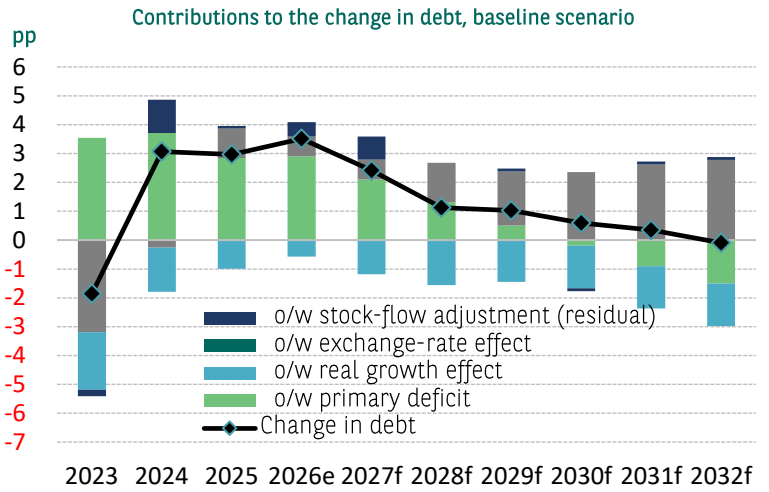
Source: IMF, BNP Paribas

So far, the consolidation of public finances has relied on increased revenue. This was the case in 2025, when the government managed to meet its deficit target. Revenue is expected to continue rising in 2026 and 2027. Expenditure is expected to remain virtually unchanged, due to rising defence spending and the indexation of social expenditure to inflation, which has been in place to date.

A reduction in the share of public expenditure in GDP appears necessary to cut the public deficit more significantly. However, we do not anticipate this happening before 2028, as the current government does not have the necessary majority in the National Assembly to push through such a policy.

France: Public finances hampered by weak growth (2/2)

A rise in debt caused by deficits



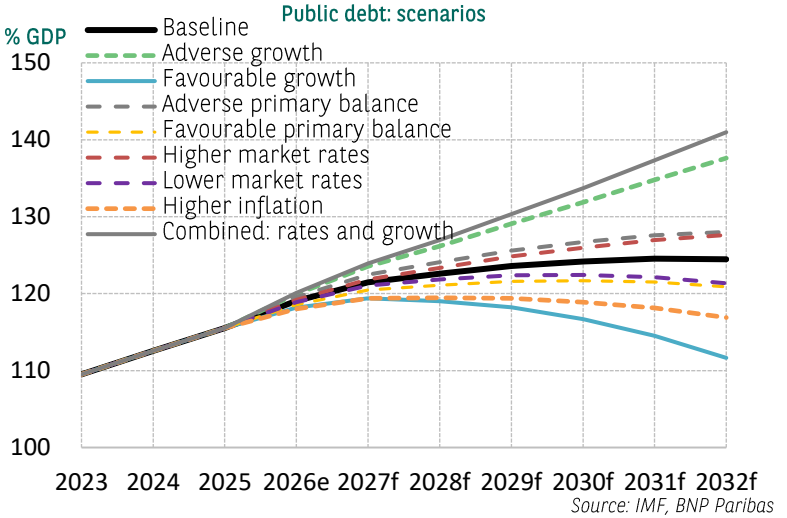
Source: IMF, BNP Paribas

The high primary deficit is the main driver of the rise in the public debt-to-GDP ratio (+3.3 percentage points of GDP in 2026). This is expected to remain the case in 2027.

The slowdown in growth is also having an impact, as, since 2025, growth has been doing significantly less to mitigate the rise in the public debt-to-GDP ratio.

The effective real interest rate still plays a relatively minor role in debt dynamics. Its role will strengthen from 2028 onwards (with the expected decline in inflation) and will eventually become the primary driver of the rise in the public debt ratio. From 2030 onwards, primary surpluses will therefore be a necessary condition for stabilising public debt.

Public debt ratio: upside risks predominate

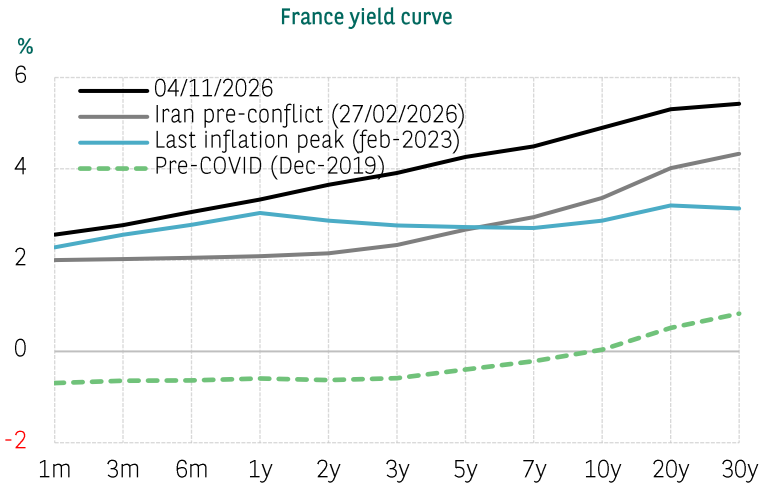


Source: IMF, BNP Paribas

Note: the 'growth' and 'primary balance' scenarios incorporate, respectively, a negative shock to growth and to the deficit of 0.5 percentage points of GDP per year compared with the baseline scenario; the 'interest rate' scenario incorporates a 1 percentage point rise in the implicit interest rate.

Our baseline scenario anticipates an increase in public debt to 124.5% of GDP in 2032, at which point it would stabilise. However, this scenario assumes a significant reduction in the public deficit in the meantime, with a primary surplus of 1.5% of GDP in 2032. According to our calculations, **postponing this consolidation by one year** (as in 2026, when the public deficit did not fall) **would result in an additional 2pp rise in the public debt ratio by 2032.** Whilst higher growth would help stabilise the debt ratio more quickly, the risks appear to be moderately skewed to the downside in the short term.

The rise in interest rates is substantial and has accelerated



Source: IMF, BNP Paribas

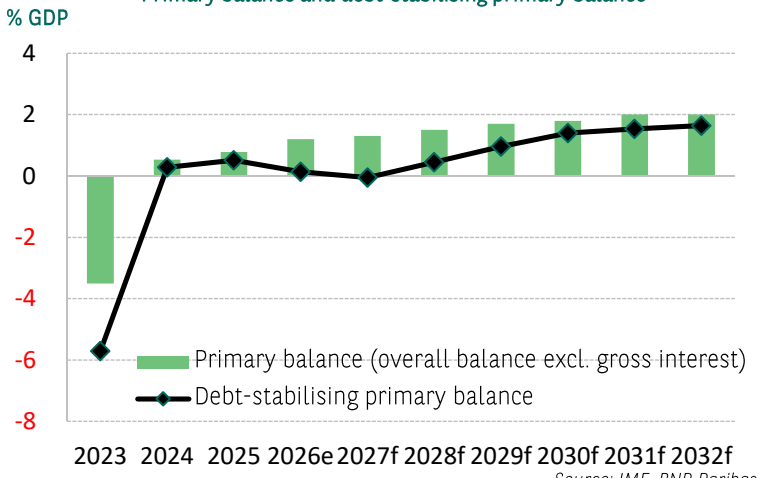
The rise in interest rates has accelerated further since the outbreak of the conflict in the Middle East. This trend is partly common to all advanced economies due to the rebound in inflation expectations. However, France has seen its *spread* widen to 160 basis points by the end of October (175 basis points at its peak) relative to Germany.

The rise in short-term rates remains moderate due to the ECB's gradual rate hikes. The rise in long-term rates is more pronounced, highlighting market concerns regarding the government's stated fiscal consolidation target. This rise will only be gradually passed on to the effective interest rate due to the relatively long average maturity of public debt (just over 8 years).

Italy: Debt stabilisation remains fragile (1/2)

A growing primary surplus

Primary balance and debt-stabilising primary balance

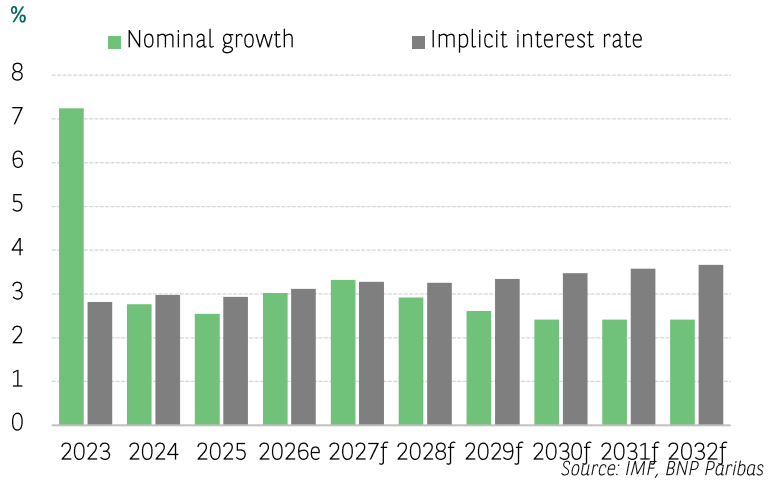


Source: IMF, BNP Paribas

Having returned to positive territory since 2024, Italy's primary balance is expected to continue improving. It has moved from a deficit of 3.5% in 2023 to a surplus of 1.2% expected this year, thanks to the phasing out of the support measures introduced after the pandemic, the basic income scheme and the '*Superbonus*' scheme. The primary surplus is projected to widen further, reaching 2% by 2032.

Towards growth insufficient to offset rising interest rates

Implicit interest rate vs. nominal growth (%)



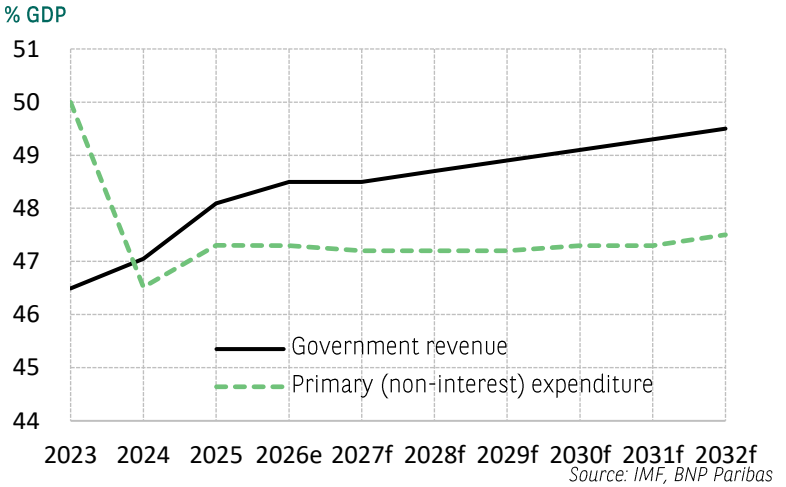
Source: IMF, BNP Paribas

Weak nominal growth and the gradual rise in the implicit interest rate on debt would continue to weigh on Italy's public finances. Following a temporary improvement in 2026 and 2027, nominal growth is projected to slow, falling from 3.3% in 2027 to 2.4% in 2032. At the same time, the effective interest rate is projected to rise gradually, reaching 3.67% in 2032 (compared with 3.12% in 2026).

This unfavourable gap from 2028 onwards would make it necessary to maintain significant primary surpluses in order to stabilise the public debt ratio.

Rising revenue, prudent spending

Revenue and primary (non-interest) expenditure



Source: IMF, BNP Paribas

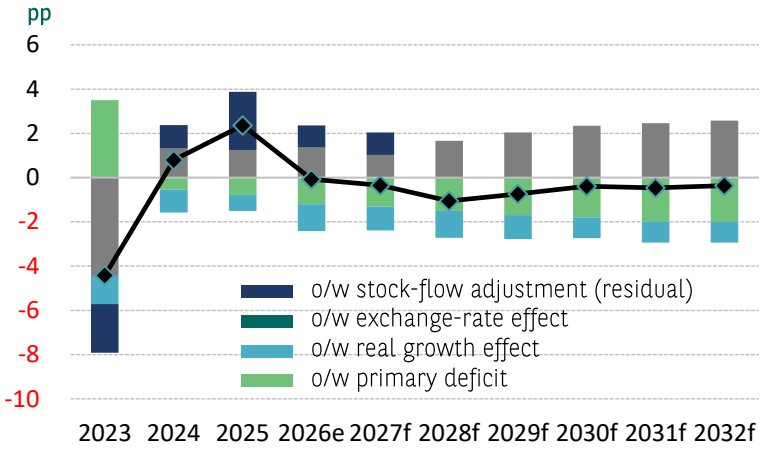
The growth in public revenue, which is outpacing expenditure (excluding interest payments), will enable Italy to gradually consolidate its primary surplus and contain the rise in public debt.

Public revenue will remain higher than expenditure excluding interest payments as part of fiscal consolidation efforts and compliance with European rules, despite pressures, notably from pension and defence spending.

Italy: Debt stabilisation remains fragile (2/2)

Primary surpluses offset the impact of high interest rates

Contributions to the change in debt, baseline scenario



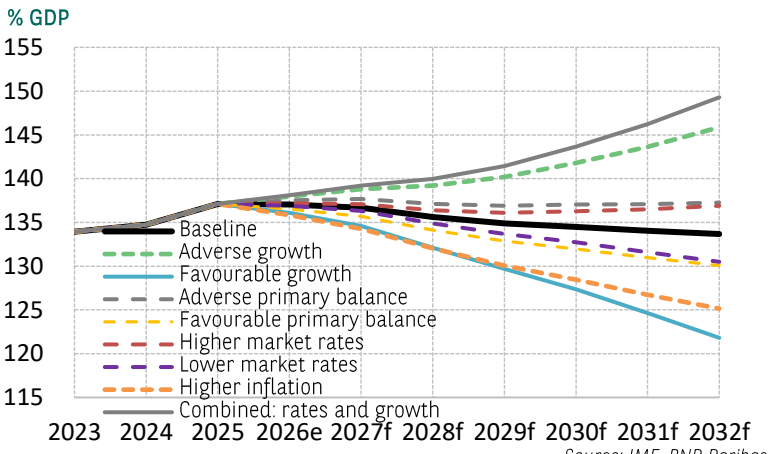
Source: IMF, BNP Paribas

Following a rise in the debt-to-GDP ratio in 2024 and 2025, driven in particular by significant stock-flow adjustments linked to the *'superbonus'* scheme, **Italy's public debt is expected to stabilise gradually.**

The debt-to-GDP ratio is projected to reach 137% of GDP in 2026, before falling to 133.7% by the end of our forecast horizon (in 2032), driven by nominal growth and primary surpluses offsetting the interest burden, which will, however, increase from 2029 onwards.

Debt stabilisation depends on macroeconomic assumptions

Public debt: scenarios



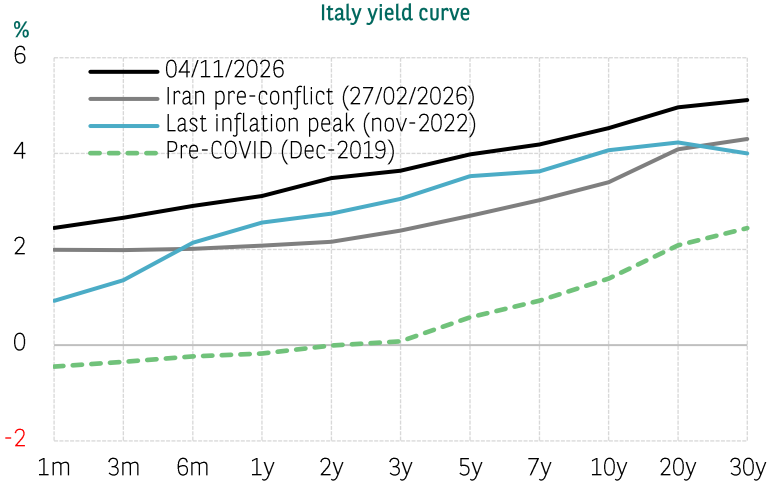
Source: IMF, BNP Paribas

Note: the 'growth' and 'primary balance' scenarios incorporate, respectively, a negative shock to growth and to the deficit of 0.5 percentage points of GDP per year compared with the baseline scenario; the 'interest rate' scenario incorporates a 1 percentage point rise in the implicit interest rate.

Despite its gradual stabilisation over our forecast horizon, Italy's public debt is expected to remain one of the highest in the Eurozone. The trajectory of our baseline scenario remains particularly sensitive to the assumptions made: a slowdown in growth, a larger-than-expected rise in interest rates or a deterioration in the primary balance could lead to a further increase in Italy's debt. Conversely, more favourable conditions would allow for a more marked reduction in the debt-to-GDP ratio.

Sustained rise in borrowing costs

Italy yield curve



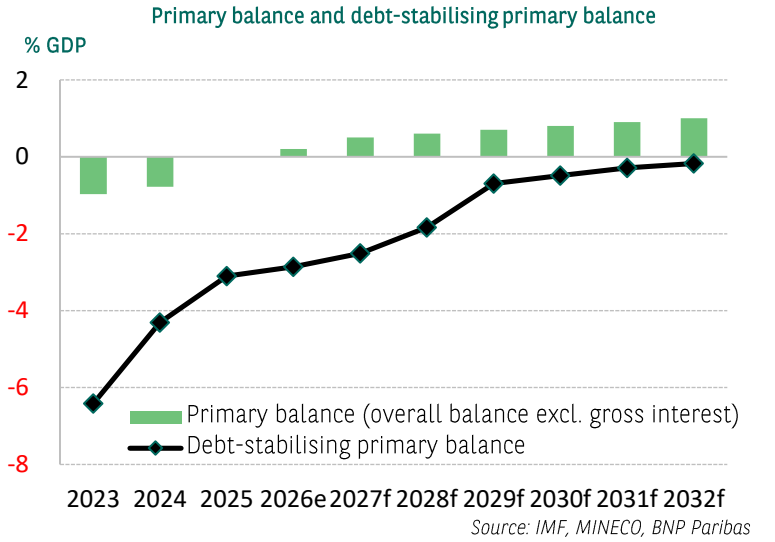
Source: IMF, BNP Paribas

Since the start of the year, interest rates have risen and the yield curve has steepened. The current slope is close to that observed in the pre-Covid period, albeit at a significantly higher level.

The gradual refinancing of debt at higher rates is expected to continue to increase the interest burden, limiting fiscal manoeuvre.

Spain: Debt reduction supported by growth (1/2)

The primary surplus is driving down the public debt ratio

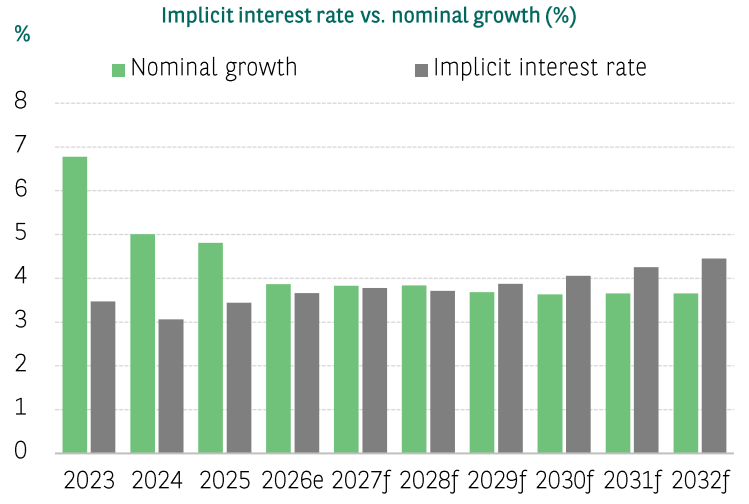


Source: IMF, MINECO, BNP Paribas

Primary surpluses are expected to rise steadily until 2032 (reaching +1% of GDP by then). Beyond the temporary impact of the 2026 energy support measures, fiscal discipline would enable this surplus to be maintained.

This primary balance should stay above the stabilising balance, ensuring a continuous reduction in the public debt ratio. From 2029 onwards, the gap between the two will narrow, which would result in a slowdown in debt reduction over the medium term.

Interest rates are expected to keep pace with growth without exceeding it

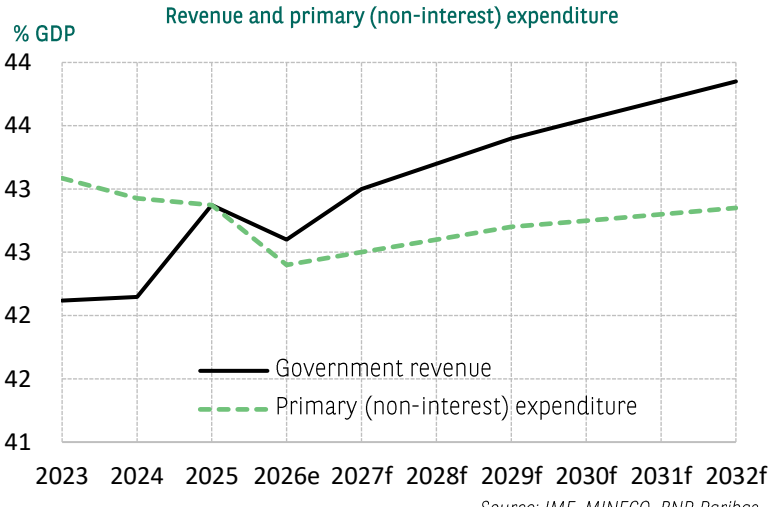


Source: IMF, MINECO, BNP Paribas

Nominal growth is expected to remain above the implicit interest rate on public debt throughout the forecast horizon. Despite its gradual slowdown, from 5.7% in 2026 to 3.6% in 2032, it would continue to benefit from robust real growth (1.9% on average) and inflation above 2%. At the same time, the implicit interest rate is expected to rise gradually as a result of debt refinancing at higher rates.

Maintaining a positive spread between nominal growth and the implicit interest rate will help to reduce the public debt ratio, although this effect will diminish over time.

Growth underpins public revenue



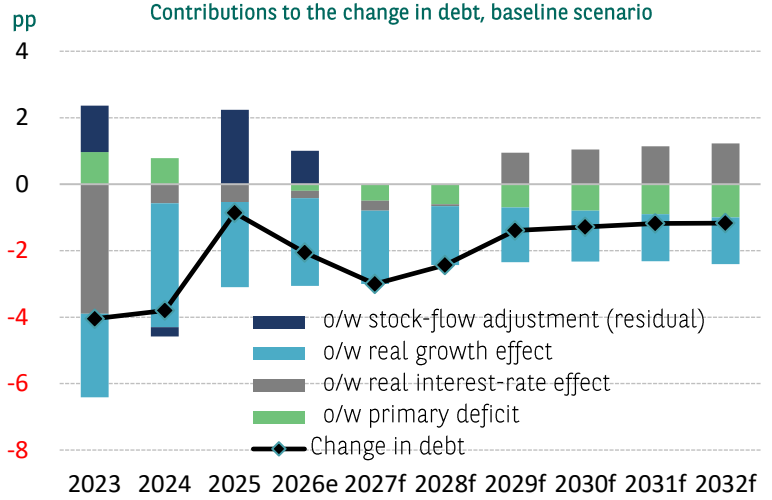
Source: IMF, MINECO, BNP Paribas

Public expenditure excluding interest payments is set to rise slightly to around 42.9% of GDP through to 2032. At the same time, revenue is expected to grow, supported by a strong labour market, resilient consumption and effective tax collection.

The lack of a parliamentary majority has restricted room for manoeuvre on the spending front. The 2023 budget has been deferred to the 2024–2026 period, leading to a reduction in discretionary spending. The rise in defence spending remains contained as Spain has secured an exemption from NATO's 5% target; it is maintained at 2.1% of GDP, a level reached in 2025. However, these constraints will be eased if the higher spending ceiling, provided for in the 2027 budget, is implemented.

Spain: Debt reduction supported by growth (2/2)

Debt reduction driven by growth

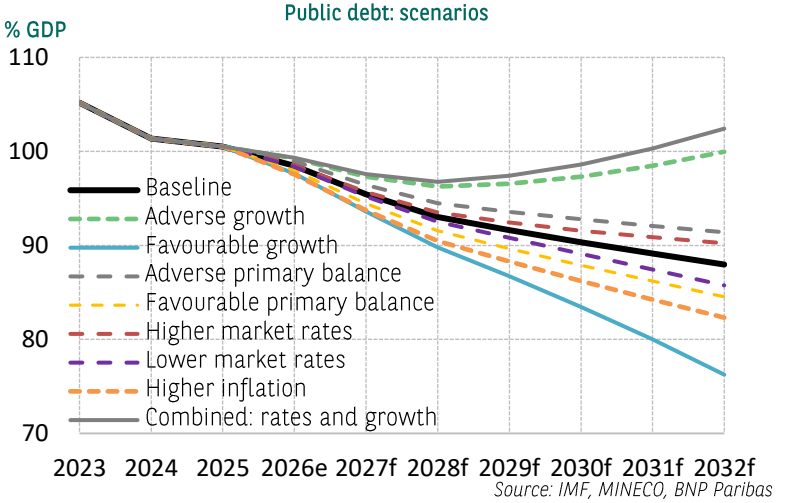


Source: IMF, MINECO, BNP Paribas

Strong growth, combined with a favourable trend in the primary balance, is facilitating a continuous reduction in public debt throughout the forecast period. However, this decline is expected to slow from 2027 onwards.

From 2029 onwards, real interest rates are expected to become a drag. Despite higher financing costs, the primary balance will remain positive and continue to support debt reduction.

Debt will fall unless there is a very negative surprise regarding growth



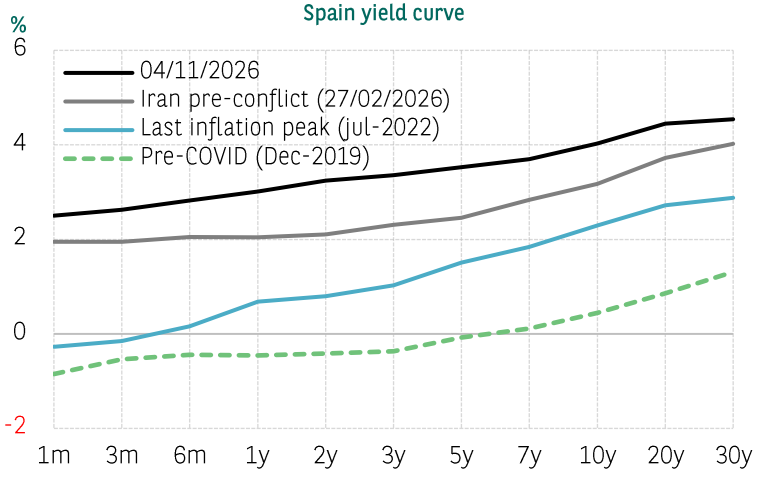
Source: IMF, MINECO, BNP Paribas

Note: the 'growth' and 'primary balance' scenarios incorporate, respectively, a negative shock to growth and to the deficit of 0.5 percentage points of GDP per year compared with the baseline scenario; the 'interest rate' scenario incorporates a 1 percentage point rise in the implicit interest rate.

According to our central scenario, public debt will fall below 90% of GDP as early as 2030 , after reaching 100.5% in 2025, to stand at 88% in 2032. This trend confirms the persistence of a downward trajectory, even as macroeconomic conditions evolve.

Growth momentum remains the key factor : both the main risk and a source of opportunity for the debt trajectory. In the majority of scenarios, debt reduction would continue, whilst the most adverse scenario – combining a rise in market rates and unfavourable growth – is the only case in which public debt would once again exceed 100% of GDP from 2031 onwards.

A rise in market rates



Source: IMF, MINECO, BNP Paribas

The yield curve has shifted upwards since the start of the conflict in Iran, with the sharpest rise in the 2–5-year segment.

Financing costs are coming under gradual pressure, with the rise in rates slowly but surely feeding through to the interest burden. The average cost of debt is expected to continue rising as maturing debt is rolled over at higher interest rates.

ECOINSIGHT

Issue 21
5 November 2026

COUNTRY RISK PROFILE: INDIA

Johanna Melka – November 2026

- Over the past two years, India has demonstrated remarkable resilience in the face of external shocks, while its macroeconomic fundamentals have remained solid.
- India's economic growth is one of the highest among emerging countries and medium-term forecasts are favourable. However, structural constraints on India's development are significant. Its industrial base remains too small to absorb its vast labour force. The country needs to accelerate reforms to address two key structural challenges: i) adapting the services sector to AI, ii) accelerating industrial development.
- India has multiplied Free Trade Agreements to improve its integration in global trade, increase its attractiveness and develop its industrial sector.
- Risk profile: the banking sector has strengthened significantly over the past five years and is supporting economic activity. External accounts are solid with a low external debt and large FX reserves. A major weakness is the government's limited fiscal room for manoeuvre resulting from the very narrow fiscal base and heavy debt interest payments.

Key Indicators

Fiscal year from April 1 of year n-1 to March 31 of year n		2022/23	2023/24	2024/25	2025/26	2026/27f	2027/28f
External solvency	External debt / GDP (%)	19.6	19.1	20.1	20.2	20.9	21.3
	Ext. debt service / G & S exports (%)	80.0	85.7	88.8	88.1	86.5	85.8
External liquidity	Forex reserves (USD bn)	509.7	570.9	567.6	552.3	578.0	608.0
	In months of G & S imports	7.1	7.8	7.6	6.7	6.2	6.4
Financial	Short-term debt / FX reserves (%)	25.8	23.1	24.6	27.0	28.0	27.8
Vulnerability	Short-term external liabilities* / forex reserves (%)	52.5	50.0	49.3	47.7	NA	NA
Activity	Real GDP growth (%)	7.6	7.3	7.2	7.8	7.1	6.9
Imbalances	Inflation (CPI, average, %)	6.6	5.4	4.6	2.1	5.1	4.9
	Budget balance / GDP (%)	-8.7	-8.7	-8.6	-7.8	-7.6	-7.5
	Government debt / GDP (%)	85.1	85.1	84.4	84.6	83.7	83.1
	Current account balance / GDP (%)	-2.1	-0.7	-0.6	-0.7	-1.6	-1.4

Sources: IMF, RBI, BNP Paribas. * Include short-term external debt and the stock of foreign portfolio equity investments.

Level of Development

	2026	Real growth rate (FY22/FY26)
GDP (USD billion)	3908	7.9
GDP / cap (USD)	2670	7.0
Population (million)	1.4	0.9

FC sovereign ratings

S&P	Moody's	Fitch
BBB	Baa3	BBB-

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STRONG RESILIENCE TO EXTERNAL SHOCKS, SOLID MACROECONOMIC FUNDAMENTALS

- Over the past two years, India has demonstrated remarkable resilience in the face of external shocks, while its macroeconomic fundamentals have remained solid.
- In FY2025/2026 (ended in March 2026), India was hit by a sharp rise in US tariffs. However, thanks to supportive fiscal and monetary policies, real GDP grew by 7.8% in FY2026, placing India among the fastest-growing Asian economies.
- For the current fiscal year, the Indian economy is facing rising energy prices (due to the conflict in the Middle East and increased food prices because of an unfavourable monsoon) as well as monetary tightening. Nevertheless, despite these new challenges, real GDP growth is expected to exceed 7%.
- India is currently in a stronger position than it was in 2022 to cope with the new energy shock. The fiscal leeway to support the economy has increased with the decline in the fiscal deficit, and inflation is more contained.
- Although rising energy prices have put pressure on external accounts, FX reserves remain sufficient to cover the country's short-term external financing needs. Yet, downward pressures on the rupee have been significant and could persist in the short term.

  In H1 2026, India's external accounts withstood the rise in energy prices fairly well, notably thanks to the sharp increase in workers' remittances. The widening of the trade deficit was primarily due to the substantial increase in machinery and equipment imports while the oil trade deficit increased only moderately, as the rise in energy prices was offset by a decline in import volumes. However, in H2 2026, the oil trade deficit is expected to widen significantly.

  Additionally, large portfolio outflows have exacerbated downward pressure on the rupee, necessitating interventions by the central bank in foreign exchange markets and the adoption of regulatory measures to support the currency. Although these measures have led to a rebound in the rupee (at least temporarily), inflationary pressures, volatile portfolio investments, and low net foreign direct investments are expected to continue to put pressure on the currency.
- Downward pressures on the rupee and rising bond yields will reduce the government's already limited fiscal capacity to increase public investment and support economic development. However, this will not undermine its ability to refinance its debt, given its safe structure.
- The banking sector is sufficiently robust to cope with the expected rise in credit risks.

STRONG ECONOMIC GROWTH DESPITE STRUCTURAL CONSTRAINTS

- In October 2026, the IMF revised upward India's medium-term growth forecast from 6.5% to 6.8% per year. Nonetheless, to achieve such strong growth performance, India will have to adapt to the challenges posed by artificial intelligence (AI), while its infrastructure and education system are not prepared for it.
- Moreover, India's development remains highly uneven. The middle class is still modest. This is explained by a large informal economy, heavy concentration of employment in low value-added sectors such as agriculture, low participation rates among women and youth, and limited industrial development. All this, in turn, reflects India's weak integration into global value chains.
- India faces two key structural challenges: i) adapting the services sector to AI and ii) accelerating industrial development. Even with progress in sectors such as smartphones and pharmaceuticals, India's industrial base remains too small to absorb its vast labour force. Labour market rigidities and the mismatch between training and business needs are holding back both the creation of quality jobs and industrial development.
- Low net foreign direct investment is a major obstacle. While India attracts new FDI, retention is weak: despite improvements in logistics, governance issues and regulatory barriers have led disinvestments to triple over the past five years.
- India may fail in completing its transition to a higher-value, more industrialised and inclusive economy if reforms do not accelerate significantly. Structural changes could lag behind pressures from its rapidly growing population and fast global technological advances.

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INDIA'S COMPLEX POSITION IN INTERNATIONAL TRADE

Low attractiveness due to unfavourable business environment and limited integration in global value chains

- Despite very strong growth, India's attractiveness is low relative to the size of its economy. The stock of foreign direct investment stood at only 15% of GDP in Q2 2026 compared to 52% of GDP in Vietnam and around 67% of GDP in Thailand and Malaysia.
- This lack of appeal can be attributed to India's still unfavourable business environment and its limited integration into global value chains. India's global market share remains low (1.9% of total world exports of goods), especially in comparison with that of China (16.1% of total exports).
- India has not benefited from the AI boom, since its exports of AI-related goods remain modest (0.5% of its total exports). However, it has benefited from the "China +1" strategy adopted by international companies seeking to diversify their production sources. Smartphone exports by India have increased 6.3-fold over the past five years and accounted for almost 6% of global exports in 2025 compared to less than 1% five years earlier.

To increase its attractiveness and develop its industrial sector, India has multiplied Free Trade Agreements

- Over the past 18 months, India has signed a growing number of free trade agreements – with the European Free Trade Association in October 2025, the United Kingdom in July 2025, Oman in December 2025, and the European Union in January 2026. This should help to develop the industrial base and demonstrates the Modi government's commitment to accelerating India's integration into global trade.

  The sectors most likely to benefit from the recent trade agreement with the EU are electronics and semiconductors, pharmaceuticals and chemicals, textile and renewable energy technologies. But expanding trade agreements without deep domestic improvements in the business environment, governance, education, and infrastructure will be ineffective. India will continue to struggle with investment retention.
- The US-India bilateral trade agreement has not yet been concluded. The two sides reached a framework for an interim Agreement in February 2026, under which the US would apply an 18% reciprocal tariff on Indian goods, with further reductions subject to the successful conclusion of the agreement. As of early October, negotiations are stalled. Key sticking points include market access, particularly in India's sensitive agricultural sector.

COUNTRY RISK PROFILE

Non transfer risk

India's external accounts are solid with a low external debt, moderate current account deficit and large FX reserves. India's net debtor position reached only 5.9% of GDP in Q2 2026. In the short term, external accounts are expected to deteriorate given the rise in energy prices while downward pressures on the rupee should remain high.

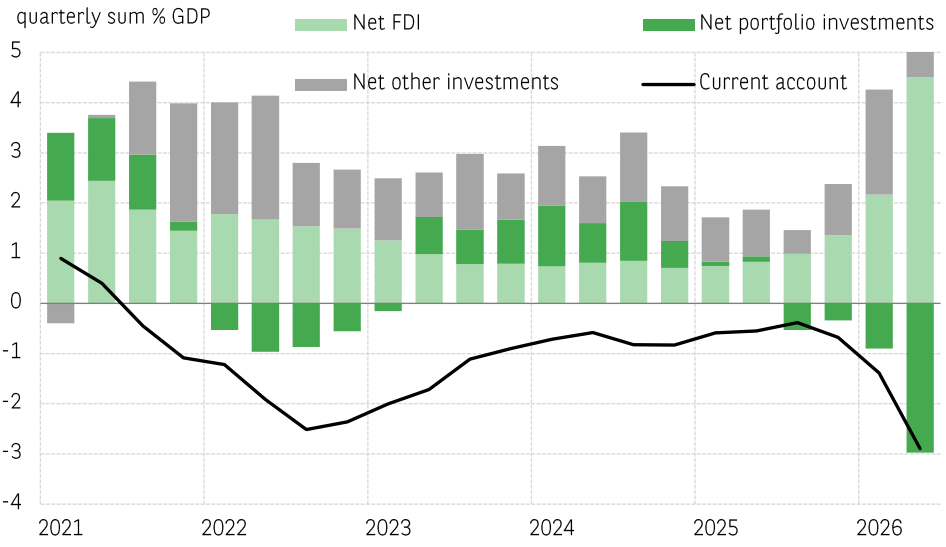
- **External accounts have remained solid despite recent adverse shocks.** In 2025, external accounts remained solid despite the significant increase in US tariffs. In H1 2026, they held up well against rising energy prices. Although the current account deficit is expected to widen for the current fiscal year as a whole, it should remain contained, and foreign exchange reserves should be more than sufficient to cover the country's short-term financing needs. The major causes for concern are the structurally low level of foreign direct investment (although it is rising) and the increased reliance on portfolio investment, which exposes the currency to greater volatility.
- **Structural vulnerability to energy price shock**. India is structurally vulnerable to an energy price shock as its oil and gas trade deficit is relatively high (2.8% of GDP in 2025). However, in H1 2026, the current account withstood fairly well the rise in energy prices especially thanks to the sharp increase in workers' remittances (+0.7 pp to 3.7% of GDP). The trade deficit widened significantly but principally because of the strong increase in machinery and equipment imports rather

than to the rise in the oil bill. The energy trade deficit increased moderately as the rise in energy prices was offset by the decline in imported volumes.

However, the trade deficit is expected to widen further during the rest of the year with the significant rise in oil prices, and the current account deficit is projected to increase to 1.6% of GDP for FY 2026/2027, compared to 0.7% of GDP for FY 2025/2026. This is still modest and slightly lower than during the previous energy shock in 2022.

- **Low net FDIs.** Although rising in H1 2026 (+0.2 point of GDP), net FDI inflows remained low at only 0.5% of GDP and did do not cover the entire current account deficit. In fact, the country's reliance on portfolio investment inflows to meet its external financing needs has gradually increased over the past five years.
- **FX reserves remain very comfortable and represent a solid buffer protecting against external shocks.** Officially, they reached USD591 bn at end-October, covering 6.5 months of imports. However, adjusted for the net short-term forward position (–USD200 bn, ~50% from RBI's dollar swaps for non-resident deposits), "usable" reserves covered only 4.6 months of imports, a historic low. Nonetheless, this constraint is future-oriented, as much of the non-resident deposit dollars are due for repayment in 3–5 years. Additionally, FX reserves still exceed external debt service (estimated at USD 63 bn by the central bank).
- **External debt is low (20.8% of GDP and 87.1% of total exports in Q2 2026).** Banks accounted for the largest share of external debt (30.9% of total), followed by non-financial corporations (29.8% of total). The general government's share reached 22.3%.
- **Currency risk: India is vulnerable to capital outflows and is very exposed to change in US monetary policy.** Its performance will continue to depend on energy prices and the spread between India's and the US government bond yields.

India's current account widened significantly



Source: RBI, BNP Paribas

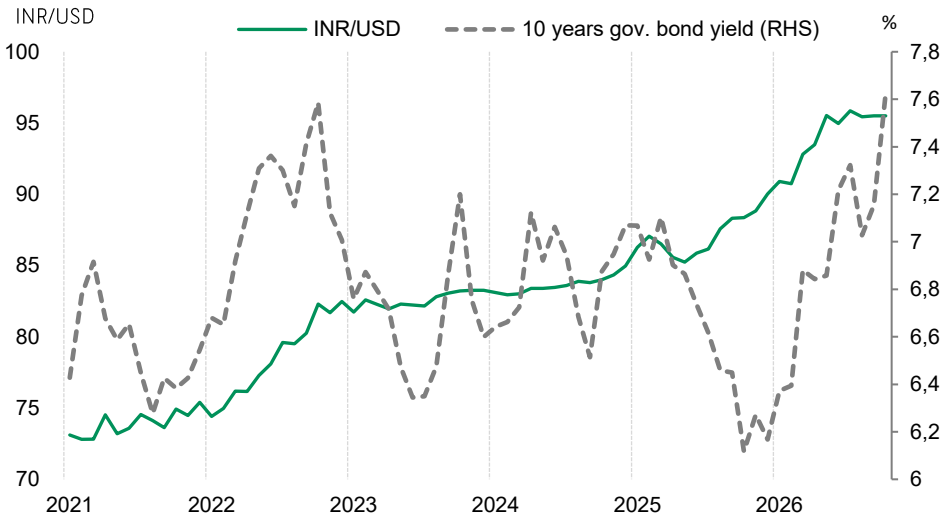
Sovereign risk

Public finances are structurally fragile and fiscal policy room is narrow, as India has one of the lowest tax bases in Asia and one of the highest debt interest burdens (second only to Pakistan). Nonetheless, the debt refinancing risk is limited given its sound profile (debt is denominated in domestic currency and held by domestic investors with a long maturity).

- **In FY2026 (ended in March 2026), public finances continued to improve.** The central government's fiscal deficit narrowed to 4.4% of GDP from 5% of GDP the previous year. However, this reduction stemmed primarily from a significant rise in dividends from the central bank. Government revenues remained low at 9.6% of GDP, with tax revenues stagnant at 7.6% of GDP. Besides, debt-servicing costs climbed to a peak of 3.6% of GDP, equivalent to 37.6% of total government revenues. The fiscal position is stronger than during the 2022 energy crisis, with the general government deficit estimated at 7.8% of GDP in FY2026, compared to 9.5% in FY2021/2022.
- For FY2027, the initial budget targets a slight reduction in the central government deficit, to 4.3% of GDP. This goal may however prove challenging due to rising subsidies amid the energy shock.

  To cushion households from the shock, the government initially kept petrol prices unchanged. Refining firms absorbed the financial burden, partially offset by lower excise duties on petroleum products. Only after regional elections in mid-May did the government allow a modest increase in pump prices to reflect higher international prices. The government has also increased subsidies to offset the impact of rising fertiliser prices on farmers. Revenue losses —driven by lower excise duties, reduced dividends from state-owned enterprises, and the economic slowdown— could reach 0.5% of GDP, while the cost of fertiliser subsidies could rise from 0.4% to 0.8% of GDP. To reduce the risk of fiscal slippage, the government has: i) raised taxes on fuel exports, ii) capped household diesel purchases; and iii) planned cuts to certain expenditures.
- **While the primary deficit reduction target may prove difficult to achieve, the surge in government bond yields is another source of severe concern.** Over the first ten months of 2026, 10-year bond yields rose by 80 basis points, and further increase is expected due to the central bank's monetary tightening. A 100-bp rise in interest rates could push debt servicing costs above 40% of fiscal revenue by 2029. This is expected to increase the debt-to-GDP ratio gradually.

Strong pressures on the rupee and government bond yields



Source: RBI, BNP Paribas

- **Despite the high public debt level (84.6% of GDP in FY2026), refinancing risks remain moderate.** The debt structure is relatively safe, and the government benefits from access to large domestic savings. In Q2 2026, 87.8% of central government debt was domestic, and 70.5% was market debt. It is almost entirely held by domestic financial institutions and denominated in local currency. Refinancing risks are limited as most debt is long term (the average maturity of central government debt is 13.8 years). T-bills (with a maturity of less than one year) account for only 4.2% of central government debt. Foreign investors held only 3.1% of Treasury securities in Q2 2026. Finally, borrowings in foreign currency accounted for only 3.0% of total general government debt in FY2025/2026 (*i.e.* 2.6% of GDP).

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Systemic credit risk

The banking sector has strengthened over the past five years, as illustrated by the improvement in asset quality and capital buffers. The main sources of credit risks are rising household debt, the rise in energy prices, the unfavourable monsoon and monetary tightening.

- **The quality of assets has improved significantly.** In Q1 2026, the banking sector's non-performing loan (NPL) ratio fell to a multi-decade low of 1.8%. For public banks (54.4% of total loans), the NPL ratio declined to 2.1%.
- **Capital buffers are strong.** While loan loss provisions remained modest at 75.6% of NPLs, capital buffers stayed strong. The Capital Adequacy Ratio (CAR) rose to 17.7% in Q1 2026, up from 17.4% a year earlier. From April 2027, Indian banks will adopt a new Expected Credit Loss (ECL) framework, requiring earlier provisioning for potential loan losses. In the short term, higher provisioning requirements could push up lending rates and tighten credit conditions while triggering capital raising or targeted government recapitalisation. In the medium term, the reform could strengthen banking sector resilience through earlier recognition of credit risks and more robust loss buffers.
- **Banks' liquidity is comfortable.** It deteriorated slightly in H1 2026 because credit growth outpaced deposit growth; the liquidity coverage ratio declined to a still solid 124% and the loan-to-deposit ratio increased to 83% in Q2 2026 from 79.1% a year earlier. RBI interventions to support the rupee also drained liquidity. Moreover, the deposit mix shifted from low-cost current and savings accounts (CASA) to higher-cost term deposits, pressuring net interest margins. However, since June 2026, liquidity has improved significantly due to RBI measures to attract foreign-currency non-resident (FCNR) deposits.
- **Profitability remains satisfactory.** It has declined since the start of the year, primarily due to narrowing net interest margins, but remains satisfactory. In Q2 2026, the return on assets (ROA) and return on equity (ROE) stood at 1.6% and 13.0%, respectively (IMF data).
- **Private-sector debt is moderate, but its increase needs to be monitored.** It stood at 105.1% of GDP in Q1 2026 (BIS data), compared to 100.1% five years earlier, which is lower than in other emerging Asian economies.

  Non-financial corporate debt was 56% of GDP in Q1 2026. Listed firms' financial positions continued to strengthen amid surging profits, improving their ability to service debt. In Q2 2026, the average interest coverage ratio (ICR) rose to 7.4, up from 6.1 a year earlier. However, the share of companies with an ICR below 1 (insufficient earnings to cover interest costs) increased to 18.5%. Stress remains concentrated in micro-enterprises, agriculture, and energy-intensive sectors (*e.g.*, power, steel, cement, aviation), which are the most exposed to oil-price shocks.

  Household leverage requires monitoring. Although still moderate, household debt increased to 49.1% of GDP in Q1 2026, up from 42.7% five years earlier, driven largely by non-housing retail loans (58.4% of total borrowing).
- **Monetary policy tightening.** Due to rising inflation (+5.5% year-on-year in September) and downward pressure on the rupee, the RBI raised its policy rate by 25 basis points to 5.5% in October 2026 under a "calibrated tightening" stance.
- **The banking sector should remain resilient despite rising risks in the short term.** Due to rising energy prices, a poor monsoon, and monetary tightening, asset quality is expected to deteriorate, particularly for low-income borrowers, micro, and small enterprises. Early warning signs are emerging, with some borrowers starting to miss payments. The stress is concentrated in unsecured retail loans (which account for over half of fresh retail slippages). This could lead to new NPLs over the coming quarters, especially as higher rates and inflation squeeze repayment capacity. Additionally, in the near term, capital inflows may remain weak, and liquidity and funding pressures could intensify.

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CHART OF THE WEEK

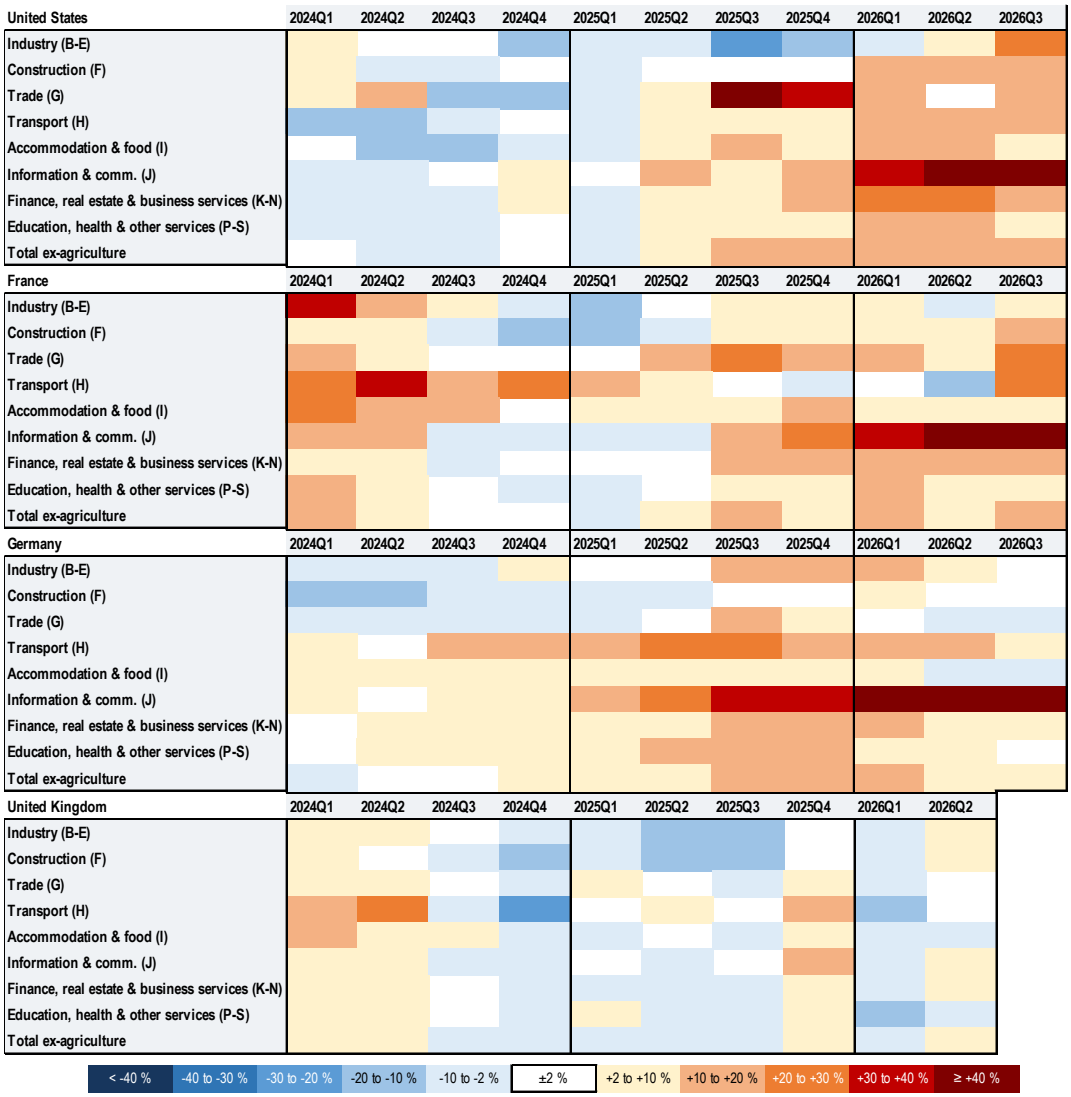
4 November 2026

AI IS BOOSTING BUSINESS CREATIONS BOTH IN THE US AND EUROPE

Stéphane Colliac

The significant increase in business creations since mid-2025 in the United States, France and Germany – and, to a lesser extent, in the United Kingdom – is continuing. Across the board, this trend is being driven by the information and communication sector and mostly by AI. It is spreading to other business services, while developments in consumer services, industry and construction are more mixed. However, in both the United States and France, the trend is broadening, suggesting that AI is facilitating business creation across all sectors.

Business creations by sector: a boom that is building momentum and spreading



Source: Destatis, INSEE, ONS, U.S. Census Bureau, BNP Paribas

We have calculated the year-on-year change in the number of new business start-ups. The table categorises these results as positive (red), neutral (white) or negative (blue). The darker the colour, the larger the change. The data series are defined as follows: Germany = new entries in the companies register (start-ups) since 2008; France = business start-ups, including micro-entrepreneurs, since 2000; United Kingdom = businesses registered for VAT/PAYE since 2017; United States = business applications (tax identification number) since 2004. Sectors have been grouped together to ensure that the classification is standardised across all countries. For the third quarter, the German data only include the months of July and August.

A noticeable boom in the United States, France, and Germany, but not quite as pronounced in the United Kingdom

The four economies for which we have comparable data (the United States, France, Germany and the United Kingdom) have all seen, to varying degrees, an increase in the number of new business creations. While the timing varies across these countries, most of them are enjoying strong momentum. In the United States, there has been a noticeable acceleration since the second quarter of 2025, which has continued to strengthen. Germany has followed a similar trajectory, moving from slight declines at the start of 2024 to sharp increases. France is experiencing the same trend but with some specific features, as momentum has picked up significantly after months of slowdown (due to the uncertainty following the dissolution of the National Assembly) and is accelerating across most sectors in 2026. In the United Kingdom, the trend is less pronounced and the increase may not last.

Business services, and AI in particular, are driving this momentum

In most of these four countries, business creations are rising significantly in the information and communication sector, which is directly linked to AI. In the United States, Germany and France, there has been a pronounced trend which is gaining momentum. In the United Kingdom, the AI sector is also seeing an increase, but it is significantly less pronounced. However, this momentum is not limited to this sector. It is spreading to many services sectors, including finance, real estate and business services. Growth has been sustained since mid-2025 in the United States and Germany, and since the third quarter of 2025 in France.

The picture for consumer services is more mixed. In the United States, trade, accommodation and catering have experienced major increases in creations since mid-2025. In France, these sectors are in positive territory, particularly trade, where the increase in business creations has recently accelerated. In Germany, these same sectors fell into negative territory in 2026 following a rather mixed year in 2025.

The situation is even more mixed for manufacturing and construction. In the United States, these sectors are also part of the overall positive momentum in the third quarter of 2026. This shows that AI does not only benefit sectors closely linked to it (notably the digital technology sector) but that it makes it easier to start a business across the entire economy (by simplifying administrative procedures in particular). In France, the upturn in business creations in the construction sector suggests that this same trend is at play, even as activity in the sector continues to contract.

Therefore, the trend is more widespread in the United States and is becoming increasingly prevalent in France. It is driven by specific sectors of the services industry in Germany, while it is significantly more subdued in the United Kingdom.

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Article written with the help of Ece Usta (intern).

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EDITORIAL

US MIDTERMS: THE COST OF LIVING IS NOW A PIVOTAL ISSUE

In the United States, growth is holding up, unemployment remains low and consumer spending shows no sign of slowing. On paper, that should flatter the president's party ahead of the midterms. Yet, Republicans could lose control of Congress. The rise in the cost of living, which weighs on households far more than macroeconomic aggregates suggest, could be one of the reasons. On top of persistent inflation, rekindled by the war in Iran, there is also a slowdown in wage growth and rising housing costs. The election could hinge on affordability, yet whichever party wins will lack the means to address it. A change in the majority in Congress will nonetheless have an impact on the country's economy.

On 3rd November, Americans will elect a new Congress for the next two years. With Republicans currently in control of the White House, the House of Representatives and the Senate, the balance of power in Washington could shift. Polls suggest that the House, at least, could swing to the Democrats. Beyond the new balance of power, the vote will reflect how voters view the way the country is being run. Here, we focus on the cost of living.

INFLATION: THE INCUMBENTS' BURDEN

The incumbent party goes into the election with two handicaps. The first is structural: no matter who holds the White House, the president's party almost always loses seats in midterm elections. The second stems from the combination of robust but uneven growth and persistent inflation, which is undermining household confidence. Pre-election polls[1] confirm this assessment: the economy and the cost-of-living top voters' worries.

Inflation has overshot the Fed's target every year since 2021. Prices are up 28% over five years: 31% for housing (not including mortgage rates, which have more than doubled), and 29% for food. This shock is felt all the more keenly as it is the most severe in forty years and follows on from decades of low inflation[2]. Furthermore, it hits the lowest-income households the hardest. In addition, the election comes after an energy-driven rise in inflation. Energy accounts for the entire gap between the latest CPI reading (3.7% y/y in September) and the last figure recorded before the conflict in the Middle East started (2.4% y/y).

Fuel has made things worse. The rise in the price of a gallon (46% between February and October) caused by the Iran war — which is unpopular even amongst Republican voters[3] — is an aggravating factor. In 2026, inflation only slightly crossed the 'attention threshold', the 3.6%y/y rate beyond which households start to regard it as problematic[4]. Fuel is a recurring, unavoidable expense whose price is directly observable, unlike many items in the CPI basket. This results in a substantial gap between perceived inflation and measured inflation.

Inflation must be viewed alongside the other drivers of households' well-being. Today, wages, payrolls and the housing market are moving the wrong way for most Americans.

IT'S NOT JUST PRICES

The 2022 midterms suggest caution in reading the polls. Democrats defied expectations of a 'Republican wave', retaining control of the Senate and losing the House by just a few seats, even though inflation averaged 8% that year. This reminds us that inflation must be viewed alongside the other drivers of households' well-being. Indeed, how people experience the cost of living depends on the interplay between prices, wages and housing. In 2022, wages, payrolls and the housing market were all growing faster than in 2026. Today, all three are moving the wrong way for most Americans.

Wage growth is slowing just as inflation picks up again. In September 2026, average hourly earnings were up 3% y/y in nominal terms, the slowest rate since 2018, and now below inflation. Real wage earnings are therefore falling (-0.7% y/y in September, with six out of nine months showing a decline in 2026). The rise in the cost of living is thus compounded by a net loss of purchasing power. The Atlanta Fed reports that wage growth is lower for the bottom quartile of earners (the 25% of employees with the lowest pay) than for the top quartile (the 25% with the highest pay): 3.8% y/y *vs.* 4.4% on average since late 2024, following 10 years in which the gap favoured the bottom quartile. Top earners also benefit most from the wealth effect linked to stock market valuations. This explains the resilience of aggregate consumption. However, this rests on a relatively narrow base, mostly households earning more than USD 125,000/year[5]. Meanwhile, a falling saving rate (3.8% in September 2026, down 1.4pp y/y) suggests households are drawing on their savings to offset price rises. A large share of the population is therefore excluded from the growth that has been observed.

Beyond wages, there is the question of employment prospects. The unemployment rate remains low and consistent with full employment. Yet the labour market looks stagnant: low firing despite repeated shocks and low hiring despite solid growth. Payroll growth (an average of 68,000 per month since January) is well below that of the previous decade (nearly 200,000 per month between 2011 and 2019[6]). Combined with a workforce that is no longer growing due to an ageing population and a restrictive immigration policy, this is enough to keep the unemployment rate low and the labour market looking healthy.

1 AP-NORC, October 2026.
2 Jared Bernstein, Daniel Posthumus, 'The way we were: Price-level shocks and consumers' memories', SIEPR, May 2026.
3 72% of registered voters rank ending the war with Iran as one of the top priorities for the next Congress, including 60% of Republicans (AP-NORC, October 2026).
4 Oleg Korenok, David Munro, Jiayi Chen, 'Inflation and attention thresholds', GLO Discussion Paper Series, No. 1175, Global Labour Organization, 2022.
5 Rajashri Chakrabarti, Thu Pham, Beck Pierce, Maxim L. Pinkovskiy, 'Tracking the K-shaped economy: who's driving spending?', Federal Reserve Bank of New York, Liberty Street Economics, 1st May 2026.
6 The year 2020 is excluded due to the disruptions caused by lockdowns.

But households are likely to be suffering from a lack of opportunities, and consequently from a lack of prospects for wage growth that would help them to increase their purchasing power. The Conference Board's labour differential, a gauge of perceived job availability, says as much: outside the pandemic, it is at its lowest since 2015.

Housing is the area that has deteriorated the most. The rise in mortgage rates that began in 2022, from under 4% to over 7%, has dampened the property market. This is true on the demand side, as expected, but also on the supply side. The sharp rise in interest rates is deterring homeowners with low-interest mortgages from selling, as they would have to borrow again at current rates. This 'lock-in effect' prevents prices from falling despite weaker demand. The lock-in effect is also affecting tenants, as the decline in the availability of housing is driving up rents. Housing lies at the heart of the disconnect between the macroeconomic picture and voters' perception of it, as they face a multifaceted rise in the cost of living. That rise is also driven by credit: monthly repayments on a home of the same value have risen sharply. This additional cost, which inflation figures do not capture[7], erodes households' purchasing power in the property market.

A CONGRESS POWERLESS ON THE COST OF LIVING

The next Congress will, in all likelihood, have little room for manoeuvre. Neither party is within reach of the thresholds required to override the filibuster (which allows 41 out of 100 senators to block a bill from coming to a vote) and the presidential veto (two-thirds of both chambers).

Affordability is likely to be a key issue in the election, but the winners will lack the tools to address it. The Democrats' agenda relies notably on the reintroduction of schemes that were abolished or scaled back under the current administration (Affordable Care Act tax credits, Medicaid). Even if Congress passed them, they would be subject to a presidential veto. There is no question of direct support for households or a restrictive fiscal policy.

Whether inflation falls will depend on two factors: how the conflict in Iran unfolds and the effectiveness of monetary policy. The labour market should hold its current balance: robust growth (see our EcoFlash) is supporting demand, whilst failing to alleviate supply-side pressures, and the unemployment rate could continue to fall. Household sentiment will continue to depend on how prices develop. As for housing, it is unlikely to improve in the short term. With the 10-year Treasury yield still at 4.8% at the end of 2027 (BNP Paribas forecast), 30-year mortgage rates would, at best, remain around 7%.

THE OTHER ECONOMIC STAKES OF THE VOTE

Historically, divided governments have brought legislative stability, which is viewed favourably by the markets. But polarisation has increased in recent years and is likely to feature prominently in the budget vote and the debt-ceiling debate. The debt limit, in particular, could be reached as early as Q1 2027, depending on the Treasury's borrowing requirements. The current administration, meanwhile, has taken major decisions (on tariffs, immigration and Iran) without involving Congress, a practice that is likely to continue.

Risks to the deficit remain tilted to the upside. According to our baseline scenario, it is expected to remain stable at 6.3% of GDP in 2027, but the post-election balance of power could add to the cost of the war in Iran and rising debt-service costs. In particular, interests could align in favour of increased spending should the Democrats gain control of both houses of Congress. Avoiding, or ending, a shutdown could require a trade-off involving mutual concessions from the presidency on key, popular aspects of the Democratic agenda (such as healthcare), and from the Democrats on defence.

The AI sector is exposed to the vote. The economic stakes are high given how much the associated investment cycle and the wealth effect contribute to US growth. However, at this stage, the risk is not legislative. As with the cost of living, sweeping legislation is unlikely, all the more so with a president holding a pro-AI stance, and who holds the right of veto. The risk lies rather in sentiment and further out. A Democratic sweep could lead to increased congressional activism on regulation, on concentration in the AI industry, and on the knock-on effects on the cost of living (data centres and electricity) and on jobs. Putting these issues on the agenda could create a climate conducive to tighter regulation in the medium term and weigh on the sector's valuations. Furthermore, the mid-term elections will see 36 governors' seats up for election. These governors have extensive powers (regarding authorisations and incentives) when it comes to the establishment of data centres in their states.

Finally, the midterms will matter for monetary policy. The Senate confirms, by simple majority, the president's nominees to the Fed's Board of Governors. Consequently, should the Senate come under Democratic control, President Trump would need a consensus pick to replace Governor Powell from 2028 — or to fill any other seat that might become vacant during the next Congress.

*****

Whatever the outcome of the election, disinflation and, more broadly, relief from the cost of living, depend less on Congress than on the White House and, to a lesser extent, the Fed. The key factor lies in the resolution of the conflict in Iran, coupled with an effective monetary policy to enable a sustainable return to price stability.

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7 Marijn A. Bolhuis, Judd N. L. Cramer, Karl Oskar Schulz, Lawrence H. Summers, 'The cost of money is part of the cost of living: new evidence on the consumer sentiment anomaly', NBER Working Paper, No. 32163, 2024.

Find out more in our scenario and forecasts

ADVANCED ECONOMIES

In brief. Data releases confirmed resilient to strong growth and above-forecast inflation in most advanced economies, with France lagging behind and earning a rating outlook downgrade from Fitch as a result. Fed, ECB and BoJ remained on hold, as expected, and on track for December hikes. Oil continues to fluctuate between escalation fears and hopes for a return to the negotiating table. The tech sell-off in equity markets intensified despite strong earnings, as markets balk at large capex plans. This helped bond yields ease from recent highs.

EUROZONE

Resilience confirmed despite tightening credit. GDP expanded by a stronger-than-expected 0.4% q/q in Q3 (0.2% ex-Ireland), with Spain, Germany and the Netherlands contributing to the bulk of non-Irish growth. We increase our growth forecast to 1.6% in 2027 (+0.1pp), driven by further improving sentiment in manufacturing. Bank lending conditions tightened further in Q3 for businesses, especially SMEs, driven by France and Germany, while corporate and housing-loan demand weakened. The ECB kept its deposit rate at 2.5% and signaled it was firmly on track for a (likely final) December hike. President Lagarde also confirmed she would step down early, on February 7, setting off the succession race. EU leaders are expected to decide jointly on the three Board members departing between January and May (President, chief economist, and market operations), likely at their mid-December meeting. Official candidates to succeed Lagarde are BIS Head Pablo Hernandez de Cos and former Dutch central bank Governor Klaas Knot.

To watch next week: October flash CPI (Wednesday).

France: Another growth setback, with silver linings

GDP contracted by 0.1% q/q in Q3 as a sharp drop in aeronautical production hit exports and investment. However, services output grew by a robust 0.3% q/q, and household consumption also grew more strongly than forecasted (+0.4%). While 2026 will inevitably be knocked down (to 0.3%), we forecast 0.8% for 2027. Nevertheless, Fitch issued an unscheduled rating outlook downgrade to negative territory, on grounds that fiscal, growth and adjustment prospects have deteriorated since its August review. A new review could be concluded as early as February. Harmonised inflation accelerated to 3.8% y/y in October, with both energy and non-energy contributing. Meanwhile, producer price inflation accelerated to 8.2% y/y in September. Insee's index of household confidence fell to 80, matching its 2013 all-time low, driven by a decline in expectations of its own financial situation. Private payroll employment declined by 26,000 over Q3 (-0.1%). However, in previous quarters, the decline in payroll employment was more than offset by the increase in self-employment (not released until November 27).

To watch next week: September industrial production (Thursday); September foreign trade (Friday).

Germany: Growth holds up as inflation slows

GDP grew by 0.2% q/q in Q3, with consumption rising slightly but investment declining and export growth slowing. HICP inflation fell from 3.3% to 2.8% in October following energy-tax cuts and fuel discounts, but core inflation also slowed, to 2.1%. Business confidence (Ifo survey) reached its highest level in more than three years, led by manufacturing, which is back in positive territory for the first time since 2023. By contrast, consumer confidence deteriorated to its lowest since May, due to growing concerns about inflation, which are weighing on consumers' spending intentions.

To watch next week: September retail sales (Monday); September factory orders (Thursday); September industrial production (Friday).

Italy: Stagnant growth meets energy-driven inflation surge

GDP was flat in Q3, missing expectations, as positive domestic demand was offset by net exports. Economic sentiment improved, but HICP inflation jumped from 4.2% to 5.6% in October, its highest level since September 2023, mainly because of regulated energy prices; core inflation also rose, to a more moderate 2%. More positively, economic sentiment rose to 100.2 in October 2026 (from 99.4 in September), despite the Eurozone decline. The improvement was driven by services and construction. The Italian cabinet approved a budget focused on middle-class tax cuts, financed partly by levies on banks, energy and gambling companies. x

UNITED KINGDOM

A cautious budget buys breathing space. The budget offered 98 small cost-of-living alleviation measures and £4.1 billion in household energy cost relief, while only modestly increasing taxes, including a temporary rise in the bank surcharge. Its short-term stance is slightly expansionary, while major structural decisions on defence, pensions and welfare have been postponed. The official budget watchdog, OBR, cut its 2027 growth forecast to 1%, and firms' inflation expectations continued to rise. UK gilts outperformed and equities advanced after the budget. GBP rose to a six-week high against the dollar and a 19-month high versus the euro as markets price a near-certain Bank of England rate hike (to 4%) at this week meeting. We agree but, unlike market pricing, we do not expect it to hike further.

To watch next week: Bank of England interest-rate decision (Thursday).

UNITED STATES

Fed awaiting more information despite strong growth. The Federal Reserve held its target range at 3.75–4.0%, with two members voting for a 25 bp increase, as Chair Warsh highlighted stronger growth, favourable employment conditions and inflation that remains too high. Q3 GDP accelerated to 3.4% annualised, powered by resilient consumption and a 12.7% jump in business investment. Despite jobless claims remaining near multi-decade lows, compensation costs adjusted for inflation declined 0.4%, marking the second consecutive quarter in which labour cost growth trailed price increases.

To watch next week: Midterm elections (Tuesday); October ISM manufacturing (Monday) and non-manufacturing (Wednesday); Q3 non-farm productivity (Thursday); October non-farm payrolls (Friday).

JAPAN

BoJ on hold with underlying inflation "consistent with the 2% target". The Bank of Japan kept its policy rate at 1.25%, with one dissent in favour of a hike. Its outlook judged underlying inflation to be consistent with the 2% target, a major shift in its assessment, although Governor Ueda mentioned risks on both sides in his remarks, stressing in particular the risk of inflation overshooting the target. It signals continued gradual monetary adjustment, with a next hike expected in December. Alongside the rate hold, the BOJ announced it would nearly triple the pace of ETF sales starting in January, to approximately JPY 860 billion per year. Japanese equities shrugged off the announcement.

To watch next week: Minutes of the September Bank of Japan meeting (Thursday); September wage growth (Friday).

Find out more in our scenario and forecasts

EMERGING ECONOMIES

ASIA

China: Monetary policy reform and no growth signals

The PBOC disclosed a 1.25% overnight reverse-repo rate and announced that the overnight rate would become its principal policy lever, starting 2nd November. It also pledged to develop cross-border renminbi payments and introduced a liquidity backstop for non-bank financial institutions. The 5th Plenum of the 20th Central Committee of the CCP focused on party discipline and crackdown on corrupt cadres, without broader policy signals. Chinese equities had their worst month since 2016, falling 8.5% in October, as doubts over AI earnings deepened investor pessimism. The PMIs published on 30th October suggest economic activity is losing momentum; in the manufacturing sector, the RatingDog PMI fell slightly to 52 (from 52.1) while the official PMI fell more sharply and dropped below 50 (49.3 *vs.* 50.1 in the previous month).

South Korea and Taiwan: AI boom lifts growth even higher

In Korea, GDP grew by 1.0% q/q and 3.4% y/y in Q3, supported by booming semiconductor exports linked to global AI demand. The expansion was uneven, however, as private-consumption growth slowed markedly. In Taiwan, GDP surged by 3.2% q/q and 14.4% y/y in Q3, beating expectations and accelerating from the previous quarter as technology firms expanded capacity to meet strong demand.

EMEA

Poland: Lower inflation gives monetary policy some room

Headline inflation declined from 4.0% to 3.5% in October as electricity, gas and transport fuel prices rose more slowly, helped by a temporary fuel-price cap. Rates are likely to remain unchanged in the near term, although renewed zloty weakness means a hike cannot be ruled out.

Saudi Arabia: Reserves fall as regional pressures intensify

Official reserve assets declined by 4.4% m/m in September to SAR 1.75 tn, their lowest level since December, with foreign-currency assets recording particularly sharp monthly and annual declines.

Türkiye: Pressure on lira and FX reserves

The lira headed for its largest monthly fall in 15 months and central-bank reserves came under renewed pressure. This is the consequence of the warning by MSCI that Türkiye could lose its emerging-market status if measures to improve transparency and market supervision following the Fund scandal are deemed insufficient.

LATIN AMERICA

Brazil's post-election rout: stocks and real plunge, yields surge. Brazilian markets, expecting a Flavio Bolsonaro victory, sold off sharply after Luiz Inacio Lula da Silva won a fourth presidential term. The Ibovespa fell 14% Monday — its largest daily drop since COVID-19 — and ended the week down 18%. The real fell over 11% intraday and ended the week down 8% against the euro. Meanwhile the yield on Brazil's 10-year government bonds rose 250 bp to 15.5%, reaching its highest level in over a decade. The selloff reflects fiscal concerns over pledges to raise the minimum wage and Bolsa familia benefits and to offer free public transport on weekends and bank holidays. Finance Minister Dario Durigan's pledge to seek a higher 2027 primary surplus, without a new target, did little to reassure markets.

COMMODITIES

The oil market continues to fluctuate between escalation fears and hopes for a return to the negotiating table. Brent prices were down by 5% over the week, reaching USD 109/b on Monday. Tensions on physical supply continue to decline. Ditto for diesel crack spreads. On the back of geopolitical tensions, lower-than-requested EU stock level and speculation over a cold snap in Europe in November, European gas prices (TTF) recorded another strong weekly rise and have breached the EUR 100/MWh for the first time since Dec 2022). The Asian gas benchmark (JKM) is following the same trend but at a slower pace (4.6% w/w to USD 32 /MBtu, equivalent to around EUR 96.3 /MWh).

TO WATCH NEXT WEEK

Global: Manufacturing PMIs for EM and final DM prints (Monday); final services and composite PMIs (Wednesday).

y/y = year-on-year
m/m = month-on-month
bp = basis point
pp = percentage point
mb = million barrels
MBtu = Million British Thermal Units

Paris, 30 October 2026

EcoFlash

European resilience, American vigour

Eurozone growth continues to prove resilient, notwithstanding the volatility of the Irish figures. The Q3 data reinforce our forecast of 1.1% growth this year, which could even be slightly exceeded, as German and Spanish momentum shows no sign of fading. In France, the negative surprise (-0.1% q/q against a consensus of +0.1% q/q) stems from a new one-off factor (the sharp fall in aerospace output caused by delays in input deliveries) and masks an encouraging rebound in household consumption. In the United States, growth reached its highest level since Q2 2025 (0.8% q/q), driven by buoyant private domestic demand.

Eurozone: The resilience of growth is confirmed

Eurozone GDP grew by 0.4% q/q in Q3 according to Eurostat's preliminary flash estimate, above both the consensus and our *Nowcast* (0.3%). The ever-volatile Irish figures contributed 0.2 pp to this outcome. Excluding Ireland, growth (0.2% q/q) nonetheless remains in line with the pace of recent quarters (0.2-0.3% q/q on average). This illustrates the Eurozone's capacity to withstand the current shocks, thanks in particular to the strength of Spain (+0.07 pp contribution to the q/q change in Eurozone's GDP) and the Netherlands (+0.04 pp), and to Germany's gradual recovery (+0.06 pp). France (-0.03 pp) and Italy (zero growth), by contrast, posted disappointing results, although in France's case these partly reflect temporary factors (aerospace output). The growth carry-over for 2026 now stands at 1.0%, which supports our forecast of 1.1% in annual average terms and even points to upside risk. The European Commission's October surveys remain upbeat, with a further improvement in industrial activity expectations.

The German recovery continues. As anticipated by our Nowcast, real GDP grew by 0.2% q/q in Q3 (after 0.3% in Q2). According to Destatis, consumption (private and public) increased slightly, while investment edged down. Export momentum slowed markedly compared with Q2. This is Germany's fourth consecutive quarter of growth.

Italian GDP surprised on the downside, stagnating in Q3 (against a consensus of 0.1%). According to Istat, this reflects a decline in value added in industry, offset by increases in services and agriculture. The positive contribution from domestic demand was reportedly cancelled out by a negative contribution from net trade.

Spanish growth remained robust in Q3, in line with expectations (0.6% q/q, after 0.7% in Q2), driven mainly by domestic demand (0.5 pp contribution) and, to a lesser extent, by net exports (0.1 pp). Consumption remains the main engine of growth (+0.6% q/q for private consumption and +0.9% for public consumption). Investment rose by 0.7%. Export growth (1.3%) once again outpaced import growth (1.1%) this quarter. All sectors except construction recorded positive changes in value added, with industry and services both up 0.7%.

France: A sharp drop in aerospace output prevents a return to growth in Q3

GDP contracted by 0.1% q/q in Q3 (after stagnating in Q2), weighed down by a sharp fall in aerospace output (-4.5% q/q in the production of other transport equipment, which includes aerospace). This steep decline dragged down goods production (down 1.2% q/q) and explains the sharp contraction in exports (-1.7% q/q) and business investment (-0.4% q/q). Net trade thus subtracted 0.6 pp from GDP (imports were flat over the same period). Conversely, **household consumption surprised on the upside (+0.4% q/q), boosted by purchases of electric vehicles (registrations up 112% y/y in Q3). Public consumption (+0.3% q/q) also supported growth, as did activity in market services (+0.3% q/q).** Despite the sharp drop in aerospace output in Q3, Airbus has confirmed its delivery targets for the year (with engine supply problems expected to be resolved), pointing to a strong rebound in growth in Q4 (0.3% q/q according to our forecasts). Overall, growth is expected to reach 0.3% in 2026, before picking up to 0.8% in 2027.

United States: Growth at a one-year high

GDP growth picked up in Q3 to 3.4% at a seasonally adjusted annualised rate (AR; *i.e.* 0.8% q/q), from 2.2% in Q2 (0.6% q/q). This is the fastest pace since Q3 2025, confirming that activity is almost immune to the energy shock. Private domestic demand remains particularly strong. Private non-residential investment accelerated to 12.7% AR, a performance unmatched since the post-Covid reopening. AI-related components are driving this figure (18.5% AR), but other types of investment are also rising for a second consecutive quarter (3.8% AR) after contracting uninterruptedly throughout 2025. Household consumption, steady at 2.5% AR in real terms, is growing faster than it did before inflation picked up again, but at the cost of a significant drop in the saving rate (3.8% at the end of the quarter, down from 4.4% at the end of the previous quarter). The United States nonetheless continues to "import its growth": net trade is weighing on GDP owing to a surge in imports (19.7% AR), driven by AI-related components – IT, semiconductors and telecommunications (103.8% AR).

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Paris, 30 October 2026

EcoFlash

Central banks: a pause while waiting for more information

As expected, the Fed, the ECB, and the BoJ left their rates unchanged this week. This pause, however, does not mark the end of the cycle. The ECB's tone is becoming more balanced, weighing inflationary risks against tightening financial conditions, but one final rate hike in December remains our base case. Across the Atlantic, Kevin Warsh describes an environment conducive to further tightening, while remaining cautious about the risk of a credit shock. In Japan, the lasting exit from the deflationary cycle is taking shape, and monetary policy adjustment is expected to continue gradually. We anticipate two rate hikes by the Fed by January and four by the BoJ by the second half of 2028.

Eurozone: A more balanced tone, but the course remains unchanged. The ECB's statement marks a shift from September. It now explicitly acknowledges both upside risks to inflation (the magnitude and persistence of the energy shock) and downside pressures (tightening financial conditions). The statement that inflation would remain "well above target for an extended period" no longer appears. In essence, however, there is little change. A rate hike in December remains our base case scenario, widely anticipated and implicitly signaled by Christine Lagarde during the Q&A ("If the current situation is not called into question by the next set of economic data, the path is clear"). Lagarde presented the rise in sovereign yields as a global phenomenon that is tightening financial conditions; regarding the TPI, she stuck to the usual stance: the ECB will intervene if monetary policy transmission were to be hampered "by disorderly movements not justified by fundamentals". By December, the indirect and second-round effects of the energy shock will be closely scrutinised. From our perspective, September's producer prices offer clearer signals, but the increase remains limited to a few sectors: energy, electricity-intensive industries and electrical equipment, driven by IA[1]. For now, companies in the Eurozone, particularly in the services sector, appear to be absorbing the shock. The European Commission's survey released this Thursday indicates a rise in the sales price index in October, which remains in line with recent months.

United States: The Fed navigates between risks. The FOMC pauses after September's rate hike and maintains the federal funds target at 3.75%-4.0%. However, Fed Chairman Kevin Warsh outlined a landscape conducive to further tightening: stronger growth, "rather positive" labor market conditions, and, above all, inflation that is "too high." As a result, two dissenting votes (out of 12) were cast in favor of a 25bps hike. But the committee also appears to fear the adverse consequences of tightening too quickly, which is why it is waiting to "accumulate more information." AI is increasingly at the heart of monetary policymaking. In particular, K. Warsh warned against the risks of an abrupt tightening of interest rate conditions, including for the AI investment cycle - which triggered a steepening of the yield curve. He also announced that he would soon (on November 16) attend a hearing of the "Productivity and Employment" task force to "refine his views" on the implications of AI for the dual mandate. Governor Lisa Cook, who voted for a 25bps hike, had noted ahead of the committee meeting "ongoing inflationary pressures" and a risk that they might not "subside quickly". In addition, K. Warsh announced that there would be fewer meetings resulting in rate decisions: 7 in 2027 and 6 in 2028, compared with 8 today. The change is expected to take effect starting in the fall of 2027. The meetings freed up by this change would allow the committee to focus on "strategic deliberations" and long-term issues.

Japan: A *status quo*, but a tightening cycle set to continue as the economy emerges from deflation. The Bank of Japan decided, in line with our forecasts and the consensus, to keep its policy rate target steady at 1.25% at its October 29-30 meeting. One dissenting vote called for a rate hike (25bps), contrasting with the two dovish dissenting votes (opposed to a rate hike) at the previous meeting. As in the US, the decision is justified by the need to further analyse risks to economic activity, prices, and financial conditions. Above all, the central bank's outlook for economic activity and prices marks a turning point: it explicitly states that "core inflation has reached a level generally in line with price stability" and that it is "expected to remain there." Governor Ueda refined this by noting that it is now necessary to "anchor" inflation at this level before declaring the target achieved. Furthermore, the emphasis on "upside risks to prices" and the fact that any rise in core inflation is now deemed "undesirable" indicate that monetary tightening will continue.

The monetary tightening cycle continues. The next steps are likely to be more significant in the United States, where inflation has exceeded the target for nearly six years and coexists with a favorable outlook for growth and employment. In the Eurozone, the rise in inflation is primarily due to a supply shock in energy costs (though it is also fueled by demand in the United States). It continues to have little impact on measures of core inflation, including those tracked by the ECB, such as the HICP; and households' long-term inflation expectations remain anchored. The degree of monetary tightening also differs. In real terms, the ECB's current rates (the deposit facility rate deflated by the core CPI) hover around 0%, a level that more or less corresponds to estimates of the natural rate. The Fed, meanwhile, remains in accommodative territory: the real rate (*Fed Funds* deflated by Core

[1] This is a point underscored by the first PPI releases for September (Spain, Italy).

PCE) is at around 0.8%, 40bps below the committee's implied long-term level (1.2%). Japan remains an outlier: the rise in rates preceded the inflationary shock and, until now, has been more a matter of normalization. It is therefore more extensive and spread out over time. The central bank is adjusting to the new inflation regime and remains cautious in its exit from accommodative policies. The starting point is significantly lower, with real rates still negative, but the adjustment cycle should ultimately bring it to the upper end of the neutral range estimated by the BoJ (1.1%-2.5%). We therefore anticipate one final rate hike by the ECB in December, two more hikes by the Fed, first in December and then in January, and four spaced-out hikes by the BoJ through the second half of 2028.

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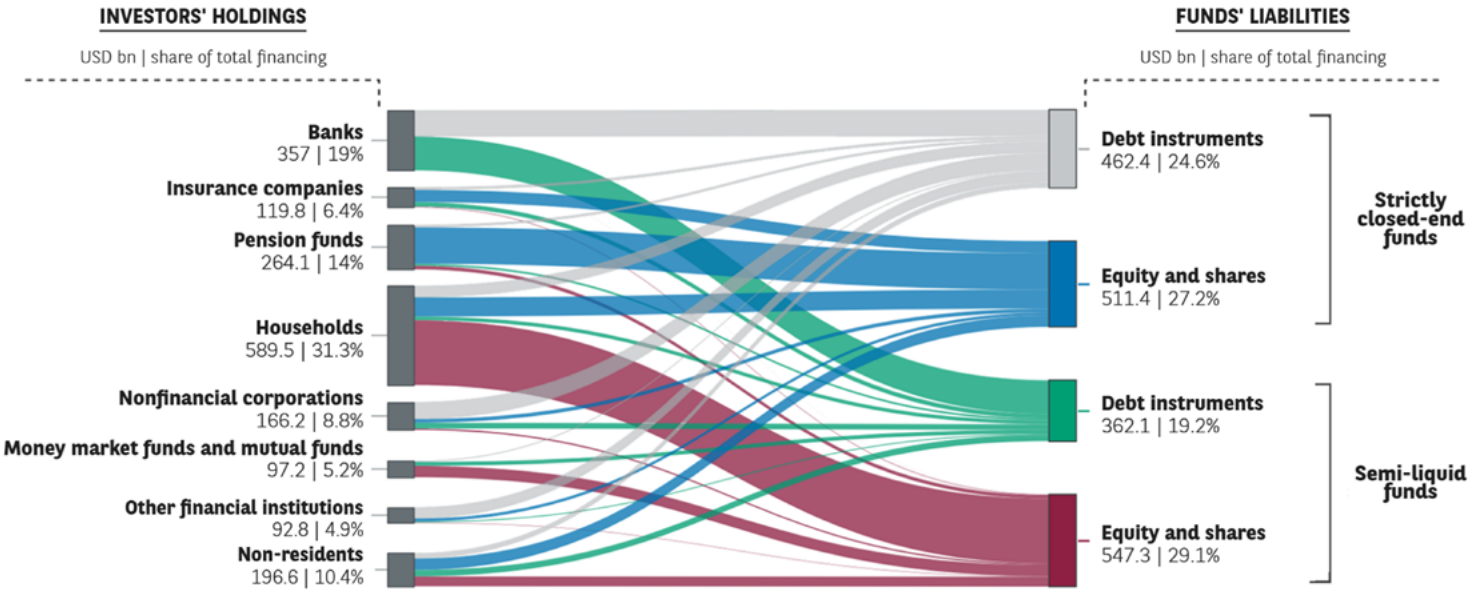
WHO FINANCES PRIVATE CREDIT IN THE UNITED STATES? WHAT THE FEDERAL RESERVE'S DATA REVEAL

Céline Choulet

The private credit market raises many questions, and its lack of transparency is not helping. Official public data remain scarce. The available estimates come mainly from private sources, whose methodologies vary widely. The Financial Accounts of the Federal Reserve (Fed) now shed new light on the matter. They reveal that private credit finances 7.1% of US corporate debt through households (31% of funds' total financing), insurers and pension funds (20%), and banks (19%).

Who finances US private credit funds?

Funding sources by investor type, fund structure and instrument - data at end of Q2 2026



SOURCE: FEDERAL RESERVE (ENHANCED FINANCIAL ACCOUNTS), BNP PARIBAS

Private credit can take several forms. The most common is loans granted by closed-end funds[1] to small and medium-sized, unlisted and highly indebted companies. These loans are generally variable-rate, with flexible terms based on cash flow rather than a measure of profitability. While this asset class has inherent vulnerabilities[2] (Bank of France, 2025), it is also particularly well-suited to financing innovative and long-term projects (such as digital[3], infrastructure, renewable energy and healthcare), especially when combined with an equity stake in the company. Its slower growth in Europe likely explains, in part, the region's lag in innovation financing.

Private credit finances 7.1% of US corporate debt...

Private credit has grown rapidly in the United States over the past decade and has established itself as an alternative to bank loans for a category of borrowers. It now accounts for 17.3% of the total outstanding loans to American non-financial corporations (NFCs)[4] and 7.1%

1 Strictly speaking, a closed-end fund has a fixed term during which investors cannot withdraw their invested capital. However, the sector has diversified since 2020. The Fed distinguishes between 1) strictly closed-end private funds (private debt funds), 2) business development companies, which may have an indefinite lifespan and allow for occasional redemptions of shares, and 3) interval and tender offer funds, which offer the possibility of scheduled redemptions.
2 Notably, high credit risk, high leverage, difficulty in valuing loans, opaque credit ratings, occasionally complex credit structures, high concentration within the sector and increasing liquidity risk.
3 In 2025, nearly half of the direct loans made by private credit funds went to the tech sector (software, data centres and artificial intelligence) (Abbassi et al., 2026).
4 No comparable data exist for the Eurozone. According to France Invest (2026) data, private credit issued by French funds accounted for 4% of annual bank credit flows to NFCs in 2025.

of their debt. Approximately one-third (35%) is managed by strictly closed-end funds, with another third (36%) by semi-open-end funds that allow occasional early redemptions. The remaining third is held on the balance sheets of non-resident private debt funds (25%) and securitisation vehicles (4%).

... through banks, insurers and pension funds, and households

In yet another example of the lengthening of the credit intermediation chain in the United States (following that of the mortgage market), banks are among the main creditors of private credit funds (65% of their debt and 19% of their total financing). The low risk weighting of loans granted by banks to these vehicles, compared to that of direct bank loans to non-financial corporations, is undoubtedly a factor (Chernenko et al., 2024). The holdings of insurers and pension funds – consisting mainly of shares in strictly closed-end funds – make them among the leading investors in private debt funds (30% of issued shares and 20% of total financing). This asset class offers them the opportunity to diversify their portfolios and attractive returns. The rise of semi-open-end funds has expanded the investor base to include retail investors (31% of total financing), albeit at the cost of increased liquidity risk, as evidenced by the significant wave of redemptions in late 2025 and early 2026[5]. American households directly hold 70% of the equity issued by semi-open funds and 22% of the shares issued by strictly closed funds[6].

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5 Triggered by concerns regarding private credit funds' high exposure to the software sector and the quality of the loans granted.
6 This exposure is likely overestimated because, in the Fed's financial accounts, the household sector includes individuals and non-profit institutions, as well as resident private equity funds, which form partnerships with private credit funds. In order to align more closely with the European definition, households here include sole proprietors.

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INDIA: A MIDDLE CLASS TOO SMALL TO SUPPLANT CHINA'S ECONOMIC ROLE

Johanna Melka

At a time when Chinese consumption is slowing significantly, could India become a driver of global consumption? For now, this prospect presents considerable difficulties, with many obstacles to overcome. Despite dynamic growth and the Indian economy's expanding share of global output (8.2% of worldwide GDP in 2025), the middle-class consumer population remains modest and is nowhere near the size of China's.

This is due to the concentration of employment in low-value-added and largely informal sectors. The few manufacturing sectors with high value-added and strong job potential – electrical equipment, electronics, automotive, chemicals and pharmaceuticals – continue to face constraints from an unfavourable business environment and a skills shortage that is holding back their move into premium market segments.

Furthermore, the highest-paying service sector jobs, particularly in information technology, are now threatened by the rise of artificial intelligence. Without concrete measures, the "demographic window" – which is expected to remain favourable for another 15 to 25 years – could close before India establishes a solid industrial base and a sufficiently large middle class.

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INDIA IS STRUGGLING TO ESTABLISH A ROBUST MIDDLE CLASS

With an annual growth rate of 7.3% over the past decade (excluding the pandemic), India has one of the highest growth rates among the world's major economies. Yet, its middle-class consumer base remains surprisingly small. When measured in current U.S. dollars, total consumption is very high in India (USD 2,241 billion in 2025), but this figure primarily reflects the country's overall population size. By comparison, this consumption level falls 3.5 times short of China's corresponding figure. Furthermore, per capita consumption adjusted for purchasing power parity (PPP) is 1.3 times lower than that of Indonesia, the Philippines and Vietnam. When evaluated at constant prices, consumption per capita has increased only slightly over the past thirty years compared to China and even Vietnam (*Chart 1*).

According to our estimates, based on the research conducted by López-Calva and Ortiz-Juarez (2014)[1], India's middle-class consumer segment accounts for just 1.6% of the total population (*see Table 1*), or fewer than 24 million people. This is less than in Thailand and Vietnam (more than 30 million each) and far below China (approximately 490 million, according to the same definition).

The majority of households identified as middle class by standard Indian research institutions (the Centre for Monitoring Indian Economy [CMIE] and the National Council of Applied Economic Research [NCAER]) would, in fact, be categorised as "vulnerable" according to World Bank criteria: households that have officially emerged from poverty yet lack the financial stability necessary for sustained economic security.

Highly concentrated consumption and limited upward mobility

The structure of Indian household consumption reveals significant disparities between urban and rural areas. In 2024, average monthly consumption per capita amounted to 6,996 rupees in urban areas (approximately USD 84.5), compared with 4,122 rupees in rural areas (less than USD 50). The wealthiest 5% of urban consumers spent an average equivalent of USD 245 per month per person. Consequently, discretionary spending power remained concentrated among the highest income brackets.

Per capita consumption in India, at constant PPP, grew much more slowly than in China, Vietnam, and Indonesia

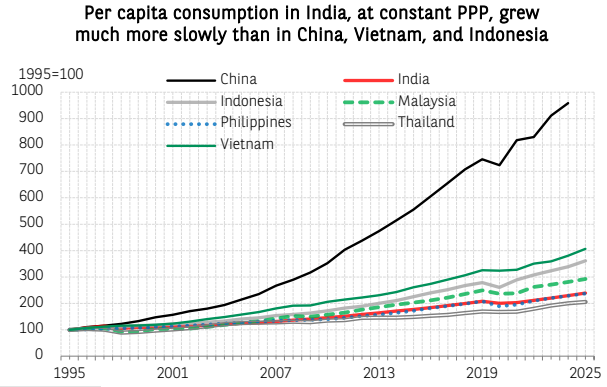


CHART 1 SOURCE: WORLD BANK, BNP PARIBAS

The structure of consumption has changed over the past decade. The proportion allocated to food purchases (34.8% of total spending on average) declined by 4.3 percentage points between 2011–12 and 2023–24, while allocations to transportation and communications increased to 12.4% (+3.8 pp). Although the allocation to durable goods has increased, it remains below 7% of total household spending. This increase was driven more by a rise in the use of credit than by income growth. Over the past ten years, consumer loans have been the main source of household debt. Although still modest relative to GDP, household debt rose by 12.2 pp to reach 47.8% of GDP by the end of 2025, according to the Bank for International Settlements (BIS).

1 These authors define the middle class as individuals for whom the risk of falling back into poverty is limited (less than 4% over four years), corresponding to daily per capita income ranging from 17 to 98 2021 PPP dollars (with vulnerability thresholds at 6.85 and 14 2017 PPP dollars, according to the World Bank). In the absence of reliable national income data collection mechanisms in India, our study applies these thresholds to the World Bank's consumer expenditure data, an approach aligned with the objective of assessing actual purchasing capacity deployed in the market (although this tends to slightly underestimate the middle class in terms of income, as household savings remain unaccounted for in expenditure measurements).

India: a very small consumer middle class

% population	<17 USD PPP 2021 (lower consumer group)	17-98 (middle consumer group)	>USD98 USD PPP (higher consumer group)
India	98.4	1.6	0.004
China	64.7	34.9	0.4
Indonesia	92.5	7.4	0.1
Philippines	95.0	4.9	0.0
Thailand	55.3	44.4	0.3
Vietnam	66.3	33.5	0.3

TABLE SOURCE: WORLD BANK, POVERTY AND INEQUALITY PLATFORM (PIP), CALCULS BNP PARIBAS.

THE LABOUR MARKET SUFFERS FROM STRUCTURAL WEAKNESSES

The limited size of the middle class and the low level of household consumption in India can be attributed, in particular, to the enduring structural weaknesses of the labour market. The labour market faces two major problems: insufficient job creation and the fact that most of the jobs created are low-skilled and low-paid.

Insufficient job creation

Despite the Indian economy's robust growth, its employment rate remains substantially lower than in comparable Asian economies: 52.7% in 2025 according to the International Labour Organization (ILO), compared with 65.6% in Indonesia and 71.3% in Vietnam. This disparity is mainly due to low labour force participation among women (34% compared with 53.4% and 68%) and young people (40.8% of those aged 20-24 compared with 66.7% and 69.4%).

Over the past ten years, employment growth has averaged just 2.4% annually, whereas GDP growth was close to 6% per year.

The services sector (representing 33.2% of employment in 2025) accounted for the bulk of job creation during this period (+3.2% per year), far ahead of the manufacturing sector (+1.4%) and, above all, agriculture (+0.1%), which nevertheless remains the country's largest employer (41.5% of the workforce). This is not enough to absorb the 10 to 12 million new entrants to the labour market each year.

A limited number of sectors have significant potential for creating high-quality, well-paid jobs

To identify sectors with high potential for job creation, we calculate employment elasticity both for aggregate economy (KLEMS data) and for the formal manufacturing sector alone (Annual Survey of Industries, 2025).

Over the period 1981–2023, aggregate employment elasticity remained low at a virtually unchanged level, close to 0.3. This stability, however, masks significant sectoral divergences: elasticity remained stable in the services sector throughout the period (0.5), but it declined sharply in the manufacturing sector (from 0.4 during 1981–1990 to just 0.1 during 2012–2023[2]): at the same growth rate, India now creates far fewer industrial jobs per unit of growth than it did forty years ago (*Table 2*). In the formal manufacturing sector alone, employment elasticity reached 0.7 over the past ten years, driven by very robust job creation. However, this positive trend has not been sufficient to offset the decline in informal sector employment, which accounts for 73.4% of total manufacturing employment but only 38% of the sector's value added. Labour productivity in the formal manufacturing sector is thus estimated to be 5.4 times higher than in the informal sector.

In capital-intensive sectors, employment elasticity ranged from 0.5 to 0.6 (including electrical equipment, transportation, chemicals and metals), whereas in labour-intensive sectors — specifically wood, textiles and apparel, and manufacturing food — employment elasticities remained particularly low, or in certain cases, negative.

2 Employment elasticity remained relatively stable between 1990 and 2012.

Over the 2012–2023 period, India's strong GDP growth did not translate into job creation in labour-intensive manufacturing sectors

Sector	CAGR: Employment	CAGR: VA	Labour intensity (employment/capital stock)	Employment elasticity
Agriculture	1.4	4.1	524	0.3*
Mining	-2.7	1.8	25	-0.9**
Manufacturing	1.3	5.4	73	0.1
Food, beverage, tobacco	0.3	3.1	88	-0.2*
Textiles, clothing, leather	0.0	4.7	121	-0.1
Wood and wood products	-2.9	4.6	345	-0.4***
Coal, petrochemicals	3.1	-1.0	5	0.1
Chemicals	4.0	7.6	29	0.5***
Rubber & plastics	2.3	9.2	38	0.2***
Metals	3.8	6.2	51	0.6***
Electrical & optical equipment	4.0	5.0	93	0.7***
Transport equipment	4.0	6.5	33	0.4***
Water, gas, electricity	3.7	6.1	6	0.7***
Construction	4.0	5.3	227	0.8***
Total services	3.6	6.5	63	0.6***

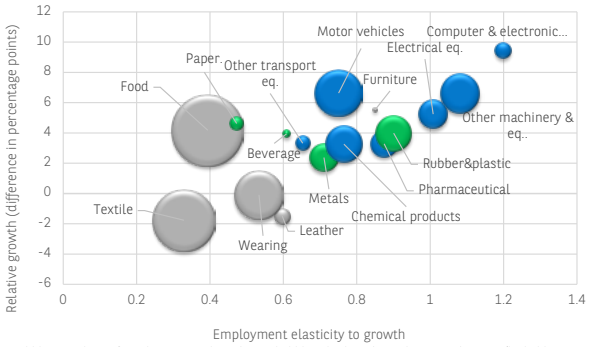
TABLE 2

SOURCE: KLEMS (FORMAL AND INFORMAL SECTORS), ILO, BNP PARIBAS CALCULATIONS (LOG-LOG REGRESSION WITH DUMMY VARIABLES FOR THE TWO PANDEMIC YEARS 2020-21 *** ** * = SIGNIFICANCE AT 1%, 5%, 10%). CAGR: COMPOUND ANNUAL GROWTH RATE.

In other words, growth in value added in these sectors with high labour absorption potential is primarily driven by productivity gains rather than job creation. Furthermore, even among companies operating in the formal sector, employment elasticity remains low at an average of 0.4. Consequently, the traditional mechanism facilitating labour mobility from the agricultural sector to the labour-intensive manufacturing sector has been very limited over the past forty years.

The only manufacturing subsectors that combine strong growth, high employment elasticity, and high productivity — thereby offering real potential for creating high-quality jobs — are electronics and information technology, electrical equipment, the automotive industry, the chemical industry, and, to a lesser extent, the pharmaceutical industry. In these subsectors, the formal employment elasticity ranges from 0.8 to 1.2 (*Chart 2*). However, in 2025, these jobs accounted for just 1.4% of total employment and 5.9% of GDP. The potential therefore remains negligible at the macroeconomic level.

Chemicals, pharmaceuticals, electrical engineering, electronics, and the automotive industry are the most promising sectors in terms of creating high-quality jobs



Bubble size: share of employment in the industry; bubble color based on relative productivity (high: blue, medium: green, and low: gray).

CHART 2 SOURCE: ANNUAL SURVEY OF INDUSTRIES, BNP PARIBAS ESTIMATES

Several structural constraints limit job creation in India

- The high rigidity of the labour market: it consists mainly of small, informal businesses — those with fewer than 50 employees account for 65% of the productive sector — largely due to the stringency of labour legislation (for example, companies with more than 300 employees cannot carry out mass layoffs without authorisation).

- Numerous obstacles impede the growth of industrial and job-creating businesses: an unfavourable business environment (particularly difficulties in accessing land acquisition to build factories); high costs of accessing capital (particularly for small and medium-sized enterprises); insufficient export competitiveness in labour-intensive sectors (textiles, clothing), which encounter disadvantages, including less advantageous tariff conditions[3] than competing Asian economies.

- The mismatch between the skills of the available workforce and the needs of businesses. This mismatch constrains wage growth and the development of household purchasing power, obstructs industrial advancement, and, consequently, the creation of high-quality jobs.

INADEQUATE JOB QUALITY DUE TO A LACK OF APPROPRIATE SKILLS

A predominantly informal and low-paid labour market

According to the ILO, 87.2% of total employment in India is informal, with 73.4% concentrated in the manufacturing sector alone, predominantly engaged in low-value-added activities that require few skills. Furthermore, the Periodic Labour Force Survey (PLFS) 2023/24 indicates that 58.4% of Indian workers are self-employed, 19.8% are day labourers, and only 21.7% are regular employees — the highest-paying status, with a wage gap of more than 60% compared to the other two categories. According to the ILO, 20% of the population captures 79% of aggregate labour income. The agricultural sector, which still employs 41.5% of the labour force while contributing less than 15% to GDP, is 3.7 times less productive than the services sector, with a median hourly wage that is 40 to 50% lower.

A widespread skills shortage

This concentration of earnings reflects the low skill levels of the jobs held: according to the PLFS, 88.2% of workers hold jobs requiring little or no skill. The proportion of skilled jobs is just 11.2% and has declined by 4.6 pp since 2018. The underlying challenge is not a shortage of graduates but rather a misalignment between what the labour market needs and the educational preparation provided to graduates[4], which results in their gradual downward mobility into positions far below their formal qualifications.

Unemployment, the downward mobility of graduates, and a shortage of technical skills

This disparity between skills and business needs directly contributes to unemployment among graduates, which reached 13.5% in 2025 according to the ILO, compared with 1.3% for individuals without a degree. Within the 25- to 34-year-old demographic, the unemployment rate stands at 15.2% for graduates (19.2% for those with a master's degree), compared with an average of 6.1% across this age group. Only 8.3% of graduates secure positions that genuinely correspond to their educational attainment; 53% of bachelor's degree holders and 36% of master's degree holders are overqualified for their positions.

In low-skilled jobs, the lack of technical training represents a significant barrier to youth employment: according to the World Bank's Enterprise Survey (2022), 17.8% of traditional service companies and 14% of "intermediate" manufacturing companies cite this as a major obstacle. In India's manufacturing sector, 32.9% of positions are reportedly held by underqualified workers, according to the ILO, compared with 28.8% in Indonesia and just 16.5% in Vietnam.

A direct impediment to industrial advancement

A survey conducted by the Ministry of Skill Development & Entrepreneurship across seven key sectors — automotive, textiles, agriculture, livestock, IT, commerce and green energy — reveals that the pace of

3 Historically, tariff rates imposed on Indian products exported to Europe have been higher than those applied to certain other Asian countries (Bangladesh, Vietnam, Pakistan).
4 According to the World Bank and the NCAER, educational and training programmes are too theoretical and fail to develop cognitive and interpersonal skills. Vocational education and training are not designed to meet the needs of high-demand sectors. Collaborative relationships between educational institutions and employers — particularly regarding internships and on-the-job training — remain inadequately developed.

"Low-skilled" workers will hold the majority of jobs in India in 2025

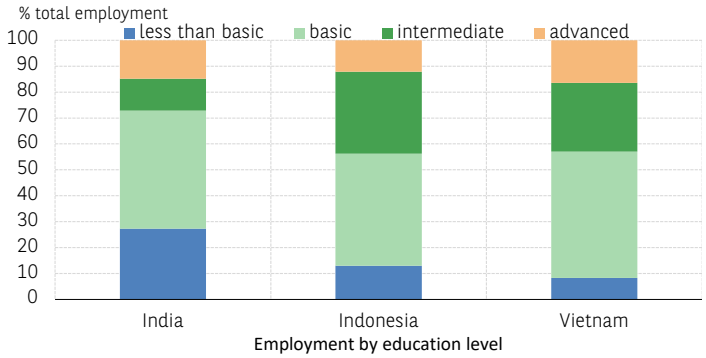


CHART 3 SOURCE: PLFS, ILO, BNP PARIBAS

The share of skilled jobs has been declining since 2018

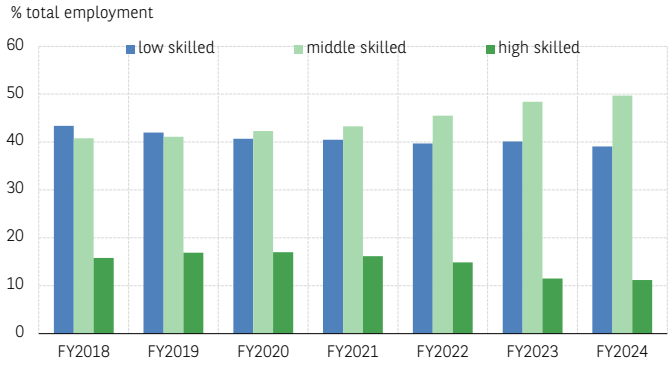


CHART 4 SOURCE: PLFS, ILO, BNP PARIBAS

workforce training development significantly lags behind industry requirements. This forces companies to train a considerable number of young graduates themselves before they are ready for the workforce. According to the Telecom Talent in the 5G Era report by the Telecom Sector Skill Council, only 40% of IT and telecommunications graduates are actually immediately employable.

This disparity in skills particularly constrains the transition towards higher-value-added manufacturing activities within the sectors identified above (automotive, electronics and chemicals). Their growth trajectory depends on technological advancement — electric vehicles, semiconductors, specialty chemicals — and therefore on intermediate to advanced technical skills that are currently lacking. Should training provision fail to align with industry demand, employment elasticity and growth in these sectors will stagnate or decline, undermining the only source of high-quality job creation currently available — and consequently, the Indian economy's ability to expand its middle class.

These structural limitations affecting national industrial development diminish its appeal to foreign investors, despite its size. The stock of foreign investment in India stood at USD 560 billion in Q2 2026, representing just 15% of GDP (compared with 20% in China, more than 52% in Vietnam, and around 67% of GDP in Thailand and Malaysia).

ARTIFICIAL INTELLIGENCE: A NEW RISK TO JOB CREATION

Artificial intelligence (AI) may also limit the expansion of high-paid employment opportunities in the service sector. Its deployment poses a significant threat to employment in India, particularly in the highest-paying service sectors — the same sectors that possessed significant potential for expanding India's middle-class consumer base.

Agriculture (41.5% of the labour force), construction (12%), and trade/transportation (18%) remain largely immune to the direct replacement of workers by AI, which reduces the overall macroeconomic scale of the coming shock. The service sectors offering the most lucrative employment — IT, finance and insurance — account for just 1.3% and 1.2% of total employment, yet these remain the primary targets of automation. In IT services companies, the adoption of AI is expected to reduce the need for entry-level roles (quality assurance, software testing and support roles) but increase demand for positions centred on platform development and management oversight. Current sector-specific evidence indicates a notable slowdown in job creation within IT services but no widespread contraction. A study by the Indian Council for Research on International Economic Relations (ICRIER) on the IT sector confirms a decline in job creation for routine and entry-level roles.

While new professions are emerging such as data centre operators, AI DevOps engineers who serve as intermediaries between software development and systems operations teams, and ethical AI specialists, the volume of employment opportunities generated remains substantially lower than the number of jobs at risk. Furthermore, the skill requirements for these newly created positions exceed those possessed by the existing cohort of graduates.

REFORMS ARE A STEP IN THE RIGHT DIRECTION BUT DO NOT GO FAR ENOUGH

Since 2019, the Modi government has implemented a series of measures to develop industry, attract foreign direct investment, and gain greater integration in global trade (after decades of protectionist policies).

Corporate subsidy programmes (Production-Linked Incentives) have helped support the development of those sectors with the greatest potential for job creation (electrical, electronics, chemicals, and automotive). Similarly, labour market reform (which came into force in late 2025) may alleviate impediments to business expansion and the creation of formal jobs. However, its actual impact will depend on its adoption by the states, which retain considerable discretionary autonomy over labour law, and on its effective implementation on the ground. The free trade agreement signed between India and the European Union in late January 2026 (which is expected to take effect in 2027 at the earliest) should mitigate the tariff disadvantage experienced by labour-intensive industries: the EU has pledged to remove tariffs, which currently range from 4% to 12% on textiles and clothing.

However, these measures alone will be inadequate for creating high-quality jobs if the education system fails to meet the needs of Indian businesses. It is therefore imperative that India continues to improve its business environment and, even more importantly, reform its education system to promote job creation in high-value-added and well-paying sectors. Without concrete measures, the "demographic window" — which is expected to remain favourable for another 15 to 25 years — could close before India establishes a robust industrial foundation and a substantial middle class.

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While India's economic growth has demonstrated considerable dynamism, this growth has not translated into the development of the middle class. The real medium-term concern involves the emergence of a "neo-precarious" middle class — substantial in terms of numbers but lacking the foundations necessary for advancing towards a high-income economy (households with stable employment, the ability to save, and social protection). The creation of formal, high-quality jobs is currently inadequate to sustain industrial expansion and its progression towards higher-value segments. The cultivation of certain niche activities, while promising, remains very limited and is far from benefiting the entire population. Finally, the development of AI poses more of a risk than a genuine opportunity for the country's development. India lacks both the infrastructure and the educational system necessary to deploy AI in a way that would yield tangible benefits for its economy and labour market.

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EcoFlash

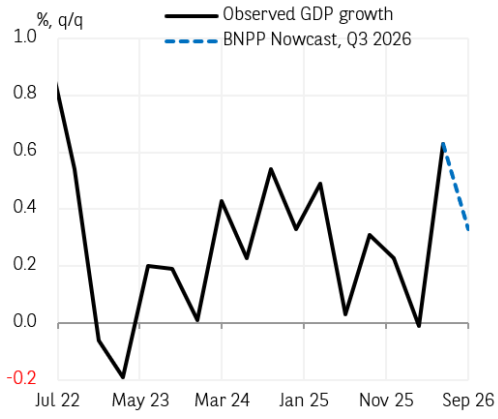
Q3 Growth in advanced economies: solid despite shocks

Growth looks to have held up in Q3 despite successive shocks (see our analysis), as it did in 2025 and H1 2026. A longer Middle East conflict has fed into more persistent inflation; drought has worsened in many countries, and interest rates have risen further – at the short end, with both the ECB and the Fed raising policy rates in September, and even more at the long end. However, our nowcasts show that growth is bending without breaking in most advanced economies. GDP figures (due on 29 October in the US and 30 October for the euro area and its member states) are expected to confirm that. In the Euro area, momentum looks stable (excluding Ireland, whose GDP is volatile). In Germany, growth has been uninterrupted since Q4 2025, while France is likely to have returned to growth after stagnating in H1. In the US, growth is likely to have gathered pace, according to the GDP Now, still driven by AI, but increasingly by other sectors as well.

Euro area: resilience beneath the surface. Our nowcast points to growth slowing to 0.3% in q/q, though the pace is stable excluding Ireland (Irish GDP is volatile and had markedly boosted the Q2 figure). Excluding Ireland, growth should hold at its H2 average, a sign of the bloc's underlying resilience. Also, momentum has broadened to a growing number of sectors (see our analysis). While industrial production stalled over the summer, services remained buoyant. The services PMI rebounded sharply in Q3 and sits firmly in expansion territory (53.0 in September). Improving job-related survey data (PMI and European Commission surveys) and a stable unemployment rate (6.4% in August) hint at more hiring in Q3 – a support for household consumption that partly offsets purchasing-power losses from persistent inflation. Corporate investment is underpinned by buoyant new investment lending (8.7% y/y In August, 12-month cumulative).

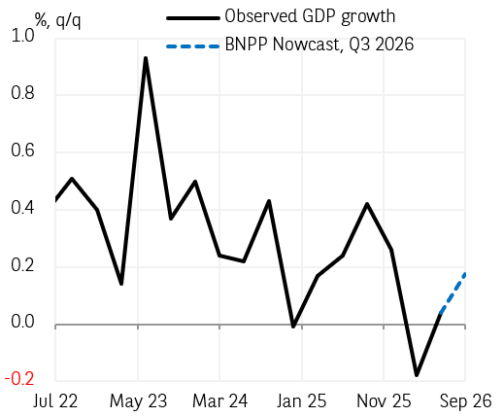
France: growing, nevertheless. The succession of shocks does not appear to have prevented France from returning to growth in Q3, at 0.2% q/q, according to our nowcast. One-off factors accounted for the stall in activity in H1. In Q3, the drought worsened and industrial production remained subdued. However, market services production rebounded in July and August, notably in business services, restaurants, digital and real estate. The latter points to residential investment recovering after a weak H1. Corporate investment likely followed, as reflected in buoyant credit flows and AI-related investment. Household consumption is likely to have improved slightly on higher electric vehicle sales.

Euro area



Source: Refinitiv, BNP Paribas

France



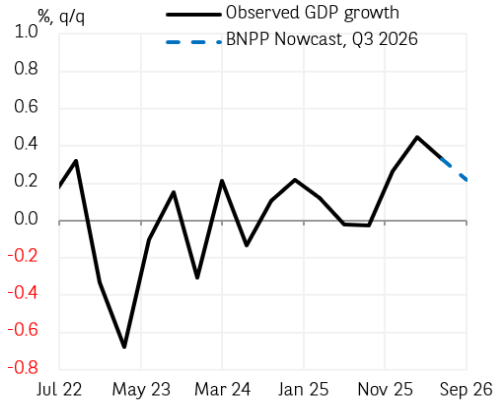
Source: Refinitiv, BNP Paribas

Germany: growth still solid. The H1 rebound in activity is moderating but continues. **Our nowcast points to a fourth straight quarter of growth in Q3, at 0.2% q/q (after 0.3% in Q4 2025, 0.4% in Q1 2026, and 0.3% in Q2).** Manufacturing activity eased slightly, according to the September PMI survey (53.9, down 0.4 m/m). Government spending will remain growth-supportive, with defence and infrastructure outlays gaining traction. Infrastructure spending continues to underpin activity in public works, which stands at its highest since November 2021 (2.5% 3m/3m in August). Exports (4.4% y/y between January and August) remain the main growth engine, helped by a pivot towards Europe (7.2%).

United States: an expansion undeterred by inflation. Growth is likely to have gathered pace in Q3. **The Atlanta Fed's GDP Now points to a 3.5% annualized growth rate (AR), close to our own 3.7% forecast (0.9% non-AR) and up from 2.2% in Q2**. Domestic demand remains the engine. Consumption is weathering the pickup in inflation, while the AI-driven capex cycle remains robust – as reflected in retail sales and nondefence capital-goods orders (excl. aircraft). As a result, growth in final sales

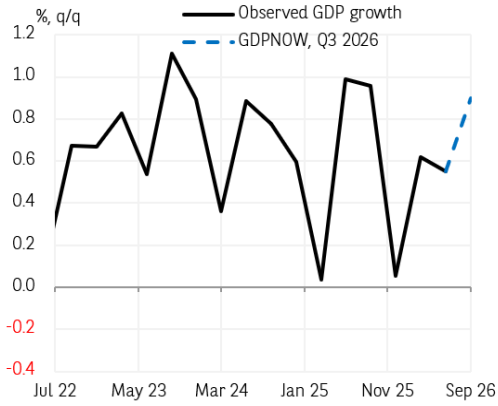
to private domestic purchasers[1] should print above 4% AR again. By contrast, external trade should remain a drag on growth, reflecting AI-related import needs. Survey data point to momentum that is both solid and broad-based. The ISM indices have remained firmly in growth territory (54.9 quarterly average for manufacturing and services alike). At the same time, they highlight persistent price and supply-chain pressures.

Germany



Source: Refinitiv, BNP Paribas

United States



Source: Refinitiv, Atlanta Fed, BNP Paribas

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[1] The sum of household consumption and private fixed investment.

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WHAT LESSONS CAN WE LEARN TO KEEP EUROPEAN INDUSTRY COMPETITIVE FROM THE MEASURES TAKEN BY GERMANY, AS THE COST OF ELECTRICITY CONTINUES TO TURN THE SCREW?

Marianne Mueller and Pascal Devaux

The 2022 energy crisis clearly highlighted the issue of electricity prices in Europe – and, more broadly, the issue of energy prices. As a result, European manufacturers' competitiveness has been severely undermined when compared with the United States and China. By reigniting tensions over electricity prices, the conflict that began in the Middle East in late February 2026 further underscores the continent's vulnerability to fossil fuel imports, despite the expansion of renewable energy. Faced with an environment of potential sharp and sudden price rises, European governments do not have the same room for manoeuvre.

While the additional costs borne by European manufacturers are mainly linked to the share of gas in national electricity mixes, we will first illustrate that, in Germany, grid operation and maintenance costs, as well as taxation, are also contributing significantly to these costs.

We will then explore the solutions proposed by the German government under the new European measures regulating state aid to electricity-intensive industries.

Finally, our estimates will show that, while these measures make Germany more competitive against some European countries, they do not place it on an equal competitive footing with the United States or China. Nevertheless, Germany has made significant progress in decarbonising and making its electricity mix more flexible from a European perspective. This should help to ensure that electricity costs are reduced in the medium term.

ECONOMIC RESEARCH

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WHAT LESSONS CAN WE LEARN TO KEEP EUROPEAN INDUSTRY COMPETITIVE FROM THE MEASURES TAKEN BY GERMANY, AS THE COST OF ELECTRICITY CONTINUES TO TURN THE SCREW?

GAS: A KEY FACTOR IN THE ADDITIONAL ELECTRICITY COSTS FACED BY EUROPEAN INDUSTRY

European manufacturers are still paying significantly higher electricity costs than their American and Chinese competitors. In 2019, there was a 30% difference between the prices charged to European electricity-intensive industries (corresponding to the lower end of the industrial price range) and the average US industrial price. In 2025, it stood at nearly 100% according to the IEA (2026)[1], after peaking at an average of 148% between 2022 and 2023. There is currently a 50% difference with their Chinese competitors[2].

The disruption to Russian gas supplies since 2022 is behind the rising gas prices, particularly as the EU has had to turn to liquefied natural gas[3] (LNG), which is more expensive than gas transported via pipeline and, above all, exposes Europe to global gas market conditions. The growth of LNG has, in fact, intensified competition between the major consumption regions, primarily Europe and Asia. European and Asian prices now tend to move more in tandem (*Chart 1*). However, in China, the prevalence of coal — a widely available local resource — and a more regulated electricity price help to keep industrial prices lower. At the same time, the United States enjoys plentiful domestic gas, which is produced at a low cost, driven by the sharp rise in shale oil and gas production over the past decade. By contrast, since 2022, Europe has been more exposed to the cost of imported gas (90% of its total consumption, according to Eurostat), while the United States and China have enjoyed plentiful domestic resources.

THE 'MERIT ORDER' PRINCIPLE IN SETTING ELECTRICITY PRICES IN EUROPE

Fluctuations and the level of gas prices are passed on to European electricity prices via the 'merit order' marginal pricing mechanism, with the wholesale price determined by the marginal cost of the last (and most expensive) electricity source called upon to meet demand.

As a result, gas plays a decisive role, with gas-fired power stations setting the price in around 40% of cases in Europe[4], with significant variations depending on national electricity mixes. It is close to this average in Germany, below it in Spain (26%) and France (17%), and above it in Italy (73%)[5] in 2025[6] [7]. Therefore, electricity prices are still sensitive to fluctuations in gas prices, even when electricity is not generated from gas (*Chart 2*). This pass-through is particularly pronounced when demand rises and requires the use of more expensive sources, or when supply constraints arise (for example, during extreme heatwaves that reduce wind-power generation or disrupt the cooling of nuclear power plants).

The price of US gas: a decisive advantage

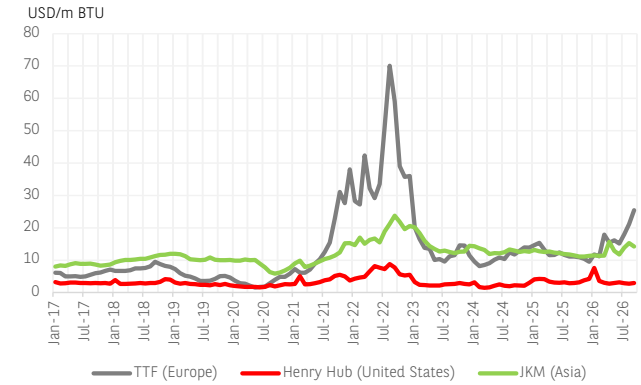


CHART 1 SOURCE: CEIC, BNP PARIBAS

There is still a major link between gas prices and wholesale electricity prices in Europe

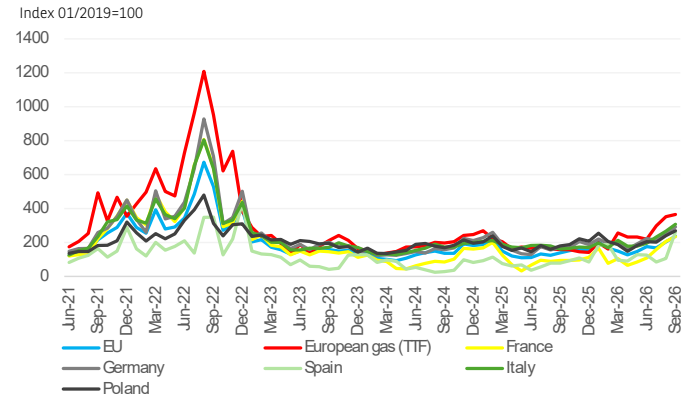


CHART 2 SOURCE: EMBER, BLOOMBERG, BNP PARIBAS

However, for the time being, the 2026 energy crisis is having a far smaller effect on electricity prices than in 2022. On the one hand, the 2026 peak reached by the European TTF benchmark is still well below that recorded in 2022[8].

In addition, there has been significant progress in decarbonising European electricity mixes since 2022, which has helped to mitigate, on average, the pass-through of gas prices to electricity prices.

1 Prices – Electricity 2026 – Analysis – IEA
2 The difference may be even larger for other manufacturers who do not receive the same support as electricity-intensive sectors.
3 Imports of Russian gas (via pipeline and LNG) accounted for around 45% of total European imports in 2021, compared with 14% in Q2 2026 (Bruegel, natural gas imports).
4 ACER, 2026, Key developments in EU electricity and gas markets, 2026 Monitoring report.
5 In Italy, in response to sharply rising gas prices in 2026, the government is currently negotiating a potential option of capping the prices of gas supplied to power stations in order to limit the rise in the wholesale price of electricity. However, this can only be a temporary general mechanism, with the potentially major cost being borne by public funds and/or households.
6 Eurelectric, 2026, *Power Barometer*.
7 EMBER, 2026, Latest energy shock reminds Europe of its risky reliance on gas.
8 Energy shock: 2026 vs. 2022 dashboard – 2nd October 2026 – Economic Studies – BNP Paribas

Europe is diversifying its electricity mixes as part of its decarbonisation agenda

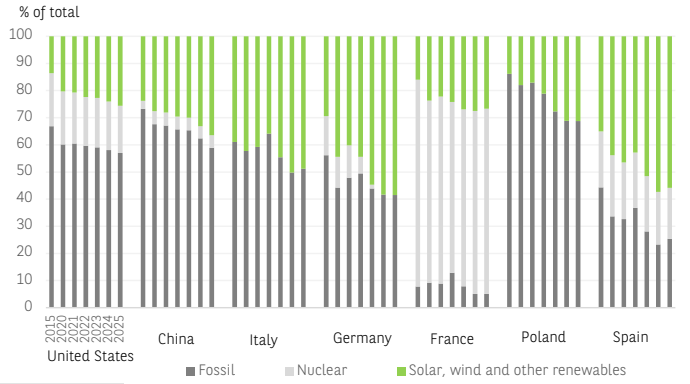
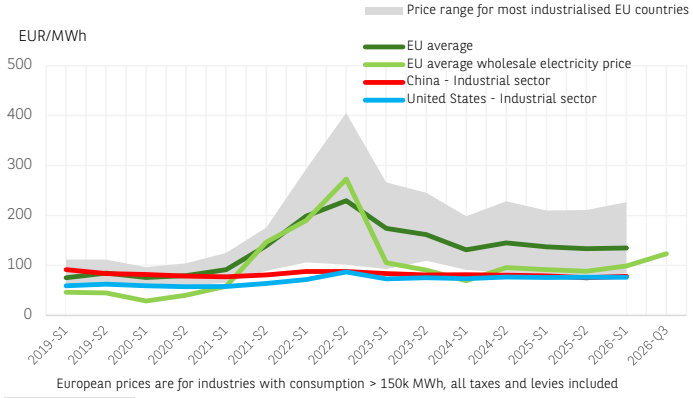


CHART 3

SOURCE: EMBER, BNP PARIBAS

Electricity prices for energy-intensive industries: differences in competitiveness that still need to be qualified

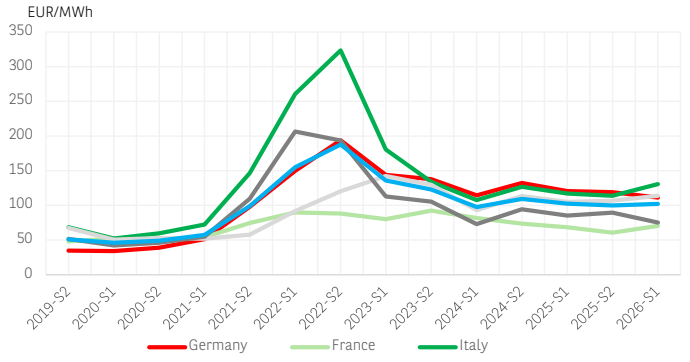


European prices are for industries with consumption > 150k MWh, all taxes and levies included

CHART 5

SOURCE: EUROSTAT, EIA, CEIC, BNP PARIBAS

There are major differences in electricity prices for electricity-intensive industries within Europe



European prices are for non household with consumption > 150k MWh, excl. taxes and levies

CHART 4

SOURCE: EUROSTAT, BNP PARIBAS

Breakdown of electricity prices for European manufacturers

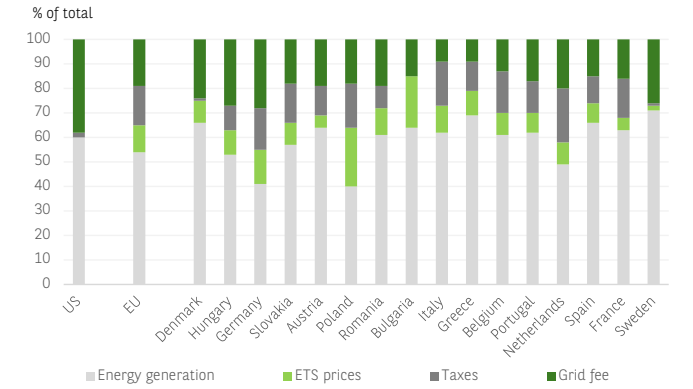


CHART 6

SOURCE: EUROPEAN COMMISSION, BNP PARIBAS

SOME EUROPEAN COUNTRIES HAVE MANAGED TO STAY COMPETITIVE, BUT GERMANY IS STILL THE EXCEPTION

Electricity prices partly vary due to countries' electricity mixes (*Chart 3*). Electricity-intensive manufacturers in countries where the share of fossil energy is high face higher costs (Poland, Italy and Ireland) (*Chart 4*). Conversely, countries with a less carbon-intensive mix (particularly France and Spain in recent times) are less directly exposed to these fluctuations, with costs closer to the United States and China (*Chart 5*).

The situation in Germany is paradoxical, as, despite progressively greening its electricity mix and wholesale electricity prices (averaging 90 EUR/MWh over the 2023–2025 period) and average electricity costs (across all industrial sectors) in line with the European average, the most energy-intensive industries face higher costs than the European average (and even more so compared with international competitors). This is mainly due to grid costs and a tax burden above EU standards (*Chart 6*).

In the first half of 2026, for the most electricity-intensive industries, the difference compared with the European average was 9%, based on the prices excluding taxes and levies provided by Eurostat. This gap is mainly due to the cost of accessing the grid. If all taxes and levies are included, the difference rises to 21% (*Chart 7*)[9].

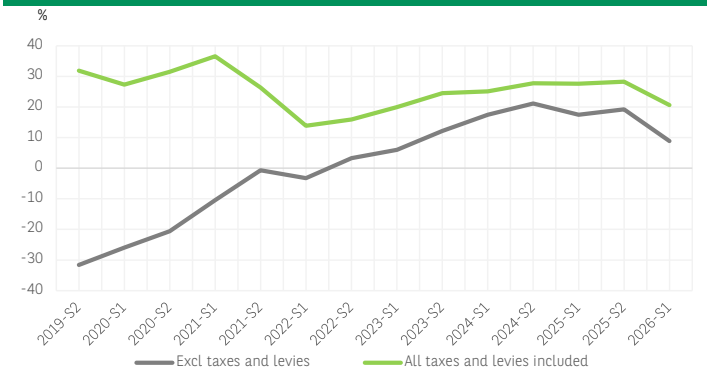
EUROPE'S APPROACH OF ADOPTING BOTH STRUCTURAL PROGRAMMES AND TARGETED SUPPORT MEASURES

European programmes to support the low-carbon transition pursue objectives relating to climate action (reducing greenhouse gas emissions), sovereignty[10] (increasing energy self-sufficiency) and competitiveness (reducing the volatility and costs associated with fossil fuels). The RePowerEU programme, which was launched in 2022 in response to the energy crisis, primarily aims to reduce imports of Russian gas and, more generally, to accelerate the low-carbon transition. Although Europe has reduced its dependence on imports of Russian fossil fuels, there has still not been enough progress around the energy transition and cross-border connectivity. This is due to governance constraints

9 Eurostat data are used to compare prices with the rest of the EU. However, given that electricity prices are not uniform for businesses at a European level, there may be differences between Eurostat and national sources. Jäger P., 2025, "*Cautionary tale or model for Europe? How member states should react to Germany's new electricity subsidy*", Hertie School, Jacques Delors Centre.

10 P. Devaux, 2026, "European Union: low carbon transition and energy sovereignty, a path fraught with obstacles"

A system of taxes and levies that harms Germany's electricity-intensive industries



Electro-intensive industry electricity prices gap between Germany and average EU (>150k MWh)

CHART 7 SOURCE: EUROSTAT, BNP PARIBAS

Germany: sharp decline in output from energy-intensive industries

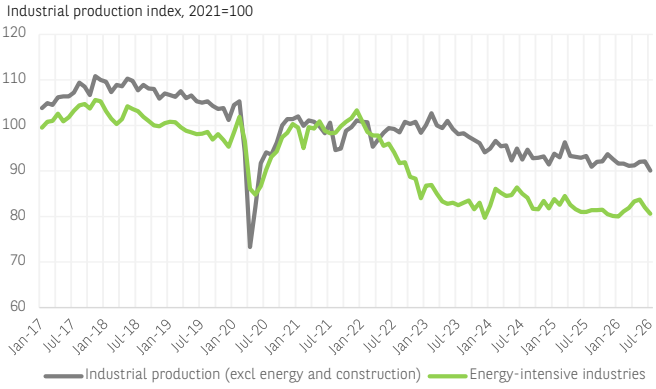


CHART 8 SOURCE: DESTATIS, BNP PARIBAS

and struggles in implementing the programme in practice within each Member State[11].

State aid is still the main vehicle for this. In response to the 2021–2022 energy crisis, the European Union temporarily relaxed the rules on this type of aid in order to support businesses facing rising energy prices. Any intervention of this kind, provided that it is selective and could affect trade within the single market, must be authorised in advance by the European Commission in principle. Since June 2025, the Clean Industrial Deal State Aid Framework (CISAF) has provided a more sustainable framework for these kinds of interventions. In particular, this framework, which runs until the end of 2030, authorises Member States to grant temporary aid to electricity-intensive businesses to offset the cost of electricity. The aid must be targeted and come with decarbonisation commitments[12]. Against the backdrop of the crisis in the Middle East, the temporary METSAF scheme, adopted in April 2026, helped (in relation to measures falling under the CISAF) to increase the proportion of additional costs offset by governments from 50% to 70%, thereby offering additional support to the most at-risk sectors.

GERMANY IS STILL SUFFERING FROM INSUFFICIENT INVESTMENT IN ITS ELECTRICITY NETWORKS, WHICH THE AID SCHEMES ARE ATTEMPTING TO OFFSET

The issue of electricity costs is a particularly hot issue in Germany, given the importance of industry to the economy (around 20% of value added, one of the highest levels in Europe) and its exposure to international competition. Furthermore, the delay in modernising electricity infrastructure (only 22.6% of the high-voltage lines planned for 2025 had actually been completed by that date) is causing bottlenecks between the production areas in the north and the consumption centres in the south. As a result, the costs of accessing services have increased fivefold over 10 years (rising from EUR 1 bn in 2014 to EUR 5.2 bn in 2024[13]). At the same time, as we have already seen, taxation and grid charges are hitting industry hard, with levies on large consumers far exceeding the European average despite some support mechanisms being put in place for the most electricity-intensive companies (such as the Bandlastprivileg measure to reduce grid tariffs). As a result, German industrial production has suffered in particular due to rising energy prices in recent years, including electricity, with electricity-intensive industries being especially affected (*Chart 8*).

In order to cope with these higher electricity costs than the European average, Germany has been using European support schemes to reduce the cost of electricity for businesses, particularly since the Merz government took office in May 2025. The main scheme — the Industriestrompreis[14], made possible by the CISAF — has been approved by the European Commission for the 2026–2028 period. While it is less beneficial than the indirect carbon cost (ICC) offsetting included in electricity prices[15], it has a broader scope, meaning that businesses ineligible for the ICC can benefit from it. Other measures complement this targeted support by addressing other components of the electricity bill. As a result, the electricity tax has been set at the European minimum for manufacturing sectors, while the gas-storage tax has been abolished. The government is also subsidising grid fees, which should halve them.

Overall, according to our estimates based on 2024 prices, the final price of electricity for these industries could fall by around a quarter (to 116 EUR/MWh for industries with annual consumption of between 70 and 150 GWh, compared with a European average of 123 EUR/MWh) (*Chart 9*). Germany's advantage over Central and Eastern European countries, where electricity costs are generally already higher, looks set to increase.

11 European Court of Auditors, 2026, "Implementation of the REPowerEU plan must be stepped up".
12 It applies to the most electricity-intensive activities, which are seeing their competitiveness threatened by international competition, and follows the 4x50 principle: 50% of electricity consumption is eligible for a subsidy; Of the eligible proportion, the subsidy may not exceed 50% of the wholesale price;
The final wholesale price paid by the company must not be less than €50/MWh;
50% of the aid received must be reinvested in decarbonisation (renewable energy generation, storage and improvements in energy efficiency); Around 90 sectors are covered by this reform, accounting for approximately 2,000 companies, including in the chemical, steel and paper industries. The scheme, which is strictly regulated, will run for just three years (from 1st January 2026 to the end of 2028) at an estimated total cost of between EUR 3 and 5 bn, financed by the special Climate and Transformation Fund.
13 Bundesnetzagentur Monitoring Report (2015) and Bundesnetzagentur Monitoring Report (2025). These costs mainly cover the costs of physical infrastructure; operational, regulatory and compliance costs; and costs associated with using the transmission and distribution network.
14 The *Industriestrompreis* (industrial electricity price) is the public subsidy mechanism aiming to reduce the price of electricity for some industries.
15 The indirect carbon cost compensation mechanism is a government support measure for electricity-intensive industries, which aims to offset the cost of carbon-emission allowances for energy producers.

However, even when taking all of the subsidies into account, the price of electricity in Germany would remain higher than the levels seen in France, Spain or Portugal (and even more so in the United States and China).

FISCAL MEASURES: LIMITED ROOM FOR MANOEUVRE

There are a number of limitations to these European schemes. For the country implementing them, lower electricity costs mean that its industry becomes more competitive against industries from other EU countries, but this does very little to address the disadvantage that it faces compared with the United States and China. Therefore, this measure will unlikely be enough to counteract the loss of market share seen vis-à-vis the United States and China. In addition, the support schemes are restrictive (conditional on investment in the low-carbon transition) and are transitional. Finally, their cost is partly passed on to the public purse or to consumers who do not receive this support (in Germany, the cost of the new energy price support measures is estimated at EUR 14.3 bn in 2026, or 0.3% of GDP[16]).

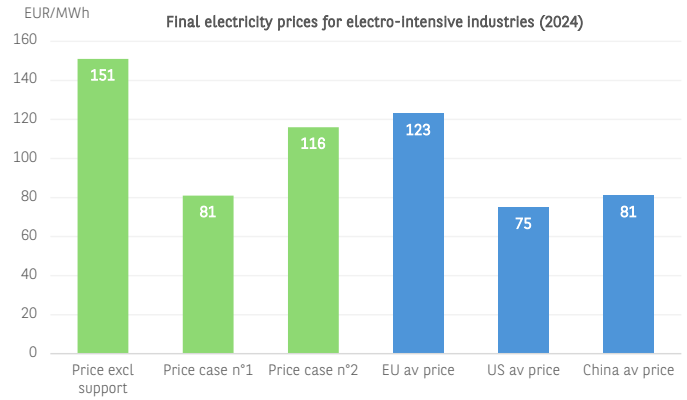
Some European manufacturers have proposed abolishing or reducing the carbon tax as a solution to getting electricity prices down quickly. In Germany, this tax accounted for 14% of the electricity price in the first half of 2025, which is higher than the EU average (11%). However, this proposal is already covered by the indirect carbon cost offsetting mechanism for electricity-intensive industries exposed to carbon allowance prices. In addition, while adjustments are being made — notably to slow the rate at which allowances are reduced — it seems highly unlikely that the scheme will be significantly challenged. It is one of the cornerstones of Europe's policy to combat climate change, which has been effective thus far, as shown by the falling greenhouse gas emissions from industry. More broadly, the gradual introduction of a carbon border adjustment mechanism (CBAM) should mitigate competition distortions caused by environmental practices[17].

IN GERMANY AND THE REST OF EUROPE, HEAVY INVESTMENT IS DRIVING UP ELECTRICITY BILLS IN THE SHORT TERM

In response to the challenge of the low-carbon transition and industrial competitiveness, European governments must strike a balance between decarbonising the electricity mix and ensuring a supply of energy that is flexible enough (particularly from controllable sources) to guarantee stable electricity systems. The integration of an increasing proportion of intermittent renewable energy sources requires massive investment in transmission and storage infrastructure (stationary batteries). This expenditure, which places a long-term burden on grid costs, reduces the scope for support schemes (particularly public ones) to address competitiveness gaps. In Germany, the cost of the transition is estimated at between EUR 122 bn, according to the government (2.8% of GDP), and EUR 200 bn, according to the DIHK[18] (4.6% of GDP), by 2030–2035. If we take the ECB's assumption[19] that governments will cover around 17% of these investments, the annual public expenditure burden of the transition in Germany would be between 0.5 and 0.8 percentage points of GDP by 2030. However, this budgetary pressure comes at the same time as three other budgetary increases: rising social expenditure linked to an ageing population; the necessary increase to defence budgets to meet NATO's target of 3.5% of GDP by 2029; and the rising cost of debt-servicing[20].

Germany has already made significant progress in maximising its use of renewable energy, putting it at the head of the pack in Europe. The country generates 20% of Europe's renewable electricity (solar and wind) and accounts for 30% of installed storage capacity (BESS)[21], far ahead of other European countries (ranking third globally). However, despite this momentum, Germany's dependence on gas has not yet decreased. As a matter of fact, it is only partially offsetting the planned closure of coal-fired power stations and the phasing out of nuclear reactors. Furthermore, the intermittent nature of solar and wind power could prolong this dependence in the short and medium term. In order to ensure that the German electricity system is flexible, new investments in gas-fired power plants, supported by public subsidies, are planned[22].

Estimated impact of Germany's measures



Notes:
The data for electricity-intensive industries are from Eurostat. Annual electricity consumption ranges from 70 to 150 GWh. Case 1: Electricity price charged to an industry benefiting from the existing indirect carbon cost compensation (ICC) mechanism and complementary support schemes. Case 2: Price charged to industries benefiting from the new Industriestrompreis measures under the European CISAF, combined with complementary support schemes.

CHART 9 SOURCE: EUROSTAT, BDEW, IEA, NDRC, BNP PARIBAS CALCULATION

16 The *Industriestrompreis* is estimated at around EUR 1.3 bn per year, the subsidy for network charges is projected to amount to EUR 6.5 bn in 2026, the abolition of the gas surcharge around EUR 3.4 bn, and the reduction in the electricity tax nearly EUR 3 bn per year. Furthermore, the ICC had cost EUR 2.3 bn in 2024 for costs incurred in 2023.
17 Jean-Luc Proutat, European Union: the carbon tax at the border in six questions, 6 October 2025.
18 German Chamber of Commerce and Industry, "Frontier economics, DIHK, 2025, New pathways for the energy transition ('Plan B')".
19 ECB, 2025, *Investing in Europe's green future. Green investment needs, outlook and obstacles to funding the gap, Occasional Paper Series*, No. 367.
20 Interest expenditure is expected to rise from 1.4% to 1.7% of GDP by 2030, due to rising refinancing rates.
21 Energy Institute, 2026, *Statistical Review Home* / Statistical Review of World Energy
22 Calls for tender are currently under way to build 12 GW of additional electricity generation capacity, with 10 GW covering gas-fired power stations (equivalent to one-third of the existing gas-fired power stations) and 2 GW potentially allocated to batteries (accounting for 80% of existing large-capacity stationary batteries intended for the wholesale market).

SUBSIDIES ARE HELPING TO ADDRESS THE EMERGENCY CAUSED BY ENERGY CRISES WITHOUT RESTORING THE INTERNATIONAL COMPETITIVENESS OF ENERGY-INTENSIVE INDUSTRIES

In response to the impact of energy crises on industrial competitiveness, European governments are finding themselves having to strike a delicate balance between providing short-term support to industries exposed to increased international competition and continuing — if not, accelerating — energy transition policies which will result in higher costs for electricity-network users for several years to come.

Beyond direct economic support measures, which are difficult to sustain long term, four priority areas are emerging:

1/ Demonstrating flexibility in implementing European directives in order to factor in national specificities and the differing timeframes between energy crises (which can lead to irreversible industrial consequences) and reforms (which have a longer-term horizon). The relaxation of the European carbon tax mechanism[23] appears to be a step towards this.

2/ Continuing efforts to decarbonise the electricity mix, which are still the main vehicle for sustainably reducing electricity prices for European industries in the medium and long term.

3/ Optimising the use of electricity networks on the demand side, in particular through smart grids, a flagship element of the Commission's COM (2026) 600 reform presented last July[24].

4/ Coordinating European electricity networks in order to harness the complementarities between national systems.

Article completed on 19 October 2026

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23 In particular, the extension of the period for allocating emission allowances free of charge to sectors most exposed to international competition, and the reduction in the linear reduction factor.
24 EUR-Lex - 52026PC0600 - EN - EUR-Lex and EUR-Lex - 52026DC0595 - EN - EUR-Lex

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CHART OF THE WEEK

21 October 2026

FOLLOWING THE OIL SHOCK, EL NIÑO THREATENS TO HURT MACROECONOMIC RESILIENCE IN SUB-SAHARAN AFRICA FURTHER

Lucas Plé

Seven months after the start of the war in the Middle East, which has led to a sharp rise in oil prices, sub-Saharan Africa is holding up well overall. The deterioration in external accounts and the rise in inflation are more contained than in 2022, during the last oil shock. However, this resilience is fragile and is eroding as the conflict drags on. Furthermore, an exceptional El Niño event could significantly worsen the macroeconomic environment in 2027[1].

Sub-Saharan Africa is highly vulnerable to climate shocks via the agricultural commodities channel

	Agriculture (% GDP), 2025	Food & non-alcoholic beverages (% of consumption basket)	Food imports (% GDP, 2025)
South Africa	2.8	19.9	1.7
Angola	25.2	68.5	1.8
Côte d'Ivoire	16.8	31.9	4.1
Ghana	21.3	42.7	3.2
Kenya	23.2	32.9	2.6
Nigeria	23.0	40.0	1.9
Senegal	17.1	45.5	6.4
Tanzania	22.9	28.2	1.5
Uganda	26.1	27.1	3.0
Zambia	4.1	53.5	3.9
Subsaharan Africa (1)	18.3	39.0	3.0
Latin America (2)	6,6	22.0	1.6
Asia excl. China (3)	11.1	34.0	3.8
Central Europe (4)	2.5	25.7	4.5

(1) Average of the 10 countries listed above
(2) Argentina, Brazil, Colombia, Mexico, Peru (average)
(3) India, Indonesia, Malaysia, Philippines, Thailand, Vietnam (average)
(4) Bulgaria, Hungary, Poland, Romania, Slovakia (average)

Source: World Bank, National statistics, ITC, IMF

Reading note: the level of risk exposure ranges from green (least exposed) to red (most exposed)

Economic growth remains robust

For countries with available data, GDP growth held up well in the first half of 2026[2]. In mid-October, the IMF revised its regional forecast for the full year upwards to 4.5% (+0.2 percentage points compared with April), in line with the performance for 2025.

1 El Niño 2026–2027: multiple pressures on prices and supplies
2 1.4% year-on-year (y/y) in South Africa, 4.2% in Nigeria, 5.1% in Kenya, 7% in Angola, 7.3% in Ghana.

A mitigated shock on terms of trade

High prices for export commodities (gold, copper, platinum) have helped to cushion the impact on terms of trade and the external accounts of hydrocarbon-importing countries. For the 10 countries in our sample (see *heatmap*), the depreciation of their currencies against the US dollar since last February has been moderate overall (2.3% on average).

Inflation has started to rise again, but it is still being contained so far

In the ten countries in our sample, although inflation is rising again, it is lower year-on-year for the first eight months of 2026 than it was for the same period in 2022. This is due to:

1. Monetary policies that were still restrictive before the conflict started;
2. Fuel subsidies;
3. Macroeconomic reforms implemented in recent years (a return to orthodox monetary policy in Nigeria, and efforts towards fiscal consolidation in many countries);
4. Moderate currency depreciation since February.

As a result, few central banks have tightened their monetary policy since February (South Africa, Uganda and Tanzania).

However, this resilience is still fragile…

On the one hand, governments that have chosen to cap fuel price rises are seeing their public finances deteriorate. In Senegal, energy subsidies will go above 3% of GDP in 2026, which is unsustainable. On the other hand, the region's external accounts are exposed to volatile global commodity prices and tighter international financing conditions.

… and the macroeconomic environment could quickly worsen in 2027, due to an exceptional El Niño event

The region is particularly vulnerable to climate shocks via the agricultural commodities channel. Given agriculture's high share in its GDP, sub-Saharan Africa is more exposed to downside risks to growth than Latin America, Asia or Central Europe (1st column of the *heatmap*). It is also more exposed than other regions of the world to the inflationary effect of rising food prices, given their higher share in the consumer basket (2nd column). Finally, even though its dependence on food imports is lower than in Asia and Europe (3rd column), the region is highly vulnerable to rising international food commodity prices due to its fragile external accounts. For several countries in our sample, foreign exchange reserves cover less than four months' worth of imports of goods and services (Uganda, Tanzania, Ghana and Zambia), leaving little room for manoeuvre for absorbing a further external shock.

In addition to shocks via the agricultural commodities channel, other localised risks must be considered. In Southern Africa, El Niño is expected to intensify droughts and threaten electricity generation as a result, particularly in Zambia (where hydropower accounts for nearly 80% of domestic electricity generation). In East Africa, the increased flooding that El Niño is expected to cause will threaten infrastructure – particularly logistics infrastructure – which is already less efficient than the global average[3]. These two sources of vulnerability could also increase pressure on growth, prices and the external accounts.

In conclusion, if oil prices remain high and El Niño is exceptionally severe, the region will struggle to absorb this double shock in 2027. Despite their status as net exporters of hydrocarbons, Nigeria and Angola are also exposed to a deterioration in the macroeconomic environment in 2027. Only South Africa appears to be better positioned to absorb the shock.

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3 See the World Bank's Logistics Performance Index.

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CHART OF THE WEEK

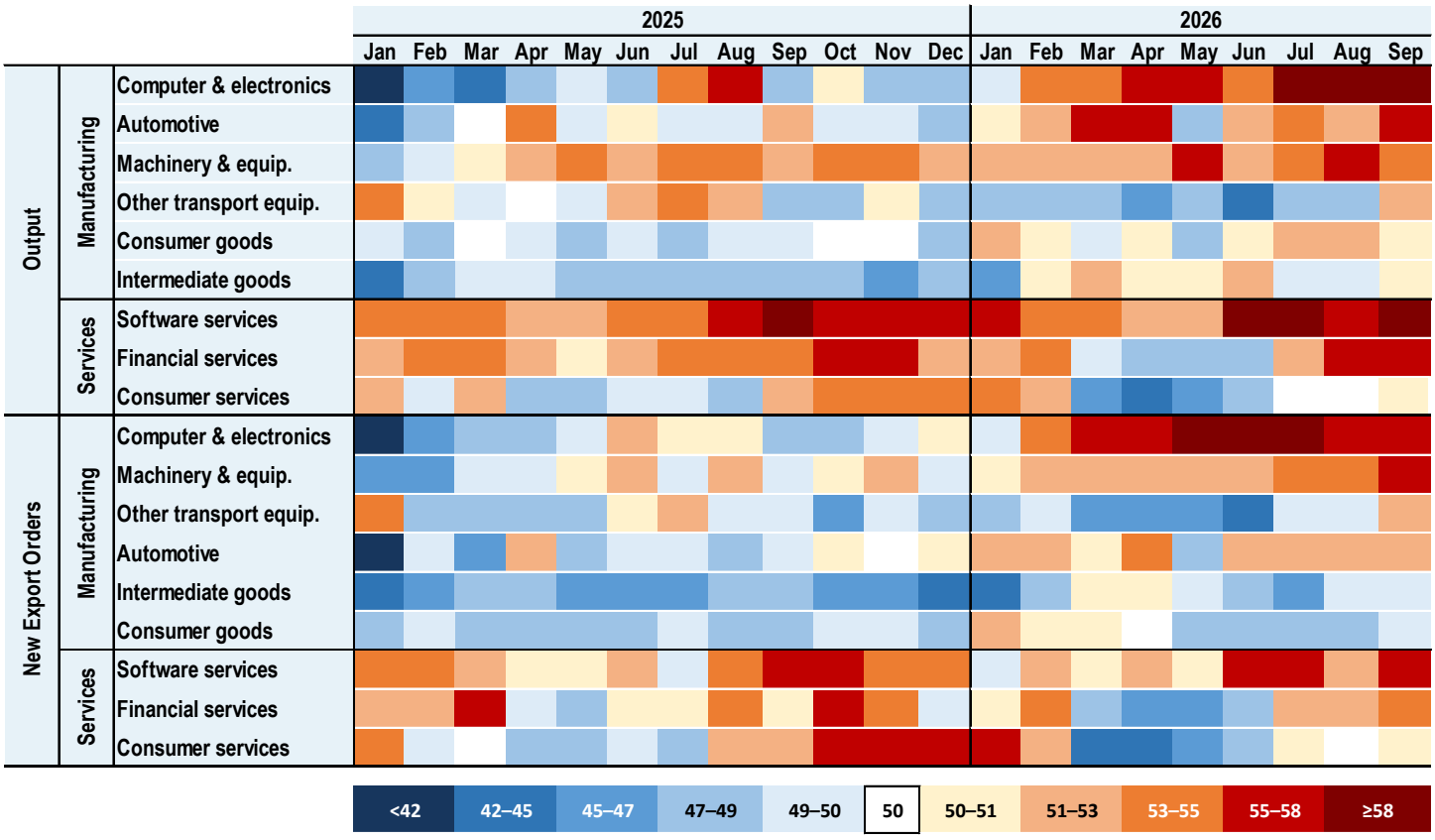
14 October 2026

EUROZONE: IMPROVING BUSINESS SENTIMENT, DRIVEN BY TECH, IS SPREADING TO OTHER SECTORS

Stéphane Colliac & Tarik Rharrab

The September PMI surveys confirm that growth in the Eurozone is getting stronger, boosted in particular by new export orders, which are still rising. Sectors that were already performing well – technology and capital goods (including for defence) – are continuing to grow, while those that had been struggling until now – aeronautics, consumer goods and financial services – are seeing their production indices recover. This strong performance is particularly noteworthy, given that it has not yet been undermined by higher inflation.

Eurozone sectoral PMI indices: production and new export orders are strengthening across more sectors



SOURCE: S&P GLOBAL, BNP PARIBAS

The heatmap shows the PMI index readings: a reading above 50 indicates expansion, while a reading below 50 signals contraction compared to the previous month. For each indicator, sectors are ranked in descending order based on their September 2026 reading.

Shades of red represent values above 50, while shades of blue represent values below 50: the intensity of the colour increases the further away they are from this threshold.

Production growth spreads to more sectors

The PMI surveys on business sentiment confirm that business activity in the Eurozone is expanding at a faster pace and spreading to more sectors. Household-consumption-related sectors (goods and services), which were adversely affected in the spring by the outbreak of the conflict in the Middle East, do not appear to be negatively impacted by the rising inflation observed since August. The aeronautics sector, where production has mainly been limited by supply constraints, is also showing signs of improvement.

These trends, although still moderate, come alongside a drive to upgrade equipment, fuelled by investment in digital technology, electrification (which is supporting the automotive sector) and defence. The momentum in technology goods and services further strengthened in September. The production index for computer and electronics hit a five-year high, while the software services production index stayed close to its July peak. Financial services are also enjoying a significant improvement, reflecting the healthy lending momentum despite interest rates starting to rise (see our analysis).

Growth driven by exports

Exports drove growth in the first half of 2026, both across the Eurozone as a whole (see our analysis) and among its key members (notably Germany). This momentum is also increasing, as indicated by the 'new export orders' component of the various PMI indices. As was the case with production, there has been a particularly noteworthy increase for capital goods (technology and machinery) and related services, particularly digital services. This trend is playing out more broadly, as, in September, new export orders rose across all sub-sectors, with the exception of intermediate goods and consumer goods, where contraction recently eased. There has been a significant improvement in the transport sector, particularly in the aeronautics industry, which has major markets in Asia. Recent data on French exports show that aeronautics exports to this region are rising once again.

The convergence between rising production and increasing export-order backlogs shows that Eurozone growth is based on an increasingly solid foundation. Inflationary pressures are not holding it back for the time being.

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With the help of Ece Usta (intern).

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Paris, 8 October 2026

EcoFlash

France: double-digit growth in business creations, a slowdown in the rise in bankruptcies and stable non-performing loans ratio

Business creations rose by 12% y/y over the first eight months of 2026[1]. This is significantly higher than the 5.3% y/y growth recorded in 2025. This increase was driven by sectors linked to information and communication technologies.

Meanwhile, business bankruptcies rose by 5.3% y/y between January and July, according to data from the Banque de France (compared with the 3.6% y/y increase for the whole of 2025). The rise was more pronounced in the 1st quarter (+8% y/y) before slowing down. This slowdown could persist, as, according to Altares, payment delays have fallen to an average of 12.3 days in the second quarter of 2026, compared with 14.1 days a year earlier (and 13.1 days for the European average).

Rising bankruptcies are more heavily affecting the services sector, which is also experiencing slightly stronger growth in business creations. This correlation is particularly noticeable in the retail sector, as business creations have risen by 13% since the start of 2026, while bankruptcies are up by 3%. In construction and manufacturing, business bankruptcies have been falling since the second quarter of 2026.

The average ratio of non-performing corporate loans has remained stable at a moderately high level for the past year (4.0% of total loans and advances in Q2 2026). In construction, where activity is more cyclical than in other sectors, the ratio of non-performing loans has reached its highest level since 2019, standing at 9.5%.

The proportion of loans that have deteriorated but are not yet non-performing ("Stage 2" according to IFRS 9 terminology) is stable, standing at 15.4% q/q, and remains below its all-time high (16.1%). This indicator, which helps to anticipate trends in non-performing loans, is relatively encouraging.

Despite a significant increase since 2021, the economic weight of bankruptcies remains, on average, below its peak in Q1 2025 (0.53 compared with 0.61, respectively). This indicator generally allows bankruptcies to be weighted based on the size of the businesses. However, the economic weight of bankrupted small businesses is at a historically high level (2.11).

Take a look at our EcoCharts on trends in business creations and bankruptcies in France and the associated risks. It will be updated on a quarterly basis.

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[1] For more details, see Business creations and bankruptcies in France: double-digit growth in business creations, lower growth in bankruptcies, and stable non-performing loans, 8 October 2026.

ECOPERSPECTIVES

October 2026

Advanced Economies:
Resilience to shock after shock

By Advanced Economies Team

ECONOMIC RESEARCH by BNP PARIBAS

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The bank for a changing world

Advanced economies: Resilience to shock after shock

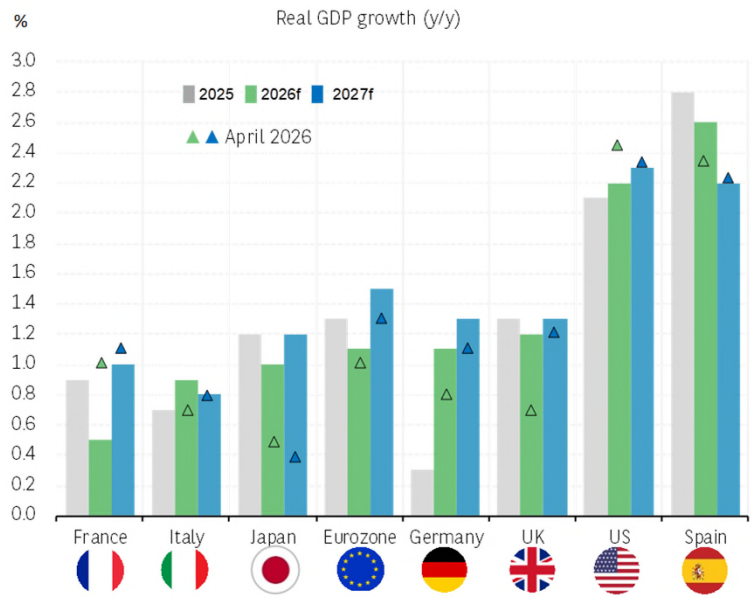
- The global economy is in the midst of a growth cycle. As a result, GDP growth is more resilient to shocks than initially anticipated.
- The figures for the second quarter bear this out, despite the sharp rise in oil prices, whose negative impact on growth is offset by a series of reflationary forces.
- The driving force behind the current growth cycle is clear: artificial intelligence (AI).
- The world's major economies are currently engaged in a broader push to expand their capital goods investment.
- While European and US households are experiencing more or less the same energy price shock, inflation and household consumption remain higher in the US.
- Higher and above-target inflation calls for monetary tightening.
- Inflation is exceeding the target set by three of the four central banks examined in this publication (the US, the UK, the Eurozone). Inflation is currently expected to peak in Q4 2026 or Q1 2027, but there is a significant risk that energy inflation will spread further to other components of inflation in the future.
- Inflation can also be a sign of (too much) economic strength (in the US).
- Monetary policies also have to offset the inflationary effects of fiscal policy (particularly in Japan).
- The outbreak of the conflict in Iran acted as a catalyst: the ensuing rise in energy prices contributes to the recent increase in long-term rates (which had been trending downwards at the start of the year) to levels close to those of 2002.
- The other issue is the high level of fiscal deficits (too high for a period of growth), reflecting different fiscal trajectories. In the US, the UK, France and Germany the public debt-to-GDP ratio is increasing, while it has stabilized in Italy and decreased in Spain and Japan.
- The rise in long-term interest rates will weigh on public finances. The fiscal arithmetic is simpler today than it will be in 2030. By 2030, the effective rate will have risen and caught up with GDP growth.

For more information, please refer to our publication:

EcoPerspectives – Advanced Economies | 3rd quarter of 2026, as of September 24, 2026– Economic Research – BNP Paribas

Advanced Economies: Resilience to shock after shock (forecasts as of September 30)

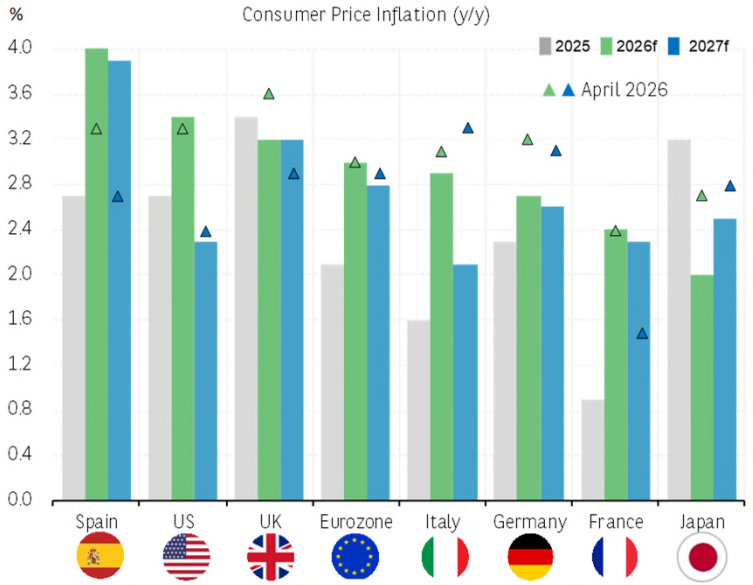
GDP growth is expected to strengthen in 2027



Countries sorted in ascending order in 2026

Source: LSEG, BNP Paribas forecasts

Inflation is expected to remain above central bank targets in the coming months



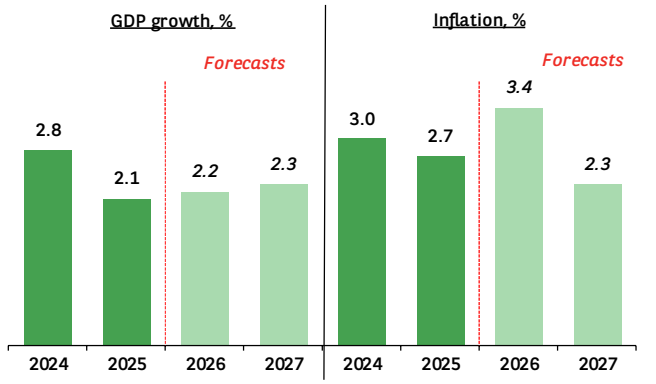
Countries sorted in descending order in 2026

Source: LSEG, BNP Paribas forecasts

United States: Expansion intact through successive shocks

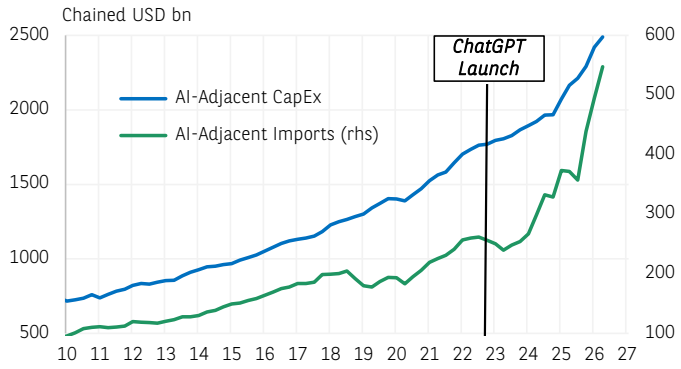
Last update: 02 October 2026

Growth holds shock after shock



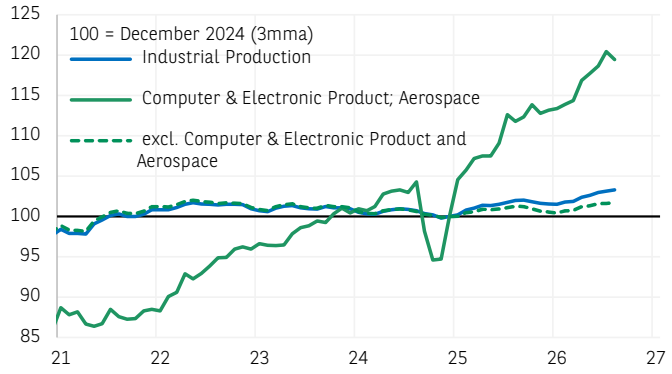
Source: BNP Paribas Global Markets

AI-adjacent CapEx powers growth… and imports



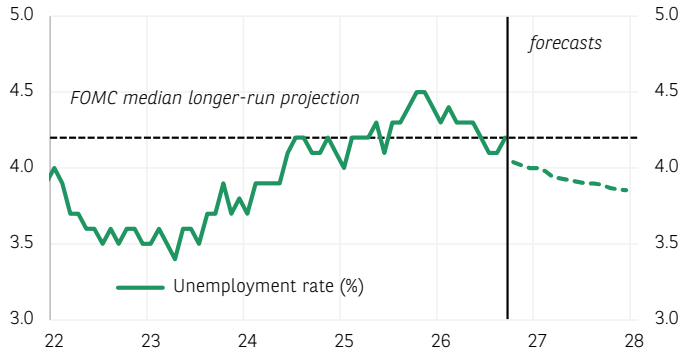
Source: BEA, BNP Paribas

A narrowly-led manufacturing recovery



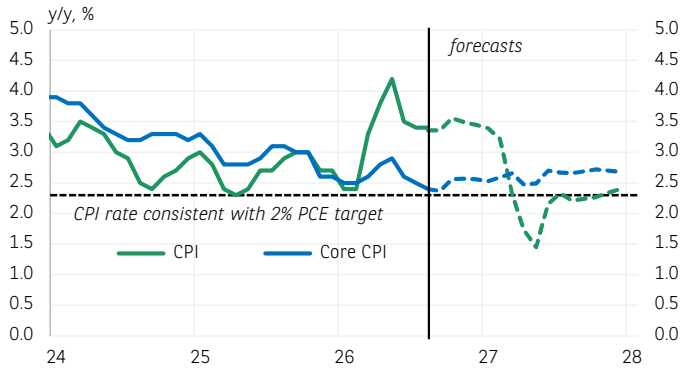
Source: Federal Reserve, BNP Paribas

Higher demand and lower supply push unemployment down



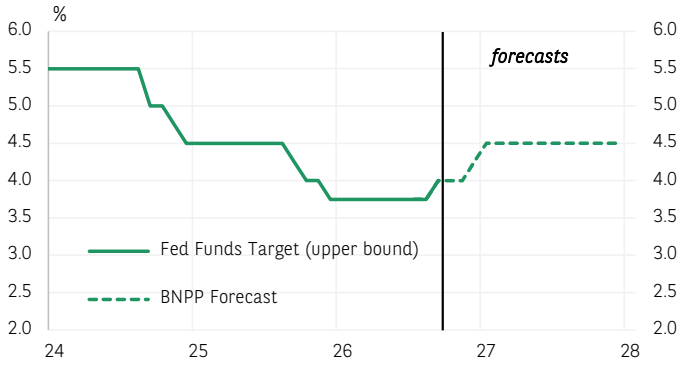
Source: BLS, Federal Reserve, BNP Paribas

Core inflation remains sticky and above target



Source: Freddie Mac, Macrobond, BNP Paribas

2025 rate cuts set to be unwound as the labour/prices balance shifts

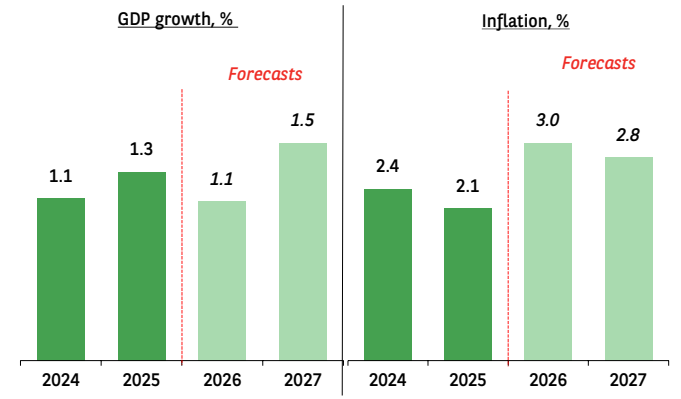


Source: Federal Reserve, BNP Paribas

Eurozone: Growth on track despite the turbulence

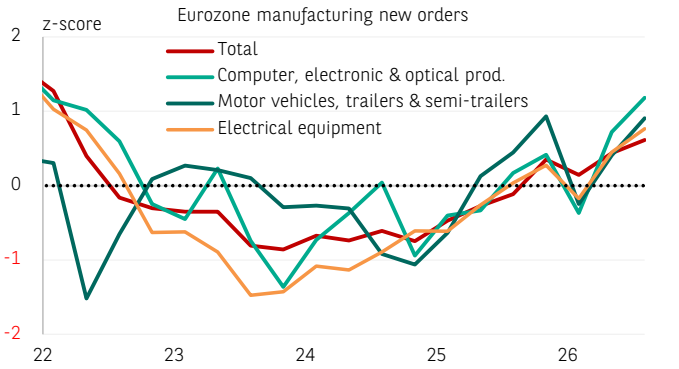
Last update: 01 October 2026

Beyond the shocks, a resilient momentum



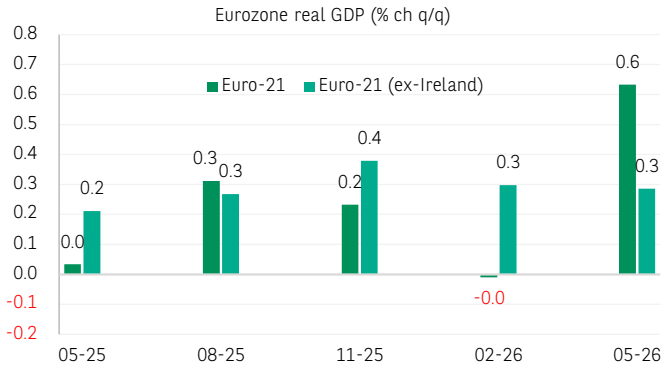
Source: BNP Paribas Global Markets

A broader recovery in industrial activity is on the horizon



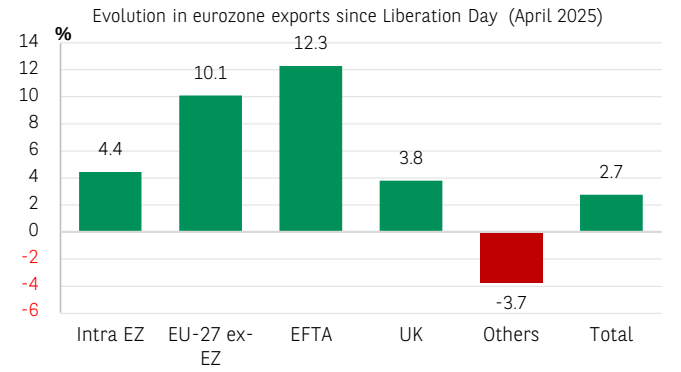
Source: European Commission, BNP Paribas

Looking beyond the Irish data: growth is holding up



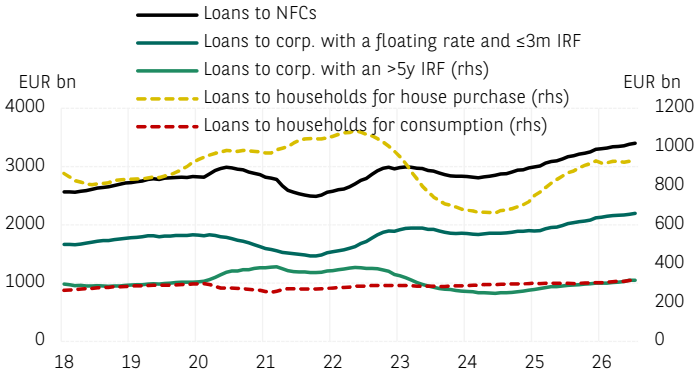
Source: Eurostat, BNP Paribas

Exports to Europe help offset weaknesses in other markets



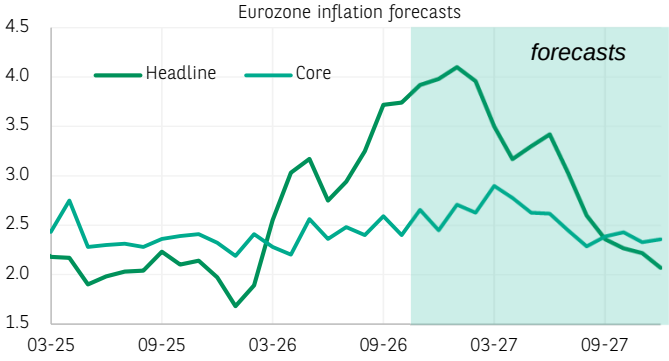
Source: Eurostat, BNP Paribas

New loans remain favorable despite interest rates' increase (cumulated over 12 months)



Source: ECB, BNP Paribas

Peak in inflation expected at the beginning of 2027

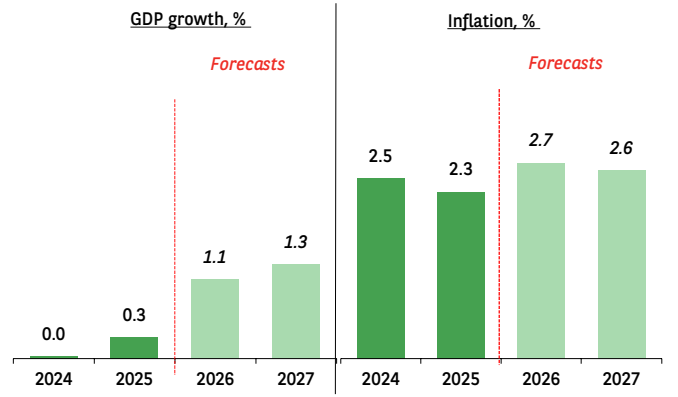


Source: BNP Paribas

Germany: An export-driven recovery

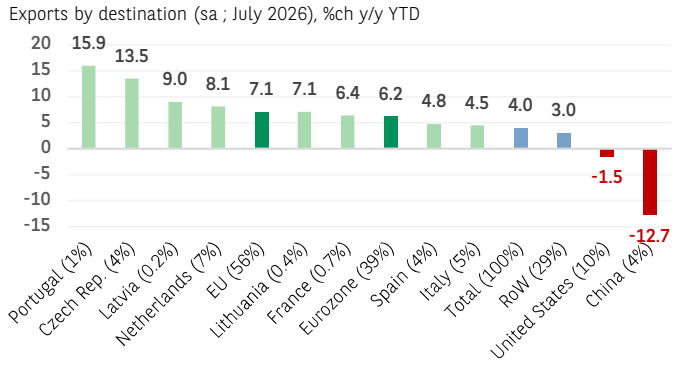
Last update: 01 October 2026

German growth should strengthen in 2026 and 2027, but inflation too



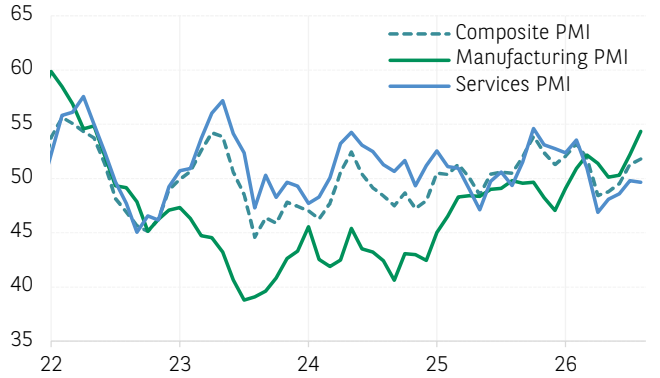
Source: BNP Paribas Global Markets

The intra-European reorientation of German exports is underway



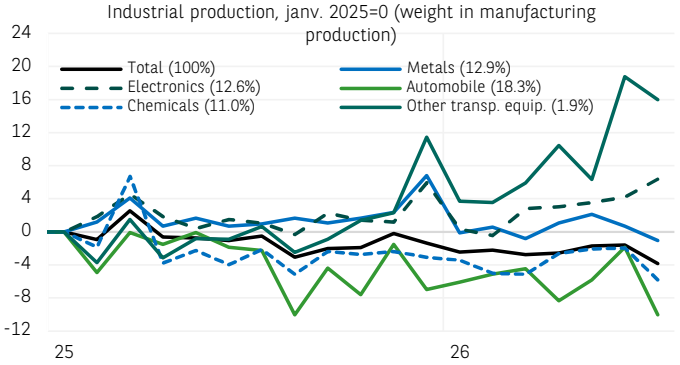
Source: Bundesbank, Macrobond, BNP Paribas

From a sectoral perspective, industry's restructuring has been leading the recovery …



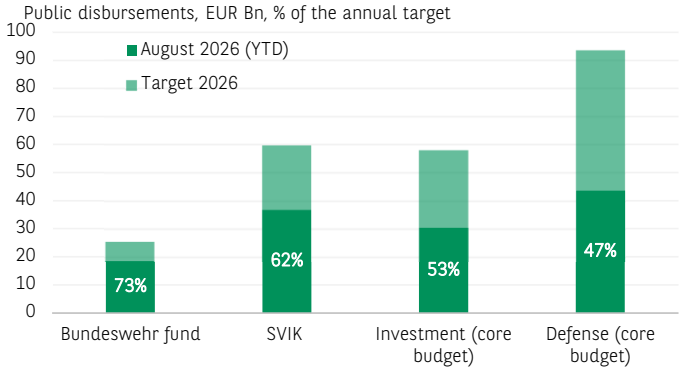
Source: S&P Global, Hamburg Commercial Bank, Macrobond, BNP Paribas

… driven by AI investments and intra-European momentum



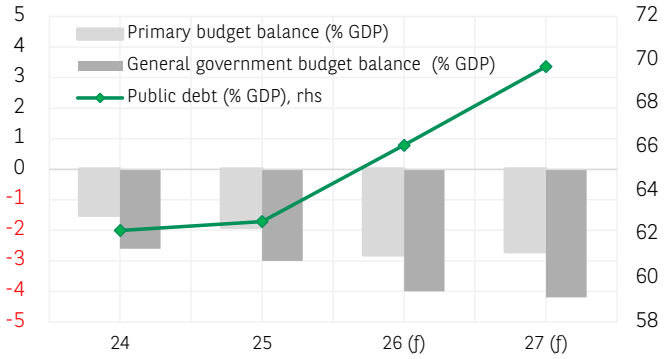
Source: Macrobond, BNP Paribas

The increase in public expenditure reflects the implementation of investment plans



Source: Bundesfinanzministerium, BNP Paribas

Fiscal stimulus continues

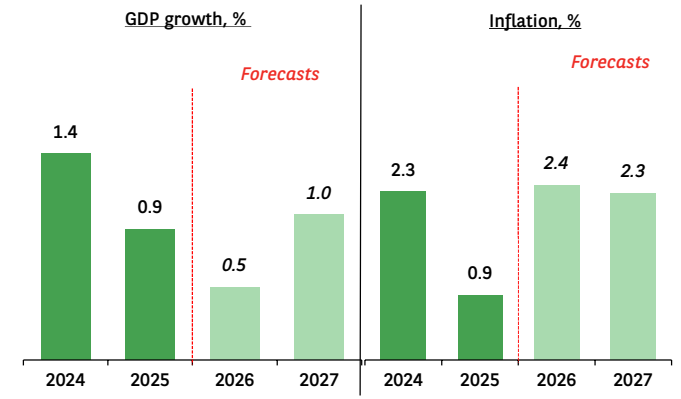


Source: Destatis, BNPP calculations

France: Growth is bending, but not breaking

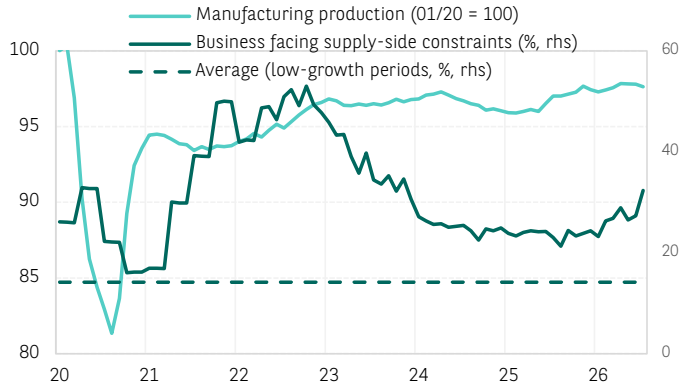
Last update: 01 October 2026

French growth should pick up



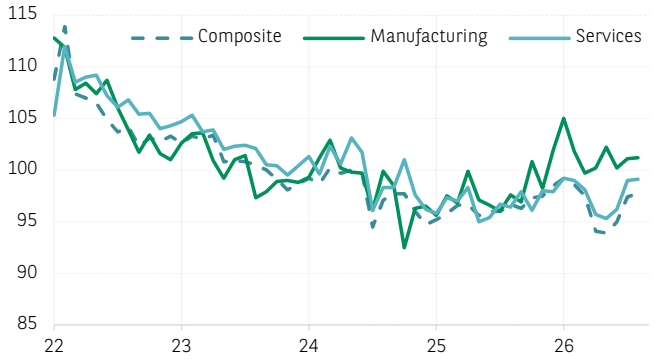
Source: BNP Paribas Global Markets

Renewed supply constraints have interrupted the industrial recovery



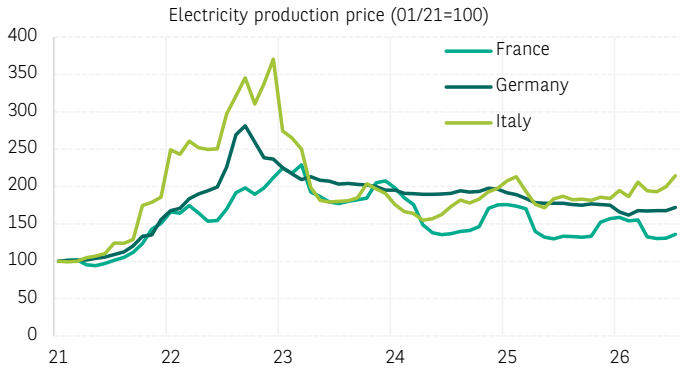
Source: Insee, BNP Paribas

The business climate has well absorbed the rise in inflation



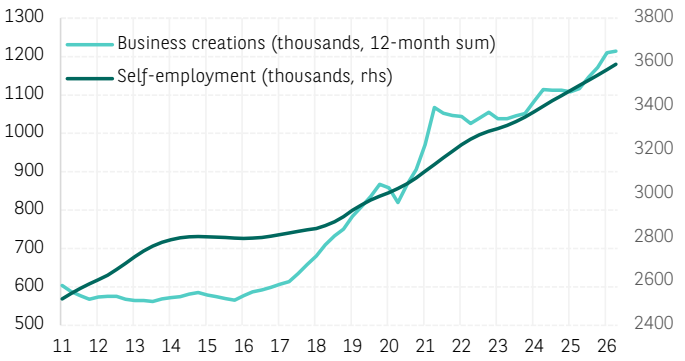
Source: Insee, BNP Paribas

France produces more abundant and cheaper electricity



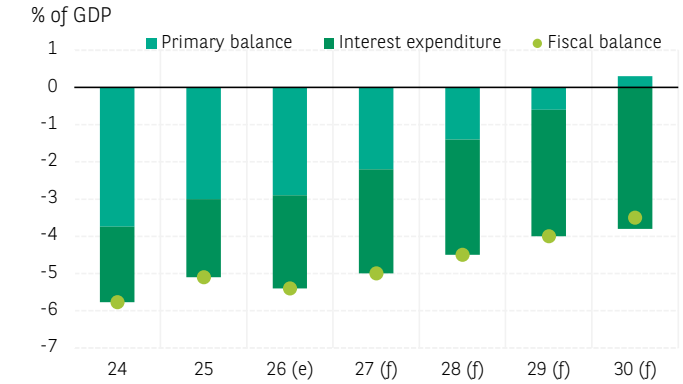
Source: Macrobond, BNP Paribas

Business creations and self-employment are developing



Source: Insee, BNP Paribas

The rise in interest payments will put pressure on the fiscal deficit

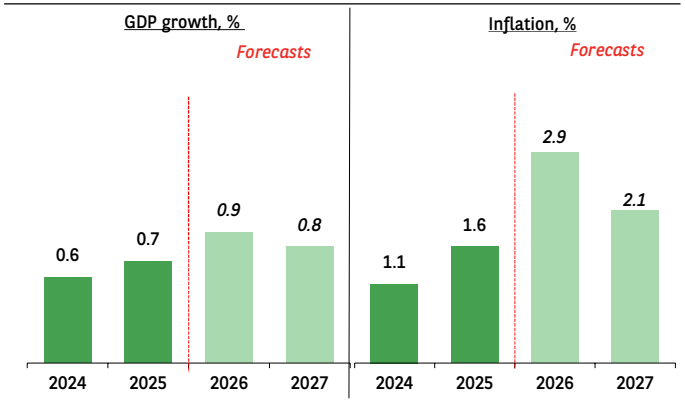


Source: Macrobond, BNP Paribas Forecasts

Italy: European funds bolster growth, while debt constraints persist

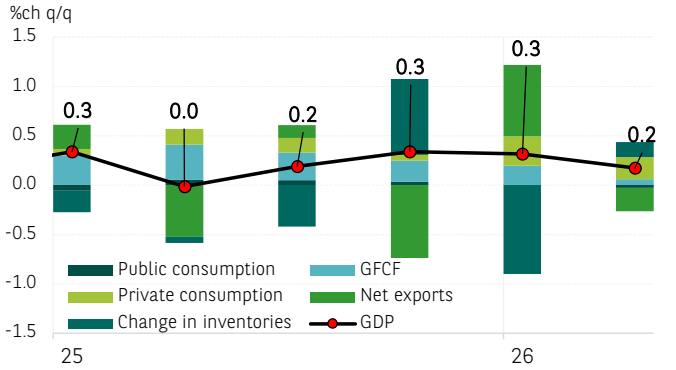
Last update: 01 October 2026

Growth is expected to remain stable and inflation to rise in 2026



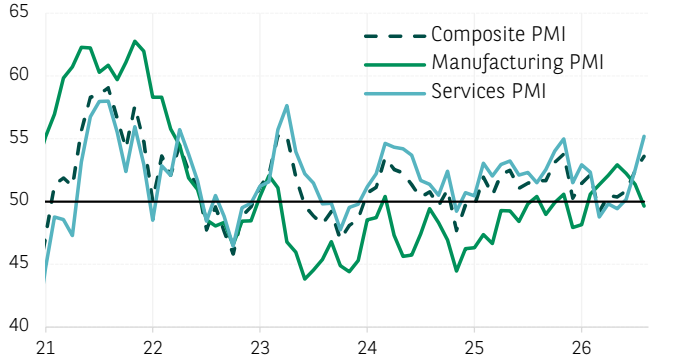
Source: BNP Paribas Global Markets

Private consumption and NRRP spending drove GDP growth



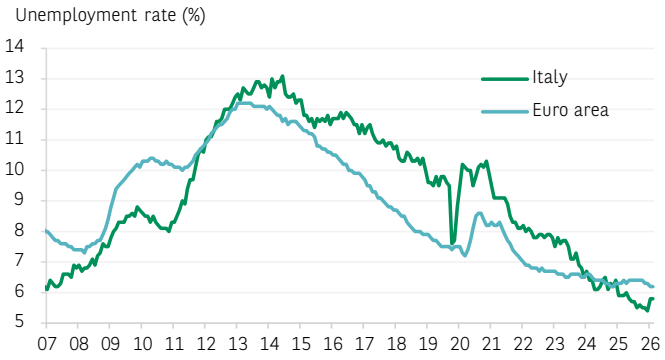
Source: Eurostat, Macrobond, BNP Paribas

The manufacturing sector lags behind



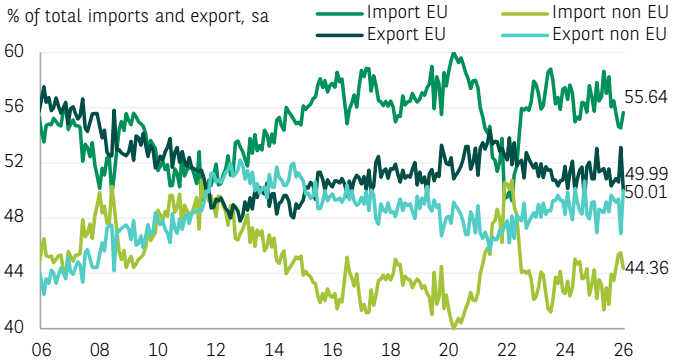
Source: S&P Global, Macrobond, BNP Paribas

The labour market is tight and demographic prospects add further constraint



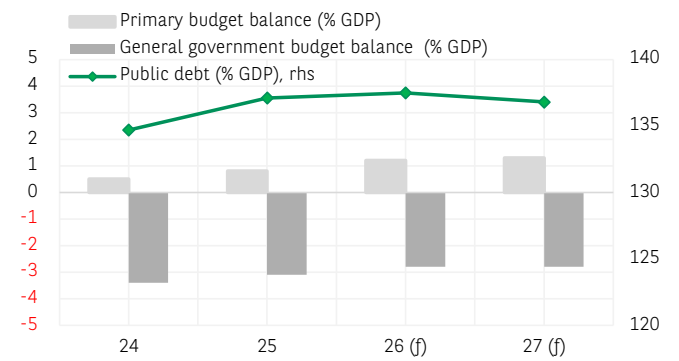
Source: Eurostat, Macrobond, BNP Paribas

Italian foreign trade is holding up well



Source: Istat, BNL Economic Research

A lower fiscal deficit, but limited room for manoeuvre

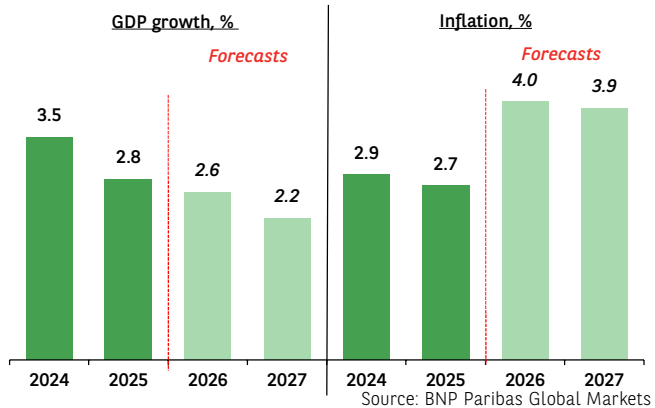


Source: Eurostat, BNPP calculations and forecasts

Spain: Robust growth

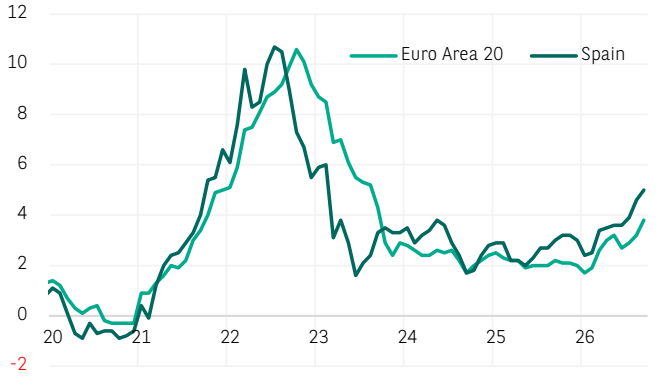
Last update: 05 October 2026

Growth is expected to remain stable at a high level



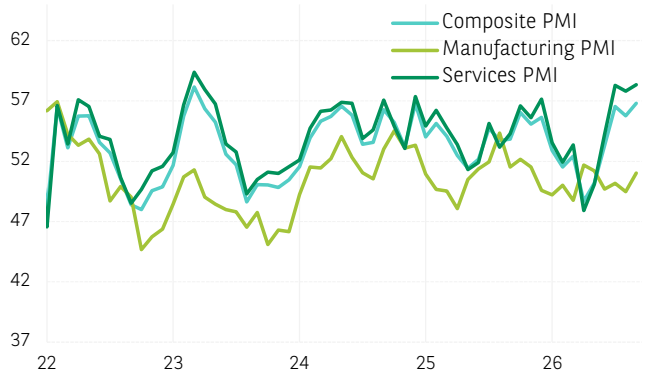
Source: BNP Paribas Global Markets

Spain inflation is above Eurozone average



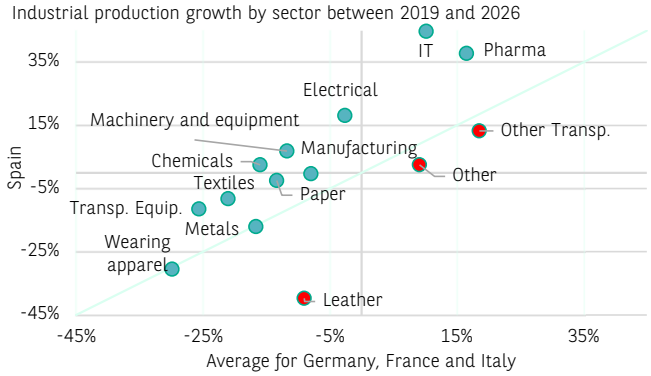
Source: Eurostat, Macrobond, BNP Paribas

Despite geopolitical uncertainty, the business climate remains resilient



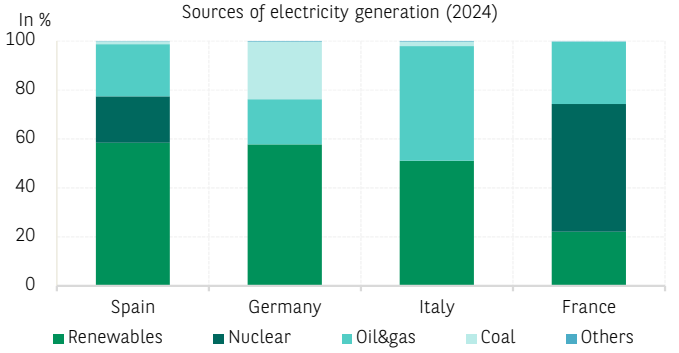
Source: S&P Global, Macrobond, BNP Paribas

Industry is more competitive than elsewhere in Europe...



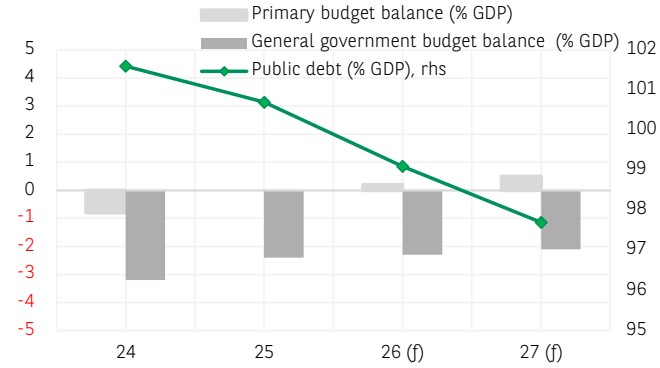
Source: Eurostat, BNP Paribas

... thanks to a sustainable energy advantage



Source: IEA, BNP Paribas

The fiscal trajectory remains favorable

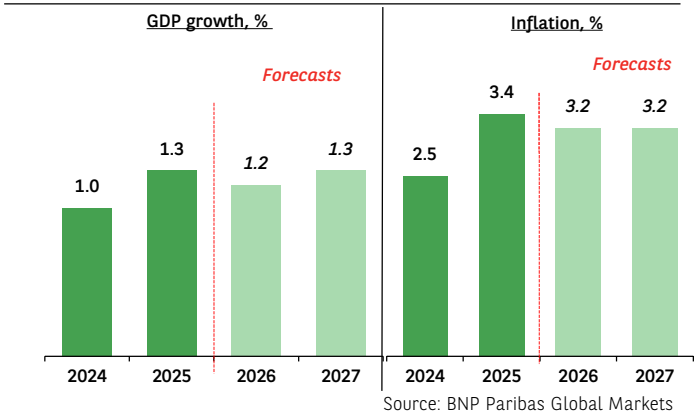


Source: Eurostat, BNPP calculations

United Kingdom: Growth remains resilient in front of shocks

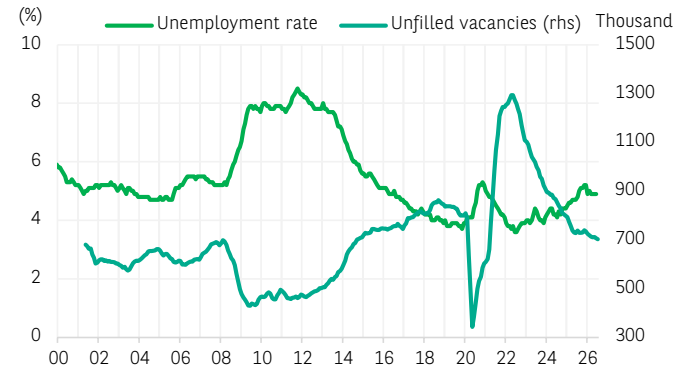
Last update: 01 October 2026

UK growth remains steady, despite a series of shocks



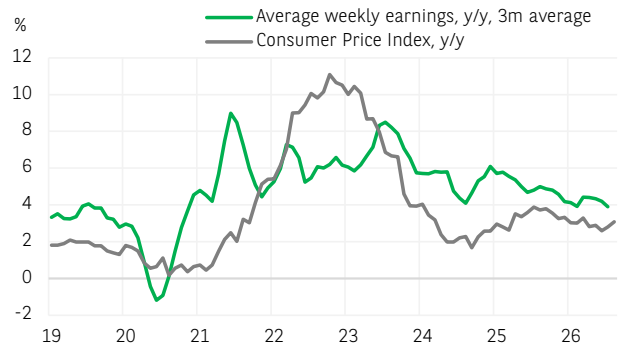
Source: BNP Paribas Global Markets

UK labor market: fragile stability amidst weakening demand



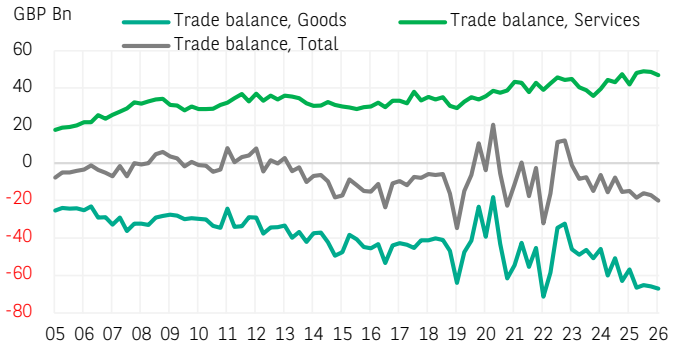
Source: ONS, BNP Paribas

Inflationary pressures are softening on the labor market



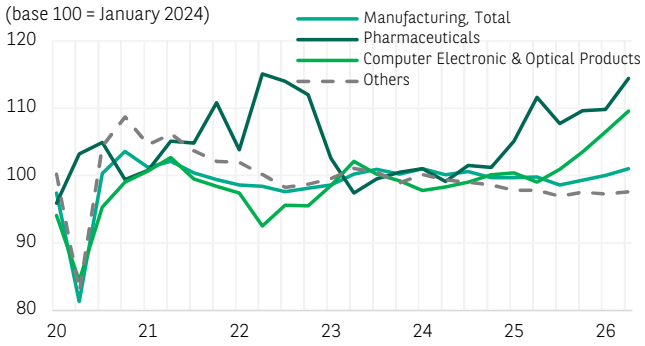
Source: ONS, BNP Paribas

The balance of goods and services remains structurally in deficit



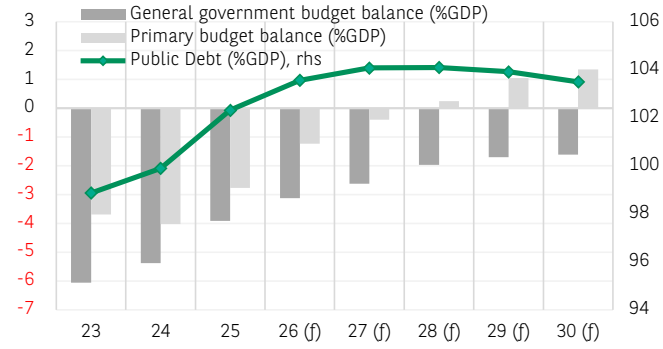
Source: ONS, BNP Paribas

Manufacturing output rebounds, driven by the acceleration of the AI cycle



Source: ONS, BNP Paribas

Room for manoeuvre to continue fiscal consolidation is limited

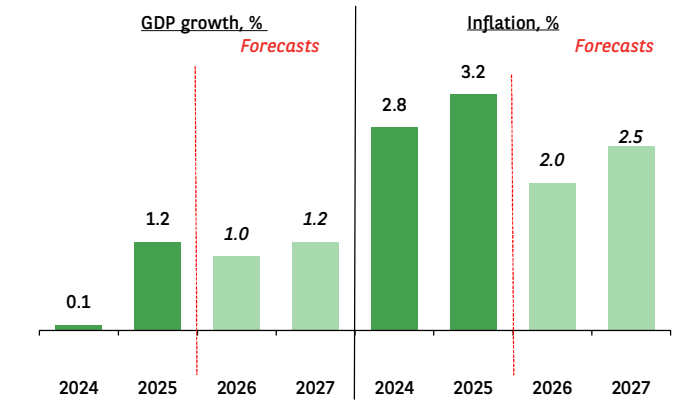


Source: IMF, Macrobond, BNP Paribas

Japan: Growth under strains

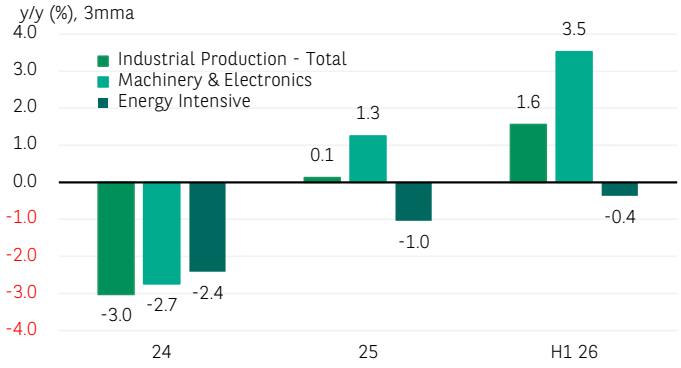
Last update: 01 October 2026

Growth above potential, inflation above target



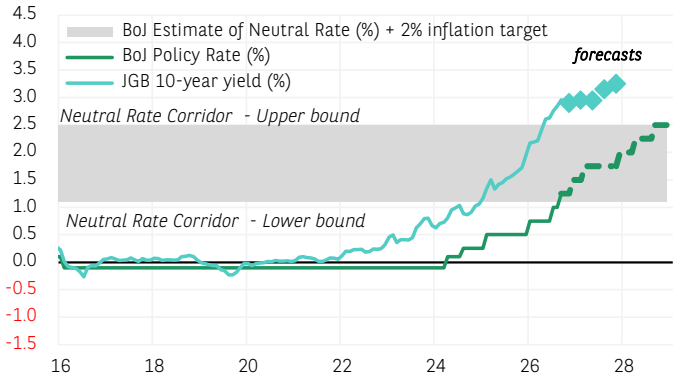
Source: BNP Paribas Global Markets

Machinery & Electronics lead the manufacturing recovery



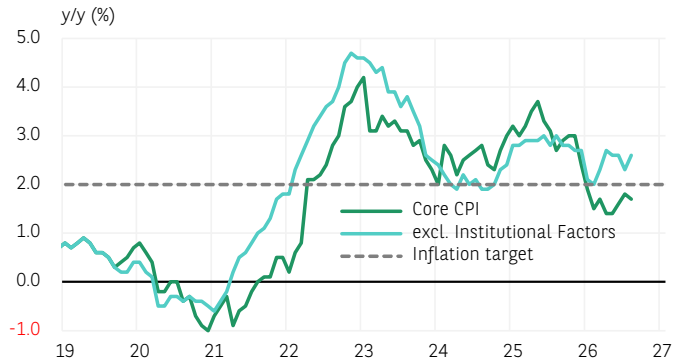
Source: Japanese METI, BNP Paribas

The bond market is tightening faster than the BoJ



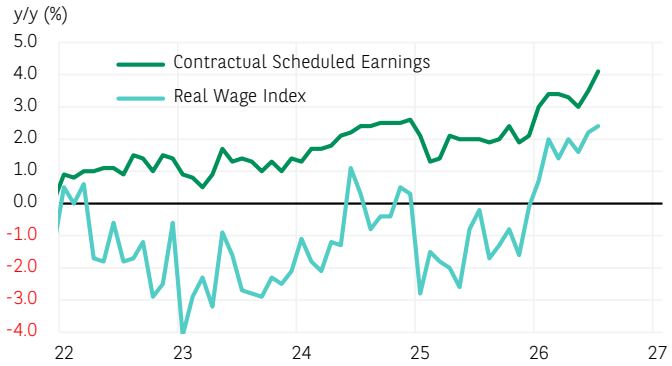
Source: Macrobond, Bank of Japan, BNP Paribas

Energy subsidies mask Japan's underlying price pressures



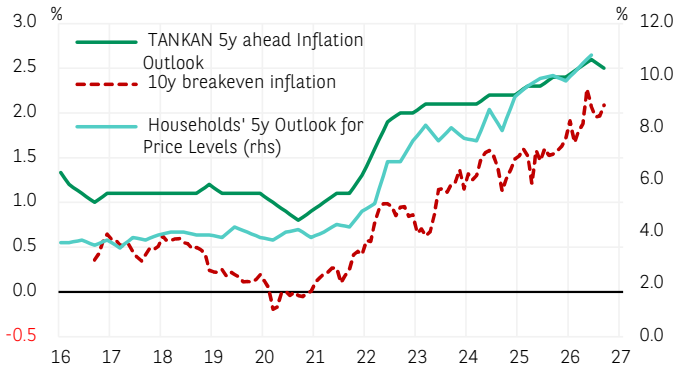
Source: Bank of Japan, Statistics Bureau of Japan, BNP Paribas

Nominal wage growth firmly anchored above 3%



Source: Japanese Ministry of Labour, BNP Paribas

Inflation expectations confirm the end of deflation



Source: Bank of Japan, Macrobond, BNP Paribas

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Paris, 1st October 2026

EcoFlash

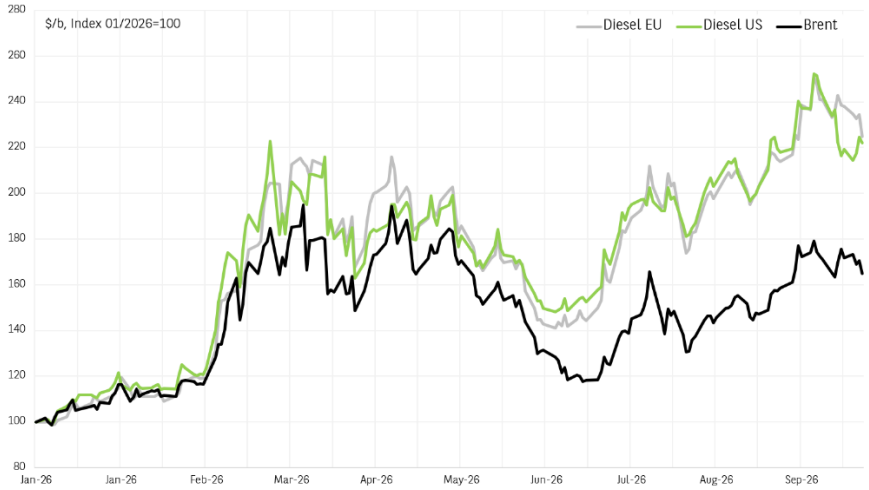
Threats to European diesel imports: risk of shortages ruled out for the time being, but increased risk of price rises

In Europe, the possibility of a US ban on diesel exports has heightened concerns about price trends for this widely used fuel[1], which has already risen significantly since the outbreak of the conflict in Iran. It has become a major political issue on both sides of the Atlantic in the run-up to decisive elections.

A particularly tight diesel market due to a shortage of buffer stocks

Following the outbreak of the conflict, diesel prices did indeed see some of the sharpest rises on the oil market due to particularly tight market conditions. Since the end of February, whilst the price of a barrel of crude has risen by 46%, diesel prices have soared by 100% in Europe and by 76% in the United States.

Rising pressure on the diesel market



Source: Bloomberg, BNP Paribas

The factors alleviating pressure on the refined products market, and more specifically the diesel market, were more limited than in the case of crude oil. Shipments passing through the Strait of Hormuz (around 17% of maritime diesel trade prior to the conflict) have fallen by around 75%. Added to this is the halt in Russian exports due to war damage, which is depriving the diesel market of around 12% of its maritime exports. Furthermore, unlike with crude oil, China has not acted as a stabilising force in the diesel market. On the contrary, the energy crisis has led to a halt in Chinese exports of refined products (including diesel) to the rest of Asia from April onwards. The resumption of Chinese exports over the last two months remains fragile, given, in particular, that diesel stocks are at their lowest level in 15 months.

The United States has eased these tensions in the diesel market by increasing its exports of refined products (up 25% on average in the first half of 2026 compared with the average over the last five years). This rise in exports has required high refinery utilisation rate (close to maximum capacity) and, to a lesser extent, a reduction in stocks (-11% compared with the average over the last five years as at mid-September for middle distillates[2]). All these factors have contributed to tightening the US domestic market and pushed retail diesel prices to record levels. Road diesel prices (US average) have risen by 68% since the end of February and by 74% year-on-year.

A structurally high level of vulnerability in Europe…

Against this market backdrop, characterised by mounting tensions and very limited room for manoeuvre, Europe would be particularly hard hit by a reduction in – or even a complete halt to – US exports. According to Eurostat, imports accounted for 46% of European demand for diesel in the first half of 2026, with 40% of these imports coming from the United States. Europe, which

[1] Diesel accounts for 17% of the primary energy mix in the EU and 7.3% in the United States.
[2] A category of refined petroleum products comprising mainly diesel and aviation fuel.

has lost a great deal of production capacity in recent years, is operating its refineries at near-maximum capacity. Its room for manoeuvre is therefore limited.

… But the risk of a shortage has been ruled out in the short term

The risk of a shortage, however, appears limited in the short term. The situation regarding European stocks is not comfortable, but it is not alarming. Commercial diesel stocks in the ARA region[3] are currently at historically low levels (around 12 million barrels), 23% below their level at the end of September 2025. As for emergency stocks (EU Emergency Stocks), these are, according to the European Commission, at a sufficient level. Eurostat estimates this figure at 270 million barrels in June 2026 (stable from a year earlier), representing approximately 60 days' worth of EU consumption. Europe imports around 0.9 mb/d of diesel from the United States, and emergency stocks would therefore cover around 60 days' consumption at 4.5 mb/d.

The rise in prices could be significant

Whatever the outcome of the conflict, diesel prices are likely to continue to rise in the short term. According to our base-case scenario, crude oil prices are expected to remain very high in Q4 2026 due to ongoing tensions in the Persian Gulf, whilst a return to normal levels of diesel exports from Russia and the Middle East appears unlikely by that time.

Among the factors likely to cause future tensions, the start of the maintenance season in Europe could affect production levels, whilst demand for diesel in the United States is typically high in the autumn (agricultural harvests and pre-winter storage). In a scenario where tensions remain low, the diesel refining margin (crack spread) could rise by 5% in Q4 compared with its level at the end of September 2026, before gradually falling back during 2027. An intermediate scenario (a 10% rise in the crack spread in Q4 2026) would result in moderate constraints on US diesel exports and a drawdown of European stocks. Finally, an adverse scenario (a 35% rise in the crack spread in Q4 2026) would imply severe restrictions on US diesel exports and a delayed European response.

What impact will this have on inflation in the euro area?

According to our estimates, the rise in diesel prices would exacerbate the expected peak in inflation in the euro area without altering its timing. In our baseline scenario for September 2026 (see our recently published EcoPerspective), headline inflation would peak at 4.1% y/y in January 2027 before gradually falling back towards 2% by the end of the year. The two least adverse scenarios would add only a limited amount to the peak: +0.1 pp in the first scenario (+5% for the crack spread in Q4 compared with the end of Q3) and +0.2 pp in the intermediate scenario (+10%), with inflation reaching 4.2% and 4.3% respectively in January 2027. However, there is an upside risk in the second scenario linked to the uncertain extent of the spillover effects. In both cases, the main impact would be felt through fuel prices (which quickly reflect rising market prices) and would fade over the course of 2027. In the case of the adverse scenario (+35%), the additional inflation would be close to 0.6 pp by early 2027, pushing inflation above 4.6%. A shock of this magnitude would, in fact, reduce businesses' ability to absorb rising costs, which would lead to price increases across a broader range of goods (food, industrial goods). Subsequently, the effect would only fade gradually.

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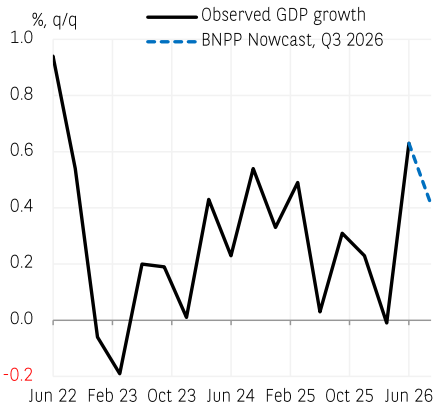
[3] Amsterdam-Rotterdam-Antwerp, Europe's main hub for the storage of raw materials.

The scenario, forecasts and nowcasts of the Economic Research – 28 September 2026

NOWCASTS OF THE ECONOMIC RESEARCH

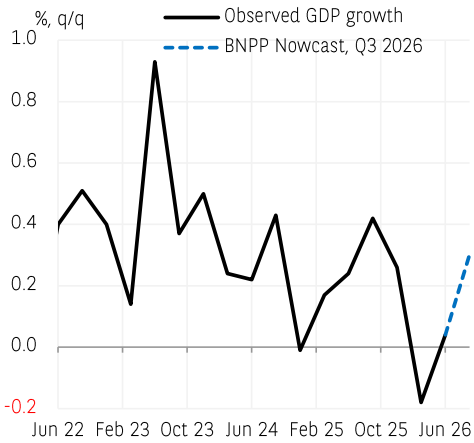
Eurozone



Source: Refinitiv, BNP Paribas

Our nowcast for Eurozone growth points to resilient growth in Q3 (+0.4% q/q) driven by the solid improvement in the PMI surveys.

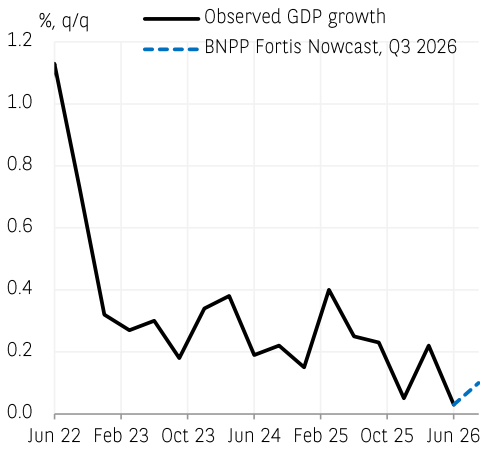
France



Source: Refinitiv, BNP Paribas

Our nowcast for French GDP growth suggests a recovery in Q3 2026, at +0.3% q/q, albeit the impact of the heat wave on agricultural production is a downside risk.

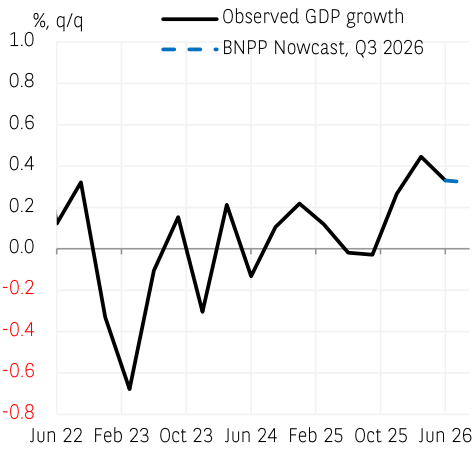
Belgium



Source: Refinitiv, BNP Paribas Fortis

Our nowcast for Belgium GDP growth suggests a mere growth performance in Q3 (0.1% q/q, after 0% in Q2). The business climate is low, as inflation pressures bind.

Germany



Source: Refinitiv, BNP Paribas

German growth is expected to remain stable in Q3 according to our *nowcast,* at +0.3% (following +0.4% in Q1 and +0.3% in Q2). It would remain supported by exports. Industrial production remains well-oriented this quarter according to the latest business survey results.

Read the Nowcast methodology

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ECONOMIC SCENARIO AND FORECASTS

GDP growth and Inflation

	GDP Growth				Inflation			
%	2024	2025	2026 e	2027 e	2024	2025	2026 e	2027 e
United States	2.8	2.1	2.2	2.3	2.9	2.7	3.4	2.3
Japan	-0.2	1.2	1.0	1.2	2.7	3.1	2.0	2.5
United Kingdom	1.0	1.3	1.2	1.3	2.5	3.4	3.2	3.2
Euro Area	0.9	1.3	1.1	1.5	2.4	2.1	3.0	2.8
Germany	-0.5	0.3	1.1	1.3	2.5	2.3	2.7	2.6
France	1.1	0.9	0.5	1.0	2.3	0.9	2.4	2.3
Italy	0.6	0.7	0.9	0.8	1.1	1.6	2.9	2.1
Spain	3.5	2.8	2.6	2.2	2.8	2.7	4.0	3.9
China	5.0	5.0	4.6	4.5	0.2	0.0	1.0	1.2
India*	7.2	7.8	6.7	6.9	4.6	2.1	5.0	4.6
Brazil	3.4	2.3	1.9	1.3	4.4	5.0	4.5	4.6

Source : BNP Paribas (e: Estimates & forecasts)
Last update: 14/09/2026
* Fiscal year from April 1 of year N to March 31 of year N+1

Interest and exchange rates

Interest rates, %		2026		2027			
End of period		Q3	Q4	Q1	Q2	Q3	Q4
US	Fed Funds (upper limit)	4.00	4.25	4.50	4.50	4.50	4.50
	T-Note 10y	-	4.95	4.95	4.90	4.85	4.80
Eurozone	deposit rate	2.50	2.75	2.75	2.75	2.75	2.75
	Bund 10y	-	3.50	3.40	3.30	3.25	3.20
	OAT 10y	-	4.43	4.40	4.25	4.18	4.10
	BTP 10y	-	4.38	4.33	4.18	4.08	3.98
	BONO 10y	-	3.98	3.90	3.74	3.65	3.55
UK	Base rate	3.75	4.00	4.00	4.00	3.75	3.50
	Gilts 10y	-	4.90	4.80	4.70	4.65	4.50
Japan	BoJ Rate	1.25	1.50	1.75	1.75	1.75	2.00
	JGB 10y	-	2.90	2.95	2.95	3.15	3.25

Exchange Rates		2026		2027			
End of period		Q3	Q4	Q1	Q2	Q3	Q4
USD	EUR / USD	-	1.14	1.14	1.16	-	1.20
	USD / JPY	-	163	163	163	-	163
	GBP / USD	-	1.34	1.36	1.38	-	1.43
EUR	EUR / GBP	-	0.85	0.84	0.84	-	0.84
	EUR / JPY	-	186	186	189	-	198

Brent		2026		2027			
Quarter Average		Q3	Q4	Q1	Q2	Q3	Q4
Brent	USD/bbl	87	81	78	79	81	80

Sources: BNP Paribas (Market Economics, Interest Rate Strategy, FX Strategy, Commodities Desk Strategy), Last update: 14/09/2026

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UNITED STATES

The US economy is expected to grow above its potential in 2026, with an average annual growth rate of 2.2%, close to the 2025 rate (2.1%). This apparent resilience to the uncertainty, tariff and energy shocks, together with above-trend productivity growth, masks K-shaped growth, driven by investment linked to AI-optimism and consumption by the wealthiest amid a wealth effect (historically high stock market valuations). Inflation overshooting is set to continue (3.4% in 2026) at least through 2028, largely because of the rise in oil prices and tariffs – although the impact of these latter appears to be less significant than expected. The labour market is showing clear signs of improvement that should bring the unemployment rate down toward 4.0%. Given this shift in price and employment risks amid dynamic growth, the FOMC proceeded with a first rate hike at September's meeting and we expect two further 25bp increases in December 2026 and January 2027, bringing the Fed Funds target range at 4,25% - 4,50%.

CHINA

Economic growth slowed to 4.3% y/y in Q2 2026 vs. 5.0% in Q1. It is projected to reach 4.6% in 2026 as a whole, down from 5% in 2025. Growth remains characterized by a K-shaped trajectory, and the gap between the strong performance of exports and the fragility of sectors that rely on domestic demand has even widened this year. Domestic demand has weakened significantly in recent months. Retail sales have barely increased, the crisis in the property sector has continued and household confidence remains low. Fiscal policy measures aimed at supporting economic growth are expected to increase in the second half of the year. CPI inflation has rebounded slightly since last March, mostly due to the rise in global energy prices, as well as due to the increase in electronic good prices and anti-involution measures implemented by the authorities. Deflationary pressures persist, however, given weakness in domestic demand.

EUROZONE

Eurozone growth is expected to slow to 1.1% in 2026 (from 1.3% in 2025), before strengthening to 1.5% in 2027, supported by higher defence and infrastructure spending as well as the global AI capex cycle. The economy has proven resilient to the energy shock, notably thanks to the increasingly tangible impact of German defence spending on the real economy. Elevated energy prices in the autumn (especially for natural gas), combined with resilient growth, are set to accelerate inflation to a peak around the turn of the year. Annual average inflation is thus expected to reach 3.0% in 2026 (from 2.1% in 2025), before easing to 2.8% in 2027. Given persistent inflation and resilient growth, we anticipate another 25bp hike from the ECB in December 2026, bringing the deposit rate to 2.75%, followed by an extended pause. That said, stronger than expected second-round effects could lead to more tightening than our current baseline.

FRANCE

GDP growth remained low in Q2 (0% after -0.2% in Q1) as a result of deteriorated agricultural and construction output, as well as higher inflation (2.4% in 2026 according to our forecast, after 0.9% in 2025). In 2026, GDP growth should reach 0.5% (after 0.9% in 2025), driven mainly by exports.

UNITED KINGDOM

UK GDP growth would ease slightly to 1.2% in 2026 (1.3% in 2025), before edging back to 1.3% in 2027. The economy has so far weathered both the energy price shock and domestic political volatility. That said, growth is expected to decelerate in the second half of the year, while inflation is set to remain stubbornly above target (averaging 3.2% in both 2026 and 2027), driven by higher energy prices and mounting second-round effects. In response, we expect the BoE to deliver a single *insurance* hike in November 2026, bringing the Bank Rate to 4.00%. The BoE is then expected to resume easing in H2 2027, with two cuts taking the Bank Rate to 3.50% by end-year.

JAPAN

Following 1.2% in 2025, Japan's GDP growth is expected to decelerate to 1.0% in 2026, before rebounding to 1.2% in 2027. Higher inflation and production costs associated with the energy shock are expected to weigh on the economy's overall performance. On the other hand, the latter is supported by fiscal policy and AI-related investment. Inflation has generally overshot the 2% y/y target since 2022. Accordingly, the Bank of Japan initiated a cautious process of "adjustment in the degree of monetary accommodation" in 2024, lifting the policy rate to 1.25% so far (previously negative) – the highest since 1995. We expect two more hikes by the end of Q1 2027, followed by a return to a more cautious pace until the terminal rate of +2.5% is reached in H2 2028. Japan is facing long-term rates pressure, illustrated by historically high 10- and 30-year yields, probably fueled by the level of public debt and the pace of monetary adjustment.

EXCHANGE RATES

We expect Fed hikes to temporarily offset structural headwinds and support the dollar. EUR/USD would target 1.14 by end-2026, before the dollar's structural downtrend resumes toward 1.20 by end-2027, although political and fiscal risk may weigh on the euro next year. The USD/JPY appreciation would continue but at a more moderate pace, with the BoJ still behind the curve despite its hikes. By contrast, GBP/USD would see relative support underpinned by a modest fiscal risk premium under the new Labour government, and resilient growth.